
VNDIRECT
WISDOM TO SUCCESS
HOLD: ▲ 6.1%
DSC
SECURITIES
BUY: ▲ 18%
Vietcap
BUY: ▲ 22.5%
hsc
BUY: ▲ 20.7%
VCBS
BUY: ▲ 22%
"Robust financials health"
"Superior governance to regain market share"
"Prospects for upgrading the Vietnamese stock market"
- Market Consensus -
1/2023
11/01/2023
02/01/2024
05/01/2024
08/01/2024
11/01/2024
02/01/2025



CFA Institute

SSI Securities JSC [HSX:SSI]

Wandering in the dark.

HOLD

▲ +7.7%

12M Target: USD 1.06

Sector: Financial Services
Industry: Investment Banking & Brokerage
Ho Chi Minh Stock Exchange (HSX) | VIETNAM

EXECUTIVE SUMMARY

Market consensus is highly positive on SSI. But with SSI's **hidden risks**, we issue a **HOLD** recommendation

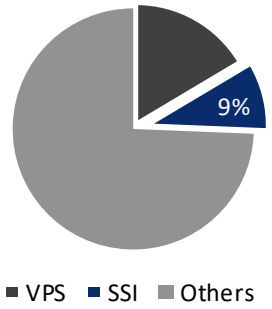
Market conditions **are favourable**…	…**oversupply & competition** limits growth
Prudent management was a strength…	…now **unfits** to new market dynamics
Robust financial health…	…is a trade-off for **poor profitability**

BUSINESS OVERVIEW

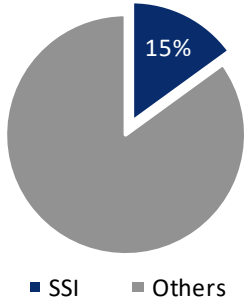
Investment and margin lending drive SSI's main revenue & profit

BROKERAGE SERVICE

Top 2 Retail Share

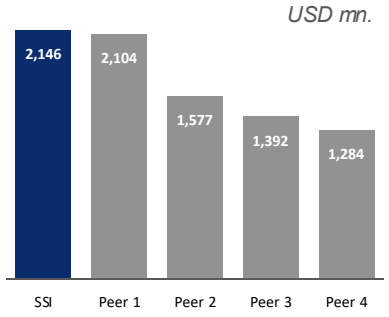


Top 3 Insti. Share

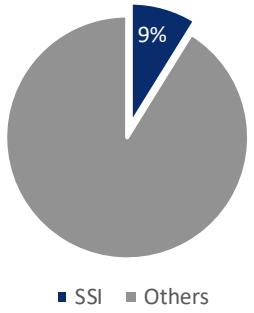


MARGIN LENDING

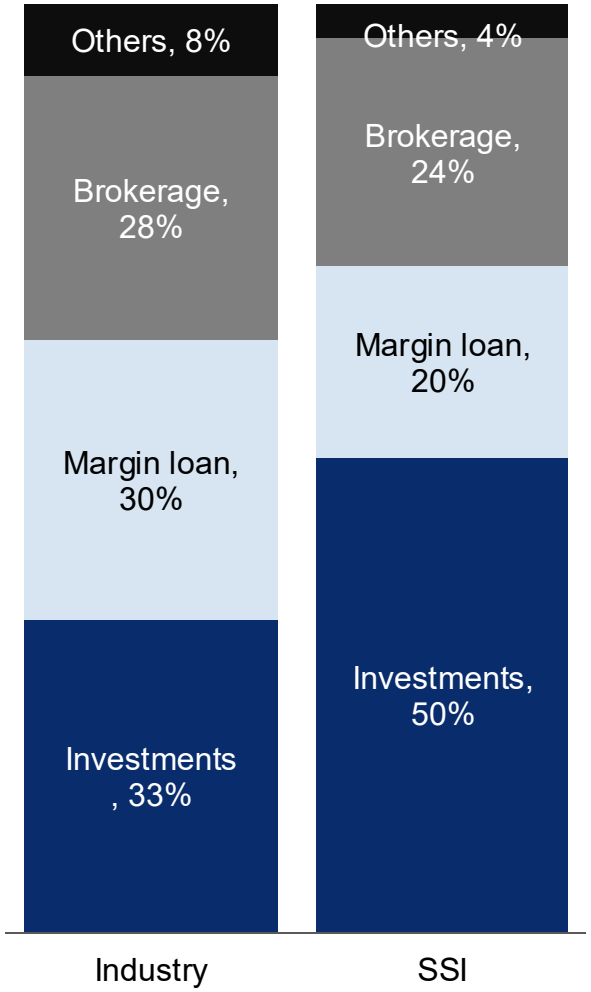
Top 1 Loan Capacity



Top 2 Loan Share

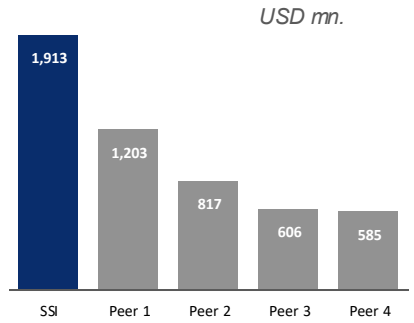


Revenue Breakdown [2016-2024]

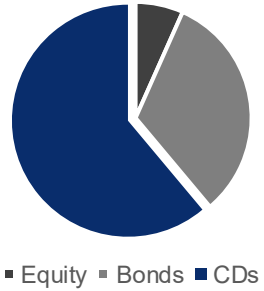


INVESTMENT / TREASURY

Top 1 Portfolio Size



93% Fixed-Income

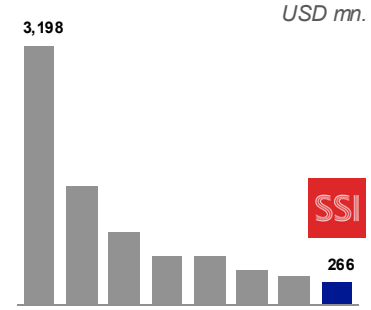


IB AND WEALTH MANAGEMENT

Well-known Clients

VINHOMES HDBank VINGROUP PETROLIMEX BECAMEX

Top 6 Fund's AUM



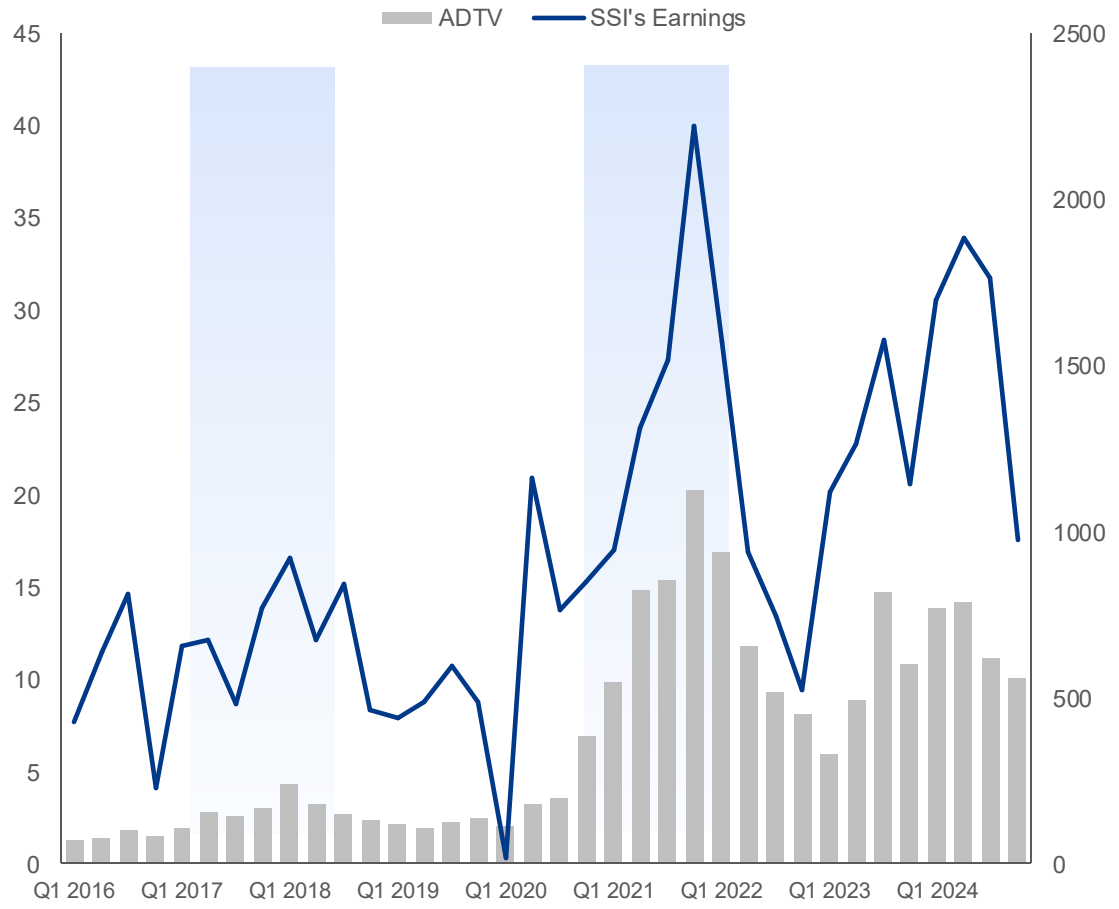
Source: SSI, Fiinpro, HSX

FINANCIAL AND SHARE PRICE PERFORMANCE

SSI profit growth & price is heavily tied to market movement

SSI's earnings has been tied to the market trading value…

SSI's earnings [USD mn, LHS] and market trading value [USD mn, RHS]



Notes: Blue = market uptrend

Source: Fiinpro

…and SSI stock goes with VN-Index trend

YTD return of SSI and VN-INDEX from 2016-2024 [%]



Notes: Year 2016 is 100 – Base year



01 Thesis:

Great industry prospects Worrying competition level

There are many supports promoting Brokers' business & share price performance.

However, investors should be cautious of the risks and severe competition of the industry.

SSI Securities Joint Stock Company
[HSX: SSI]

Recommendation: HOLD
12M Target Price: USD 1.06 [UPSIDE: ▲ 7.7%]

THESIS 01: GREAT INDUSTRY PROSPECT – WORRYING COMPETITION LEVEL

Vietnam's Equities is at a historical discount

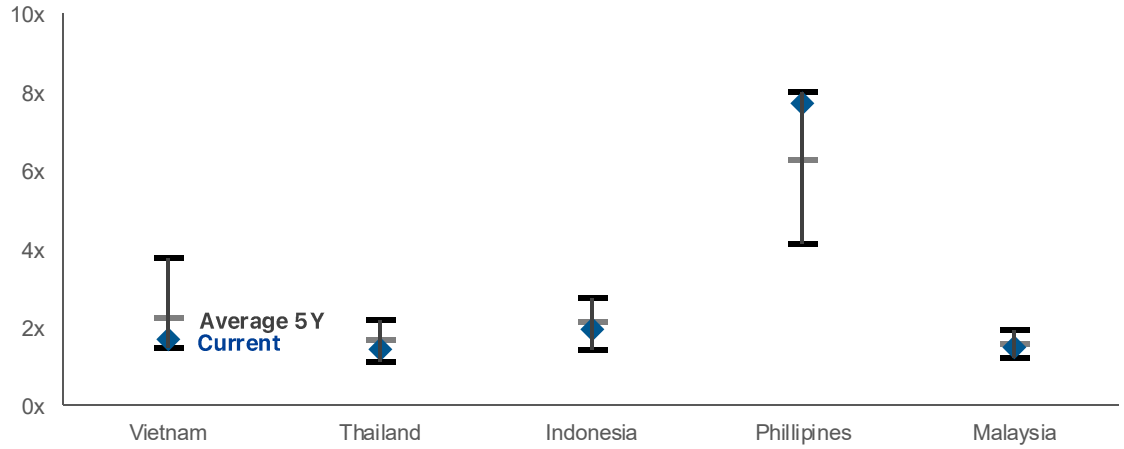
VN-Index valuation is at a historical discount…

VN-Index PBR TTM, 5 years median level, & standard deviation levels [x]



…standing at reasonable valuation compared to regional peers…

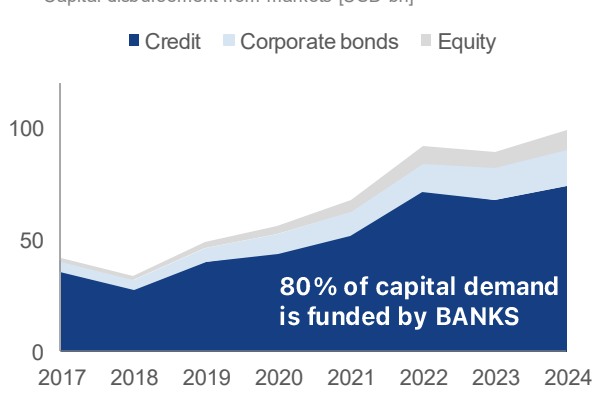
P/B ratio TTM of VN-Index compared to major equity indices in the region (x)



…while there are lots of room for growth

Banks remain the main funding channel right now…

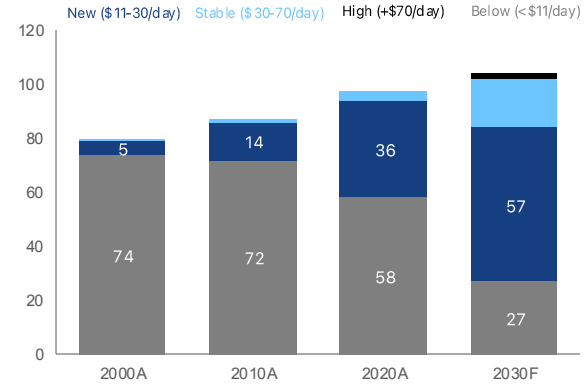
Capital disbursement from markets [USD bn]



Demand for funding persists, supply for new financial products will continue to develop

…But the growing affluent population demand changes

Population of different class [million people]



Demand for an investing channel is clear, as personal income grow & financial awareness rise, capital will flow from bank deposit channel to other investment products

CAPITAL FLOW SHIFT is certain, the question is WHEN?

Source: FiinPro, Bloomberg, Team Analysis

THESIS 01: GREAT INDUSTRY PROSPECT – WORRYING COMPETITION LEVEL

Crucial sectors recovering, backed by strong political will

Government overhaul with more ambitious growth targets…

Government department mergers & economic targets

05
Ministry mergers

20%
Government workers reduction

8-10%
Real GDP growth rate 2025-2030

- Credit disbursement growth: 16%-18%
- Infrastructure Investment (Historical high: 32 USD bn)
- Bonds, Equity & Real Estate Market reform

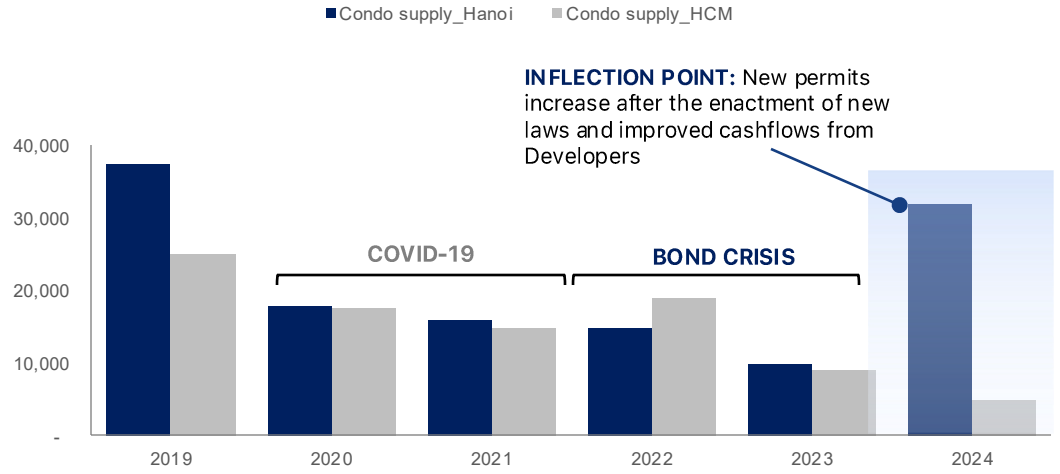
…Determined to keep interest rates supportive to new targets

Vietnam's government attitude towards monetary policy

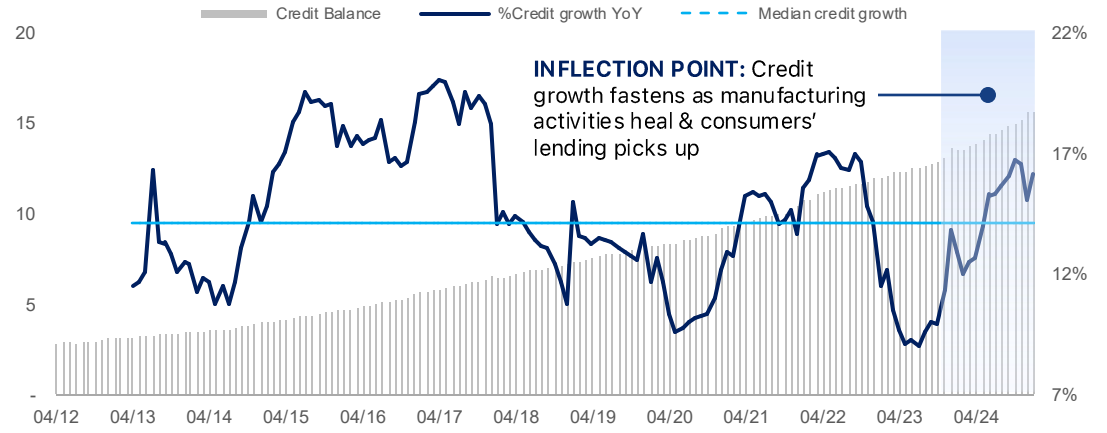
FX band	**Inflation Ceiling**	**Deposit rate**
Widening & flexible	**New targets: 4.5%-5%**	**Pressuring to Lower**
13th Feb: SBV increased USD selling price for the first time since October 2024 to 25.750 VND/USD (+ 300 units)	Inflation rate targets increase from 4-4.5% mark. Leaders state that " Vietnam may have to sacrifice inflation for growth"	Demanded commercial banks to lower deposit interest rate & Lower Bill rate to support banks liquidity
SBV prioritizes domestic interest rate stability over FX controls	Aim to create more flexibility in fiscal & monetary policy	Aim to decrease or at least maintain current low interest rate

… while crucial cyclical sectors (Real Estate, Banking, & Consumerism) reached trough, market EPS is bound to recover

Condominium new permits projects in the market [condos]



Credit disbursement growth [RHS, %] & Credit Balance [USD bn]



Source: FiinPro, Bloomberg, Team Analysis

Upcoming catalysts reinforce longterm market prospects

Market Reclassification

KRX
New exchange system in 2025

Non-prefunding mechanism lacked infrastructure to go into action

FTSE
Emerging Market Status in 2025

Active flow
4.5-6 USD bn

Passive flow*
1.5 USD bn

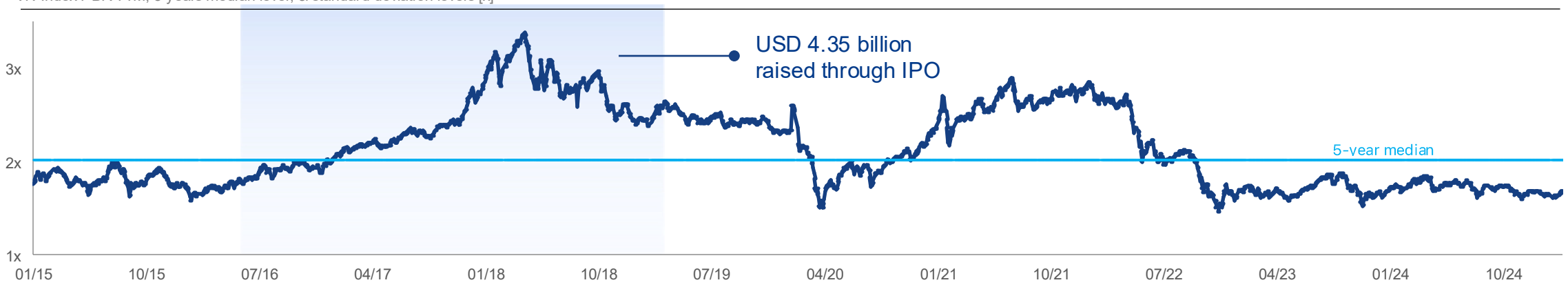
Vietnam's IPO pipeline 2025F-2027F

Technology	Consumerism	Financial Services
5 USD bn	12.8 USD bn	10 USD bn
Hospitality	**Entertainment**	**Healthcare**
2 USD bn	0.8 USD bn	1.9 USD bn

Capital flow scale: USD 57.5 billion

VN-Index valuation pushed up during lively IPO periods…

VN-Index PBR TTM, 5 years median level, & standard deviation levels [x]



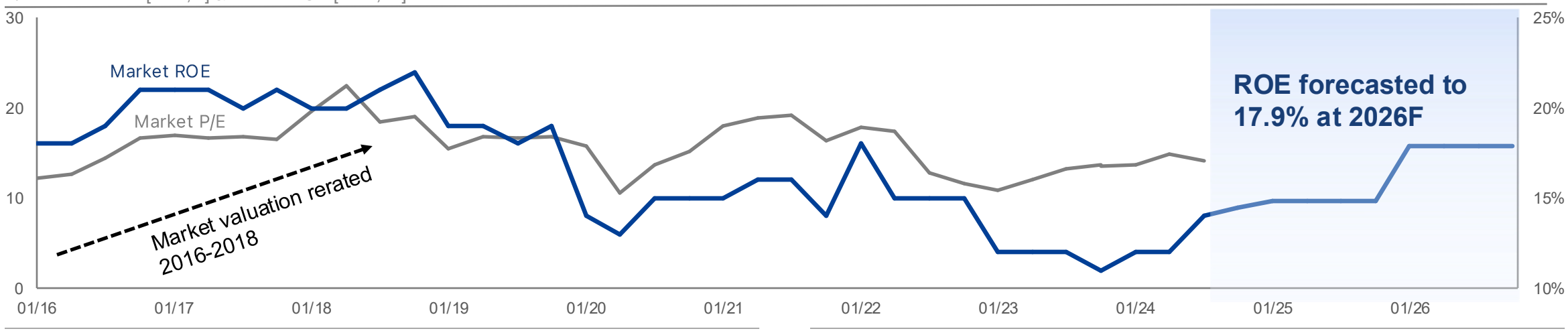
Source: Bloomberg, Team analysis

THESIS 01: GREAT INDUSTRY PROSPECT – WORRYING COMPETITION LEVEL

Economic recovery & government reforms support market rerate

Market ROE to improve in 2024-2026F, and VNI's valuation is expected to rerate from historical low

P/E of the market [LHS, x] & Market ROE [RHS, %]

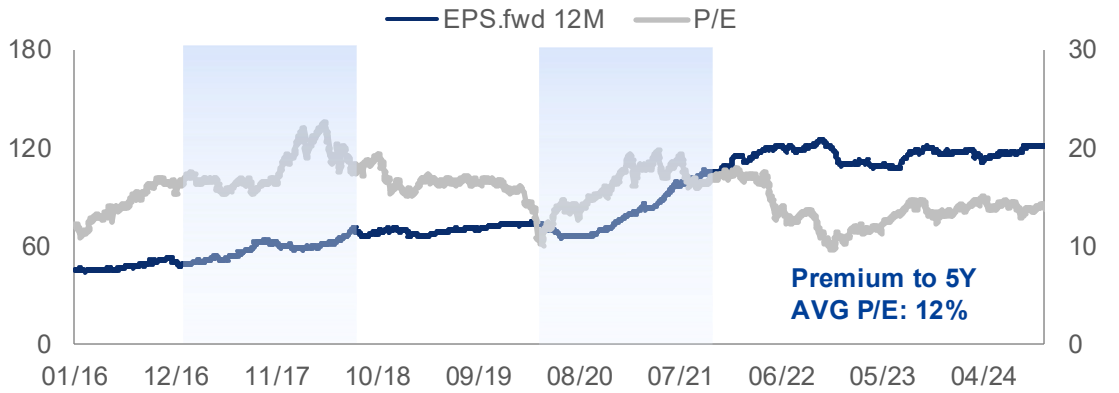


	2016-2018	2024-2026
VN-Index **trading at low discount** [Min – Max]	15.3x – 22.3x	12.3x – 15x
Market ROE **also improve** [%]	18% → 22%	12.4% → 17.9%
02-digit EPS growth [%, CAGR]	27%	14%
Low interest rate level (deposit rate at banks) [%]	6.0% – 7.0%	6% – 6.5%
Government **issued complete legal reforms**	Investment law, Enterprise law, Securities law	Investment law, IPO law, VAT law, Raising basic income, Housing law
…Supported by **expansionary fiscal spending**	Long Thanh Highway,…	Long Thanh airport, North-South highway,…

Market liquidity to recover in the long run as prospects align

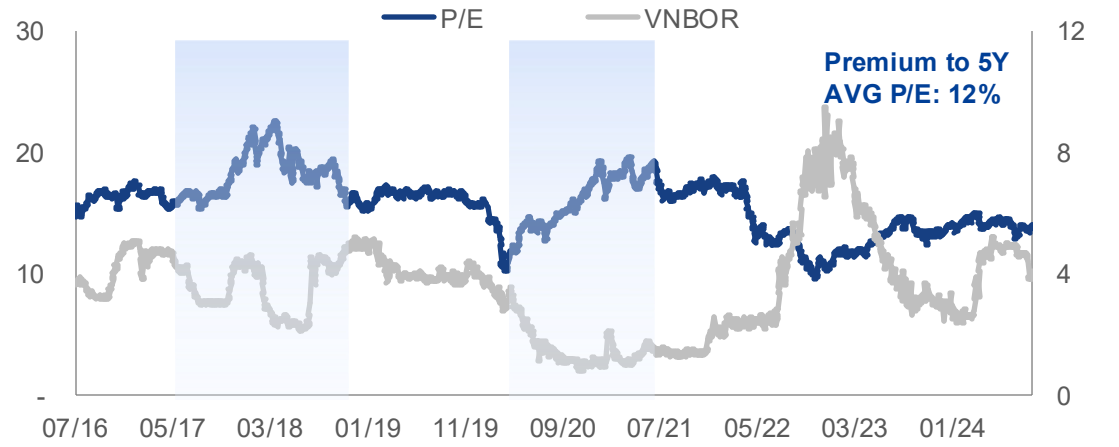
Investors are bullish toward equity as EPS grows

P/E [RHS, x] in correlation with EPS fwd 1Y [LHS, USD]



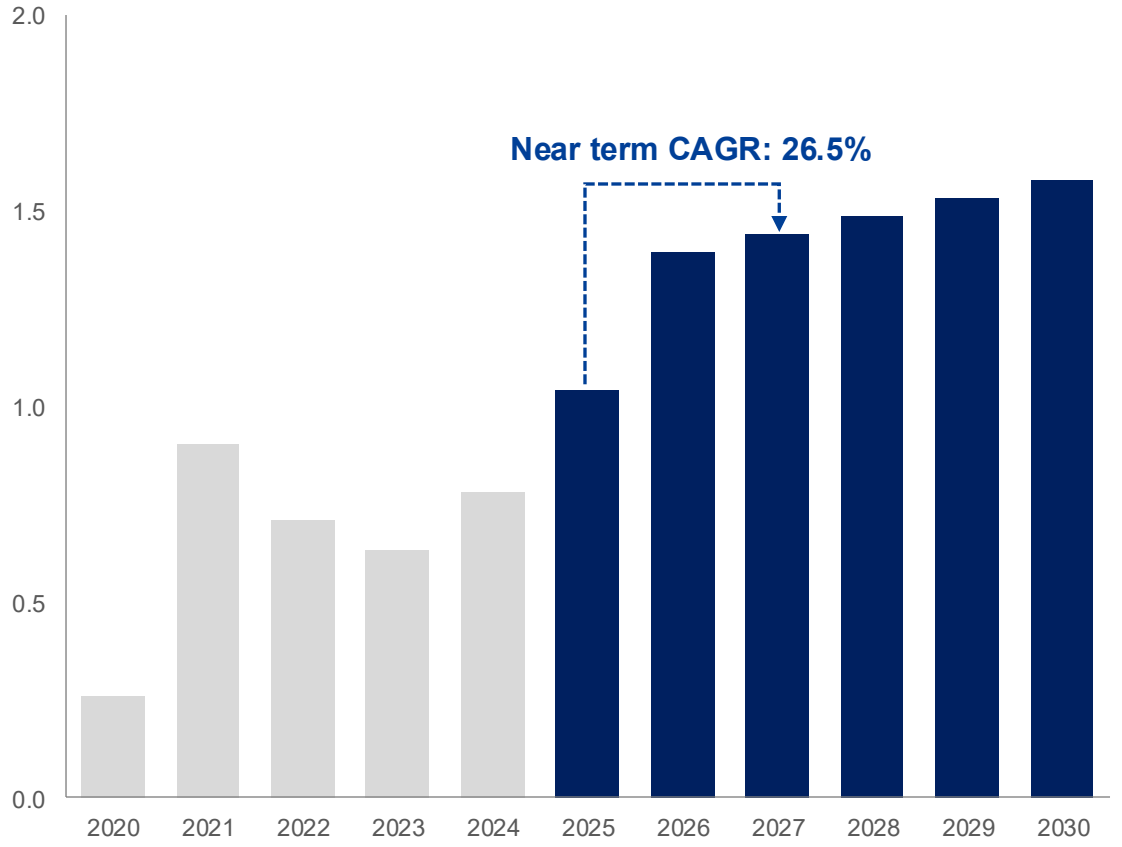
Low interest facilitates capital flow & boosts sentiment

P/E [LHS, x] in response to VN 3 month interbank rate [RHS, %]



… Cheap capital & solid fundamental foundation improve investors sentiment, boosting market liquidity

Average Trading Value/Trading Session [USD bn]



Source: FiinPro, Team Forecast

The Brokerage industry is poor-economic with impending risks

BUT!

1. Signs of Overcapacity is looming…
2. Players with powerful supports aggressively enter the market…

Survival of the "fittest"

The brokerage industry shows signs of a

SHAKEOUT

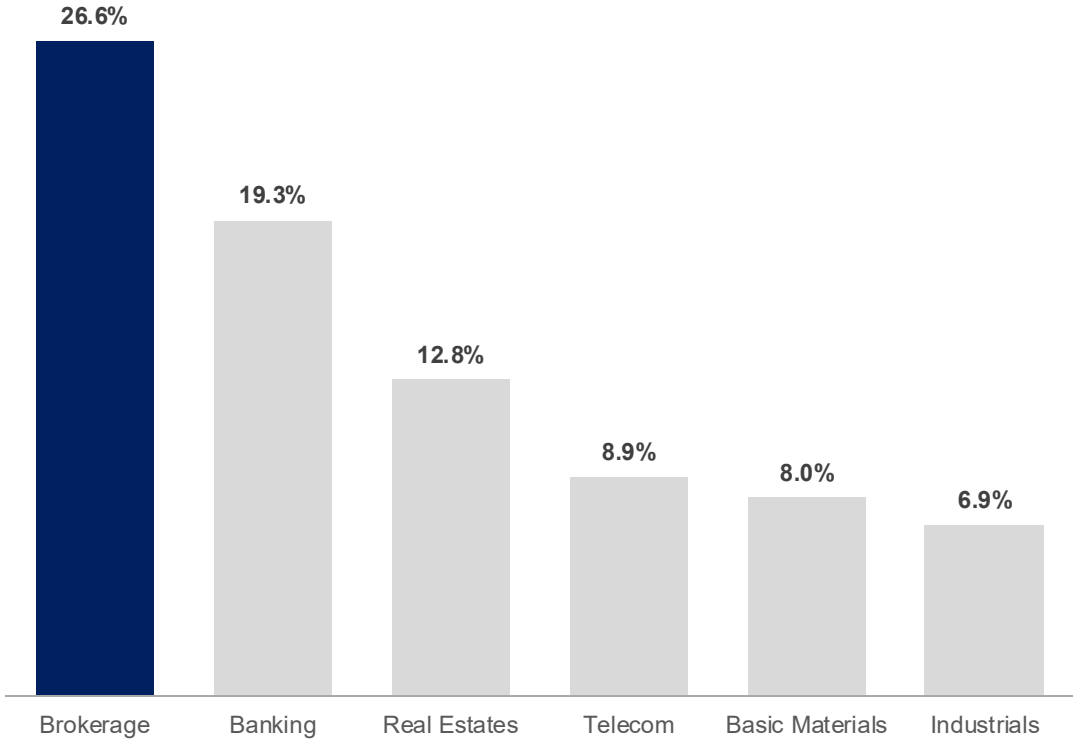
we expect this is the beginning of a

PROFITABILITY DECLINE

Critical signs of overcapacity, leaving excess capital

Brokers have the fastest equity growth among capital-intensive sectors

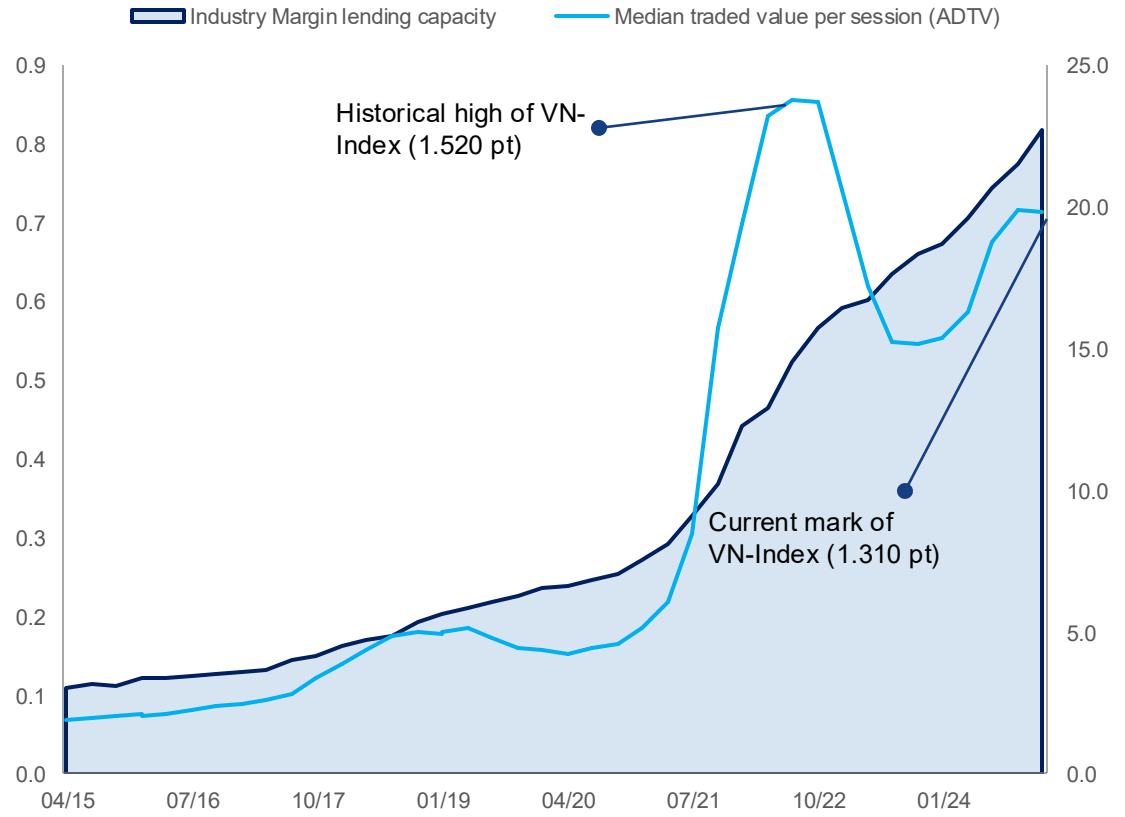
5-Year CAGR growth of the large, capital intensive industries in Vietnam [%]



Source: Capital IQ

Industry's equity book 2x in size, but market liquidity is equal to the past

Margin lending capacity [RHS, USD bn] & ADTV [LHS, USD bn]



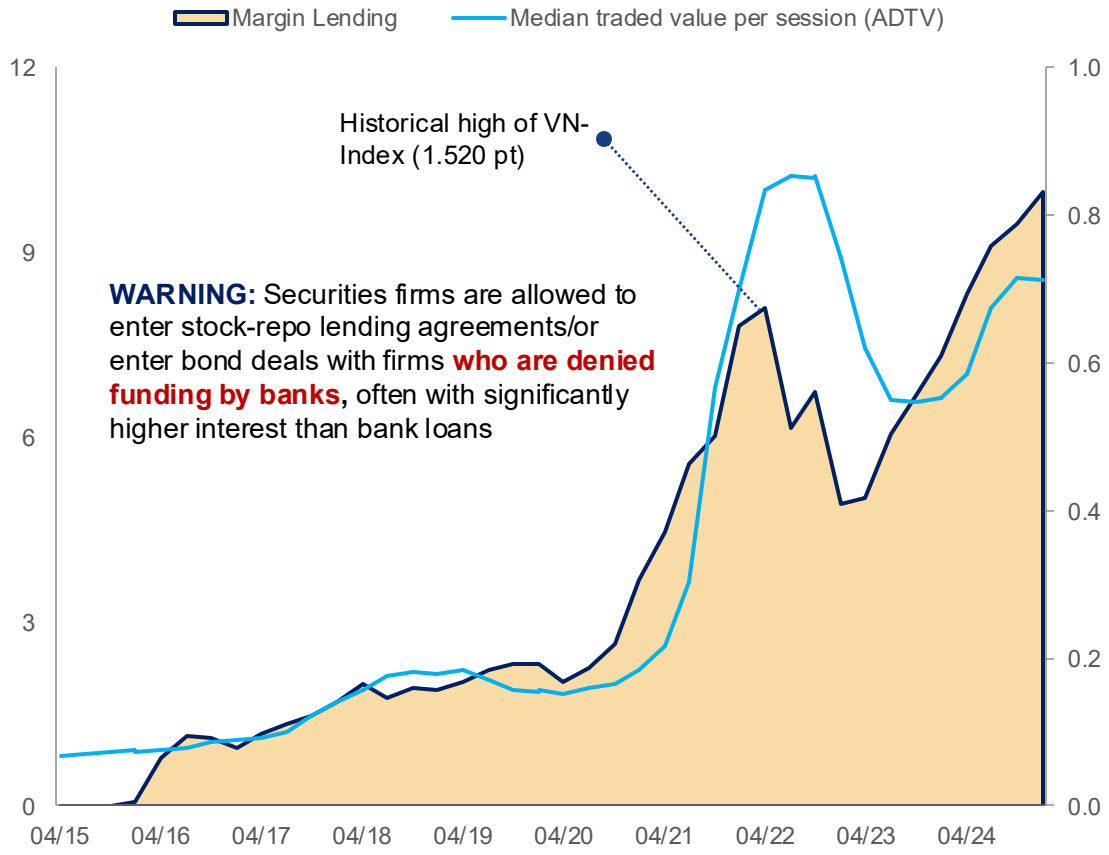
Notes: Regulation mandates that Industry Margin Lending capacity is 2 times the Equity size of Industry Equity book

Source: FiinPro

With excess capital, companies are trying to use up their reserves

Companies had to resort to Shadow-banking during excess…

Market share of non-fee competitors* [%]



Source: FiinPro

…Companies also aggressively cut fees to acquire customers

Share price performance of Brokerage industry during Bond default incident [USD]



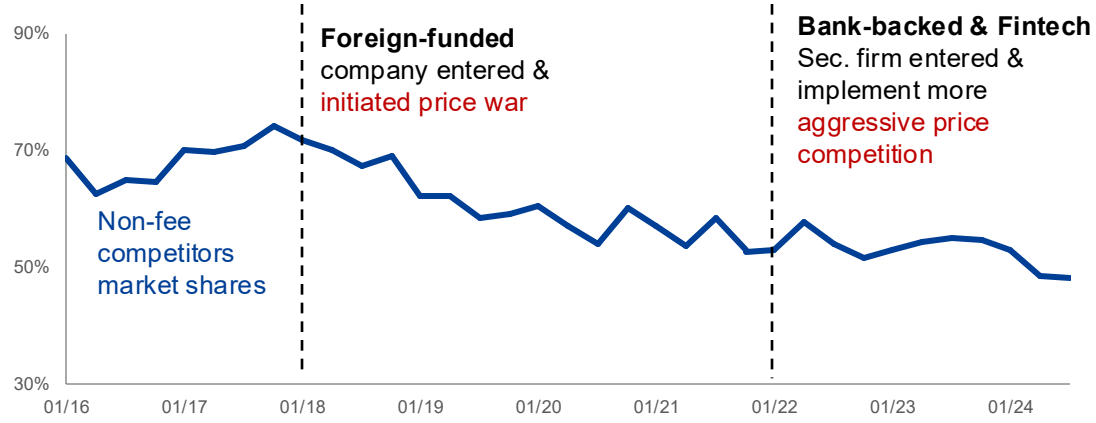
Notes: SSI, VND, BSI, VCI, HCM were the top 10 securities firms at the time.

Source: FiinPro

Strong competitors entered, price war dynamic will escalate further

Long standing players has already been struggling…

Market share of non-fee competitors* [%]



Note: *SSI, VCI, HSC, VND, all are long-standing players of the industry

…price war will escalate as Bank-backed firms haven't gone all out

Statistics of bank-owned securities companies in 2023-2024

20/29 Banks own Securities Firm

3/20 Bank-backed players cut all fees

9/20 Just announced new fee reductions

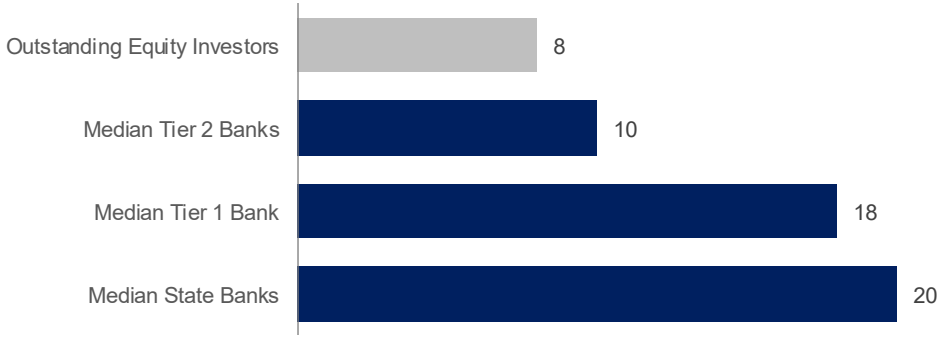
5/20 Bank-backed firms have Equity size **above 10.000 VND bn in less than 3 years**

Most bank-backed firms are owned by Tier 1 banks who have less restriction and higher risk appetite than State-owned Banks (SOBs). Banks can contribute **maximum 40%** of their **regulatory capital** in a subsidiary

Note: Tier 1 banks are banks with top 10 largest banks in the economy, exclude SOBs. In Vietnam, banks are responsible for 80% of funding demand

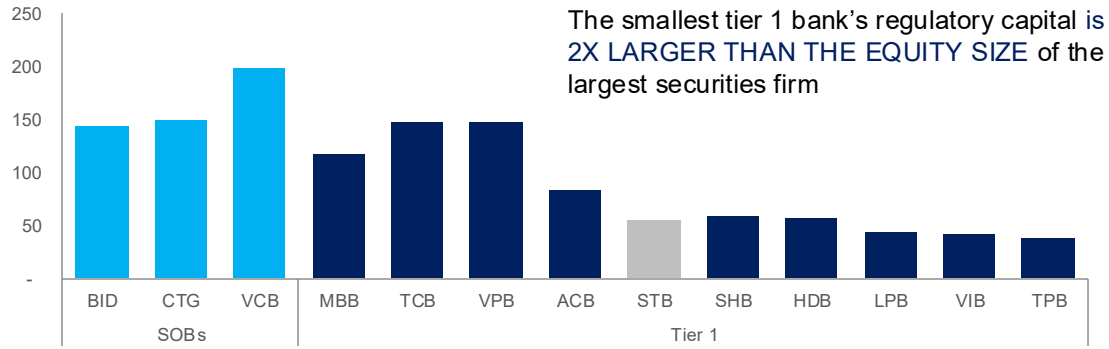
Bank-backed firms can tap into banks' immense customer base

Customer base of Banks and current number of investors in market [mn people]



Banks still have massive room to support their subsidiary security firms

Banks regulatory capital = Banks' Shareholder Equity + Provisions [USD bn]



Notes: Tier 1 banks that own security firms are marked Blue, SOBs are marked with lighter blue

02

Thesis:

Management was a strength
Prudence unfits the new dynamics

Prudent management was once the key to success, helping SSI maintain its leading position.

However, that strategy is difficult to adapt to market changes, hindering SSI's success.

SSI Securities Joint Stock Company
[HSX: SSI]

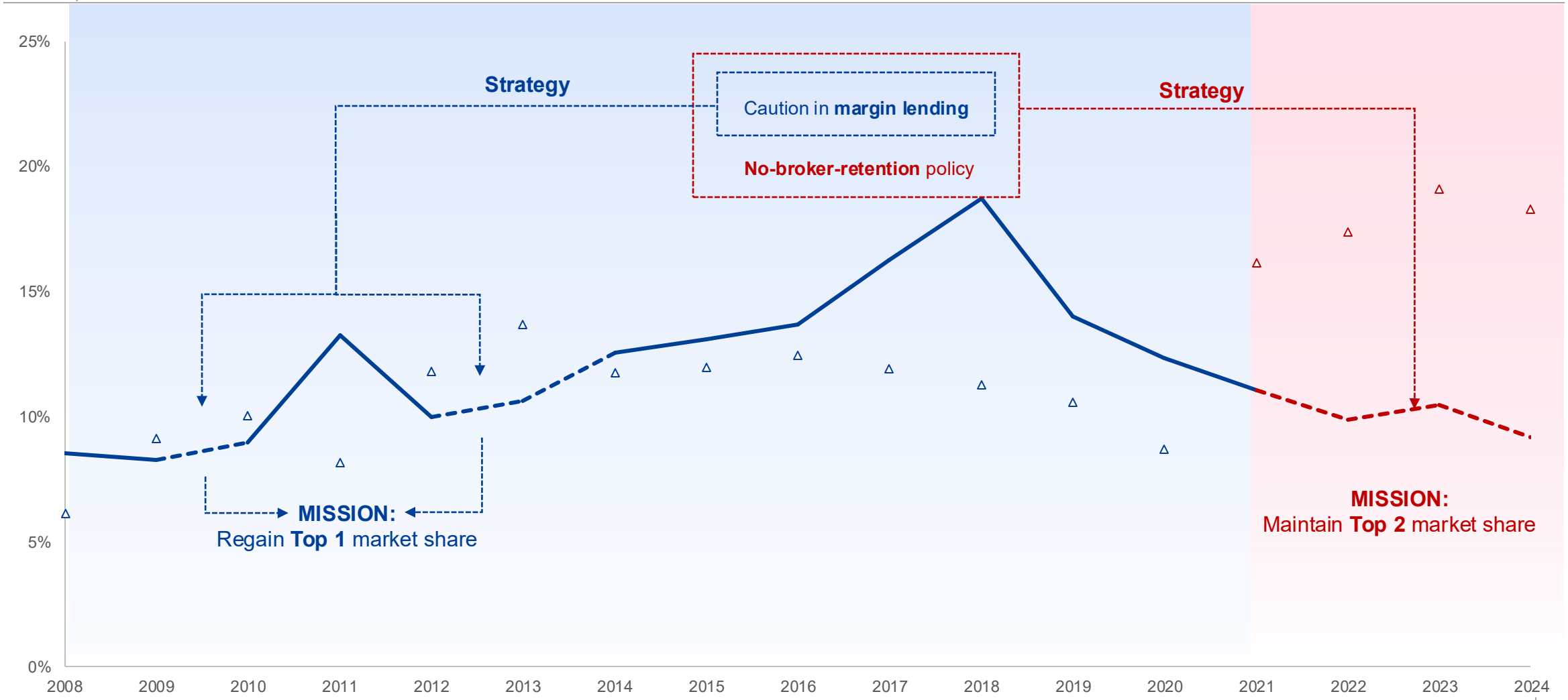
Recommendation: HOLD
12M Target Price: USD 1.06 [UPSIDE: ▲ 7.7%]

THESIS 02: MANAGEMENT WAS A STRENGTH – PRUDENCE UNFITS TO THE NEW MARKET DYNAMICS

The management was once a sharp weapon, but it is no longer

SSI's long-held strategy has failed to regain its leading position.

SSI and Top 2's HSX market share in 2008-9M2024

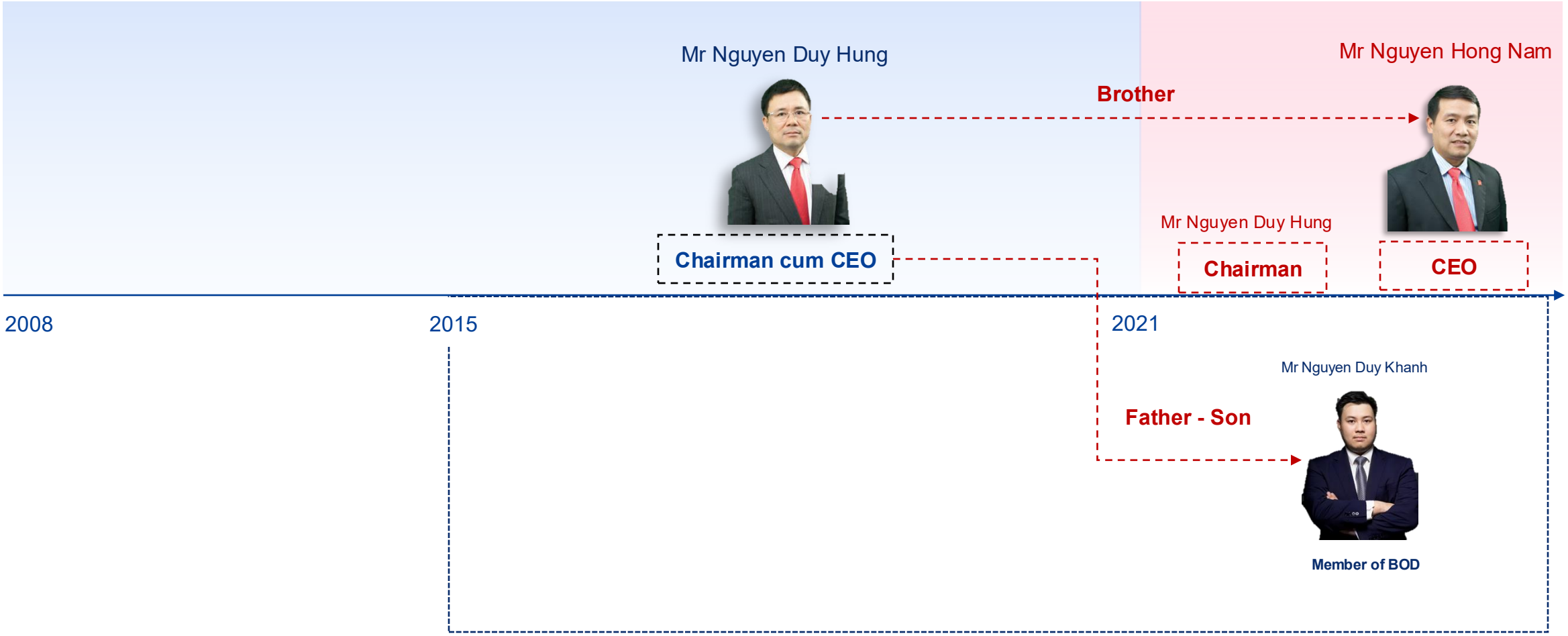


Source: HNX; HSX; AR 2009, 2012-2013, 2021-2024

THESIS 02: MANAGEMENT WAS A STRENGTH – PRUDENCE UNFITS TO THE NEW MARKET DYNAMICS

The management was once a sharp weapon, but it is no longer

A lack of independence between BOD and BOM impedes breakthroughs.



Source: AR 2009, 2012-2013, 2021-2024

Recent efforts have not yielded the expected results

Efforts to adapt to the dynamics …

Significant turnover &

ineffective execution

Refusal to change

in zero-fee model

Lack a superior segment

to break the competition

Shrinking

in market share

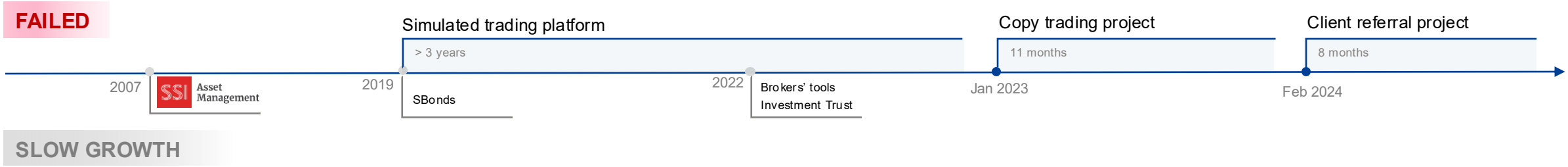
…still can not yield the results

Source: Team analysis

SIGNIFICANT MANAGEMENT TURNOVER & INEFFECTIVE EXECUTION

SSI's execution ability is concerned due to ….

[1] SSI continuously failed in many projects over the past 3 years …..



*Note: Failed: Not efficient and SSI stopped; Slow growth: Not utilized as intended or slow growth in revenues contribution

[2] … and had a higher turnover in key personnel…

SSI

06 directors in Retail & Institutional sales, Tech, Operation **moved to competitors**

4/6 Prof. Managers **left**

… compared to peer companies

01 director moved overseas

Vietcap

02 retired director

hsc

Note: HR turnover is recorded for the most recent 3 years

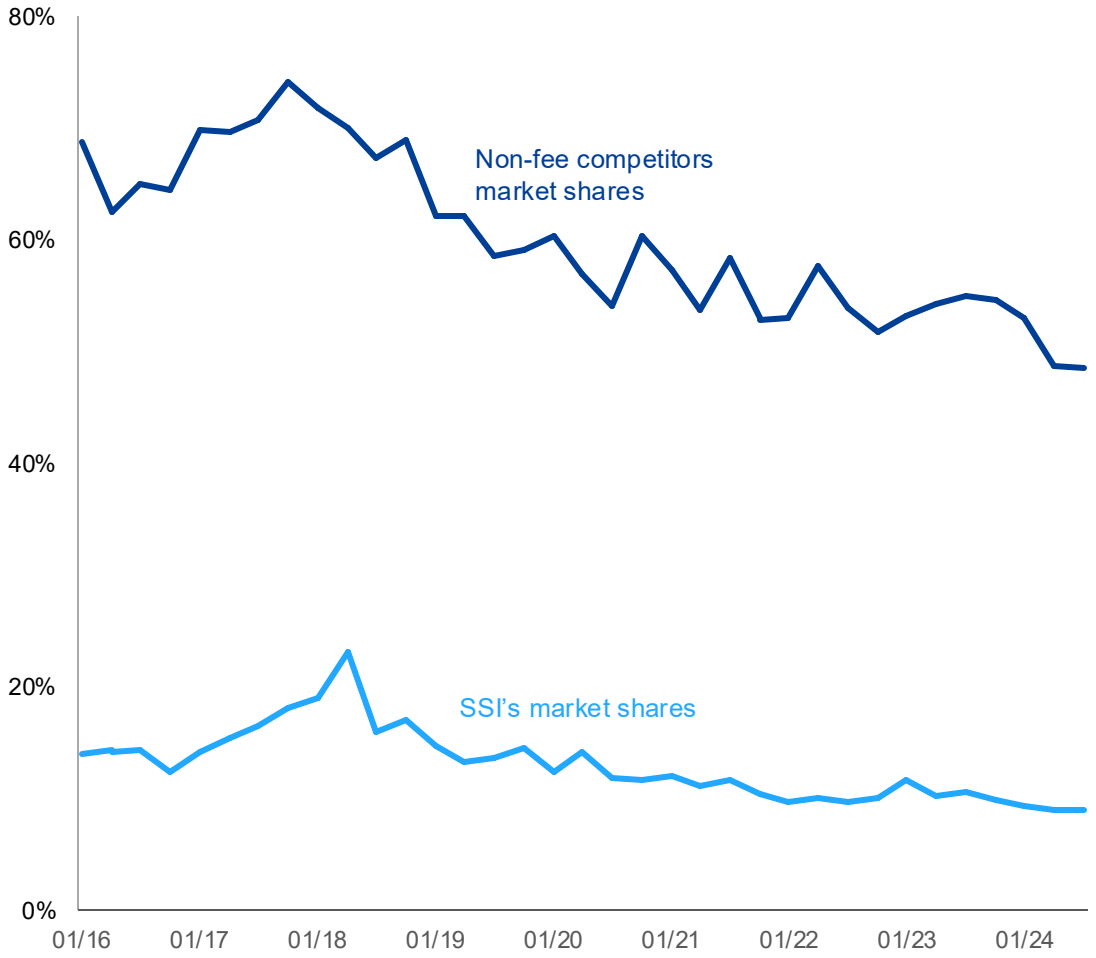
Source: Interview with ex-employees, senior employees, & managers, Compiled from LinkedIn search

SUBSTANTIAL COMPETITIVE PRESSURE FROM THE RISING ZERO-FEE TREND

SSI still struggles to defend itself against fee competition

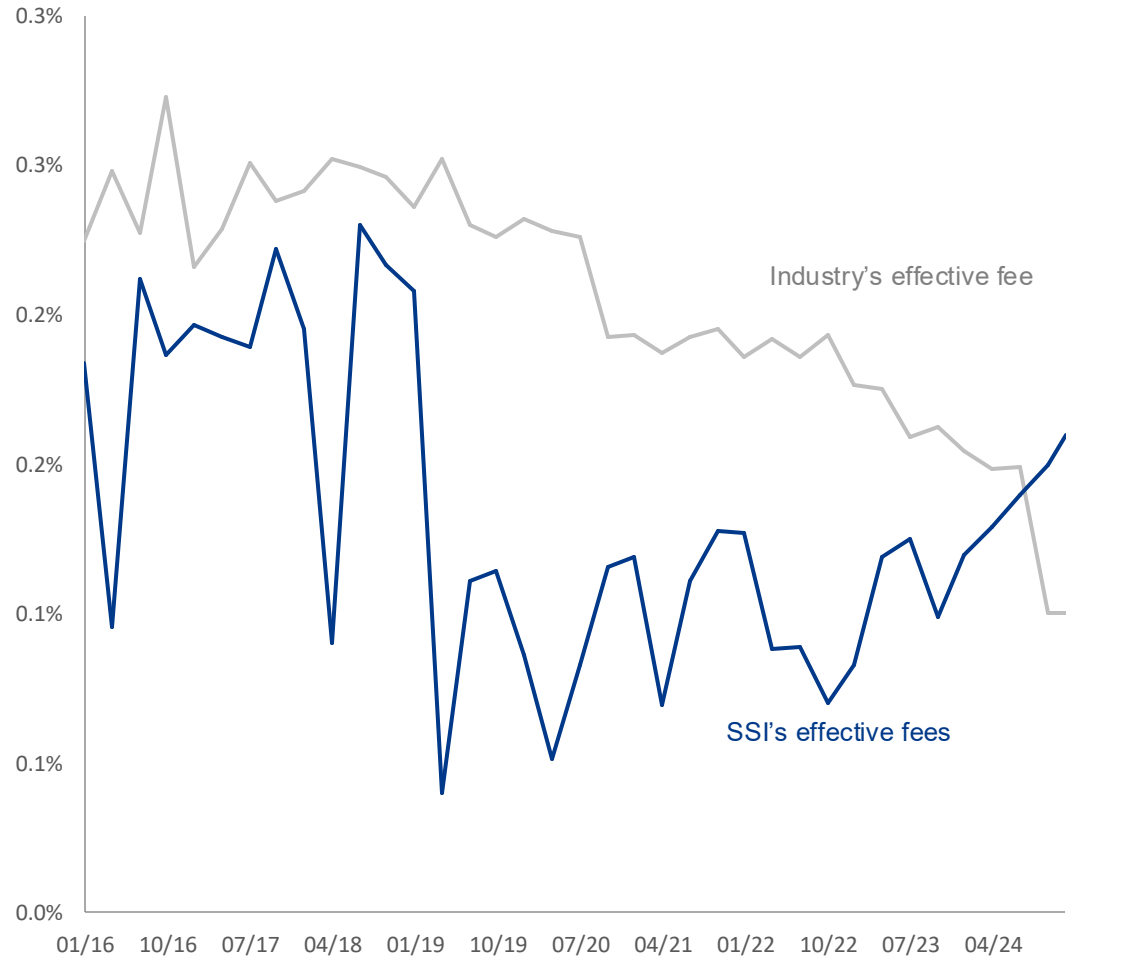
Market share of non-fee players is also declining…

Market share of non-fee competitors* [%]



… But SSI is still reluctant to cut down fees

Effective brokerage fees of SSI and industry average [%]



*SSI, VCI, HSC, VND

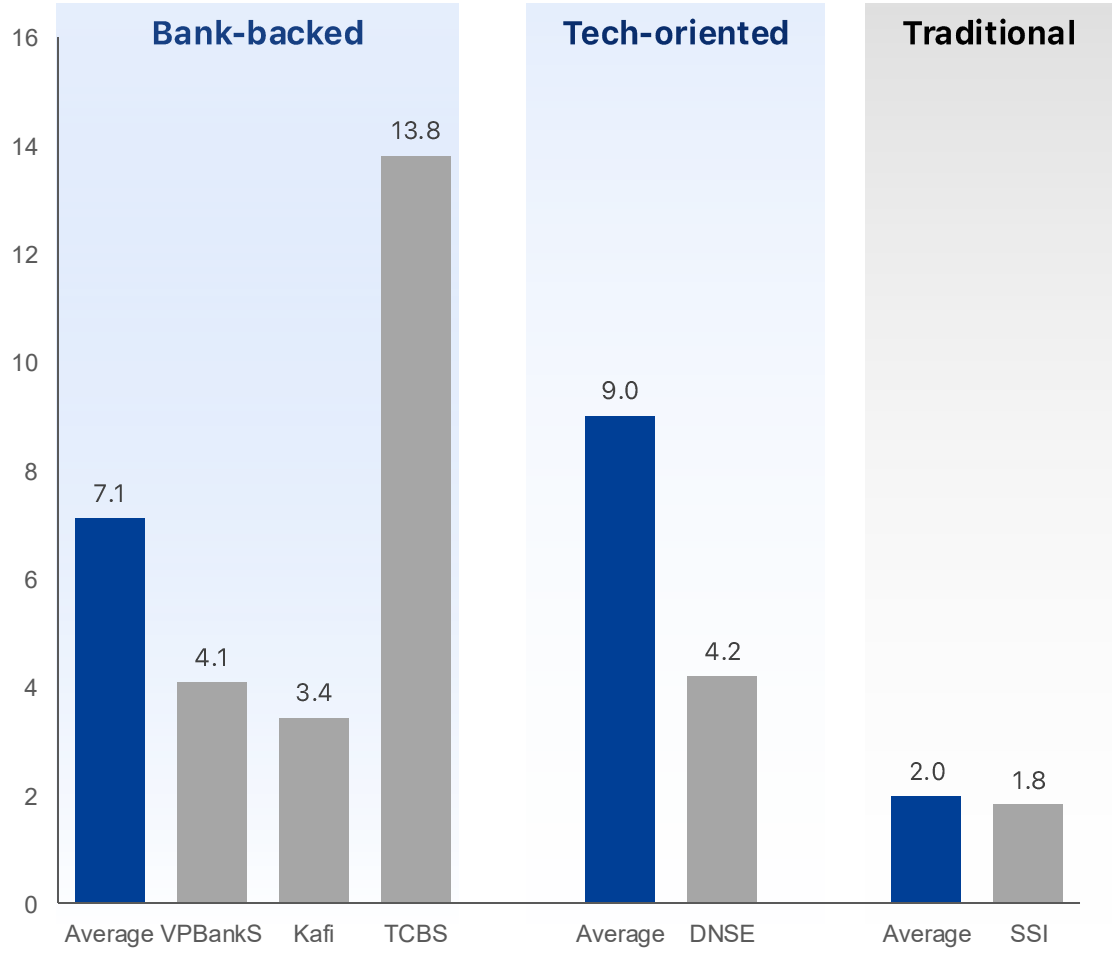
Source: Team analysis

SUBSTANTIAL COMPETITIVE PRESSURE FROM THE RISING ZERO-FEE TREND

SSI is facing steep competition in other business segments

Certain players having superior segment can cut fees effectively

The revenue (exclude brokerage and proprietary)-to-brokerage expenses ratio



…while players who cannot diversify

Compilation of firm's view about zero-fee trend

Vietcap

SSI

VNDIRECT

BAOVIET Securities
CHỨNG KHOÁN BẢO VIỆT

We **can only enhance products** and services but **cannot reduce fees** as zero-fee strategies.

- Summary of CEO's statements in AGM 2021-2023 -

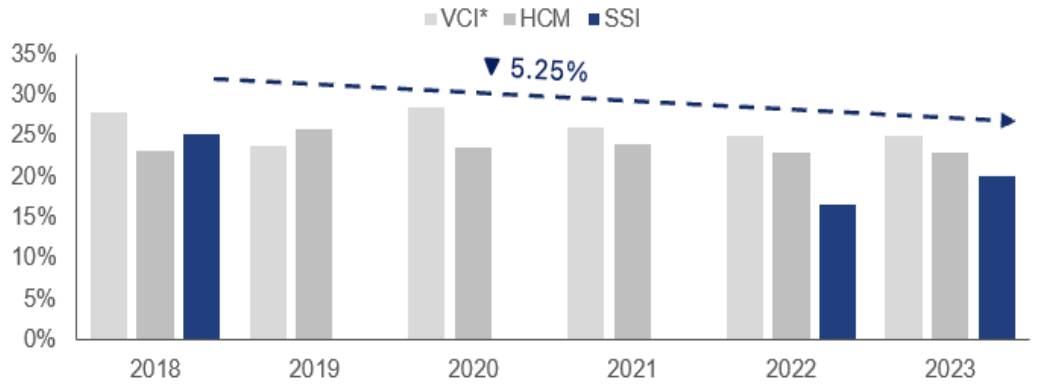
Source: Team analysis

LACK A SEGMENT TO BREAK THROUGH THE COMPETITION

SSI is facing steep competition in other business segments

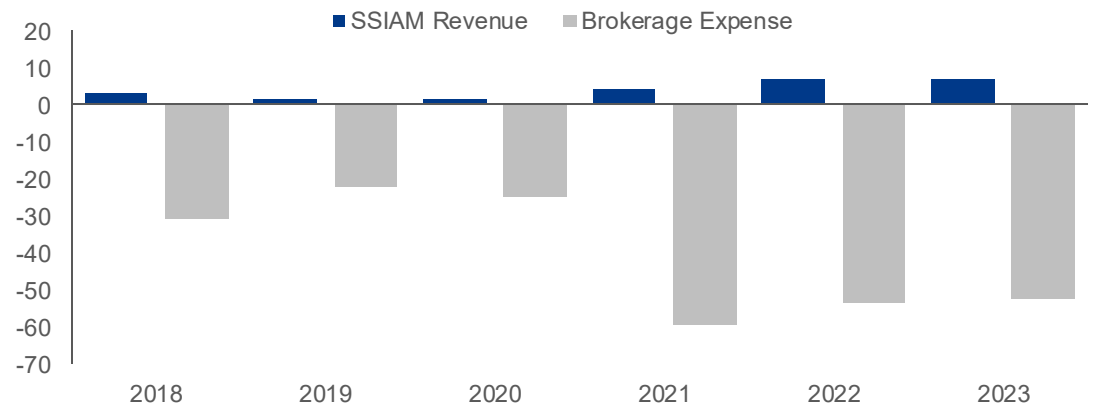
[1] Brokerage: SSI lost its lead in Institutional market

Market share [%]



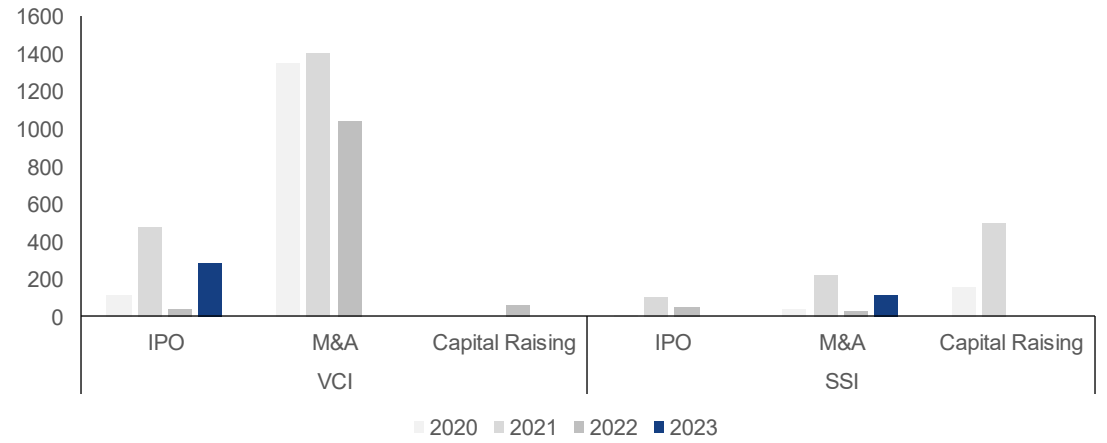
[2] SSIAM only contributes marginally to revenue …

SSIAM revenue and Brokerage expense [USD mn]



[3] IB: SSI is facing formidable rivals in both ECM and DCM

Value of IB deals in ECM of SSI & VCI [USD mn]



Market share of Bond Issuance (exclude Banks) [%]

TECHCOMSECURITIES

* **

20-52%

market share is **TCBS**

* 2021

** 2023

HDBS

VPBS Securities

MBS

*

23%

market share is

Bank-backed securities

* 2023

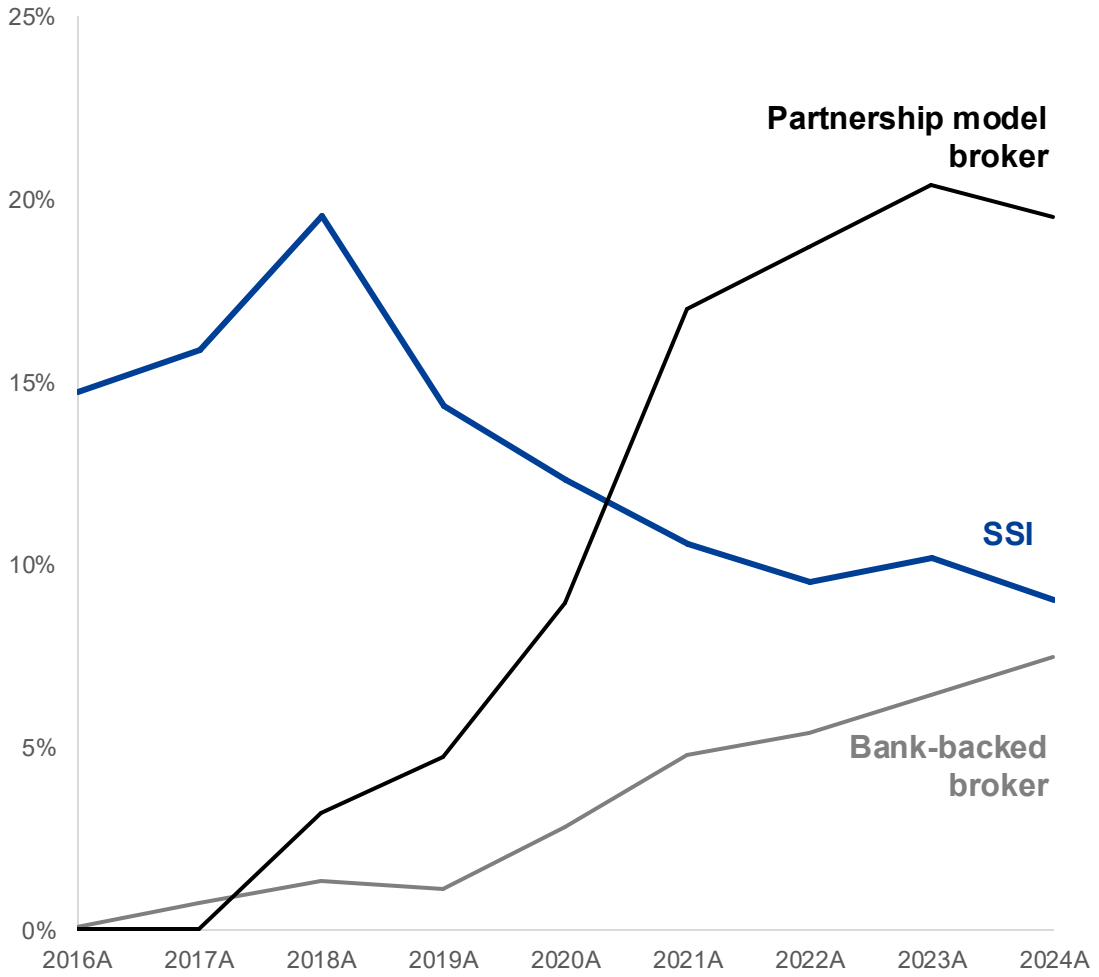
Source: FiinPro, AGM, Team Analysis

THESIS 02: MANAGEMENT WAS A STRENGTH – PRUDENCE UNFITS TO THE NEW MARKET DYNAMICS

SSI's market share has been falling …

SSI market share has been falling since its peak as…

Brokerage Market share [%]



..SSI overly depends on old client base…

35-50

is the average age of SSI's **main customers base** in the past 2 years

60%

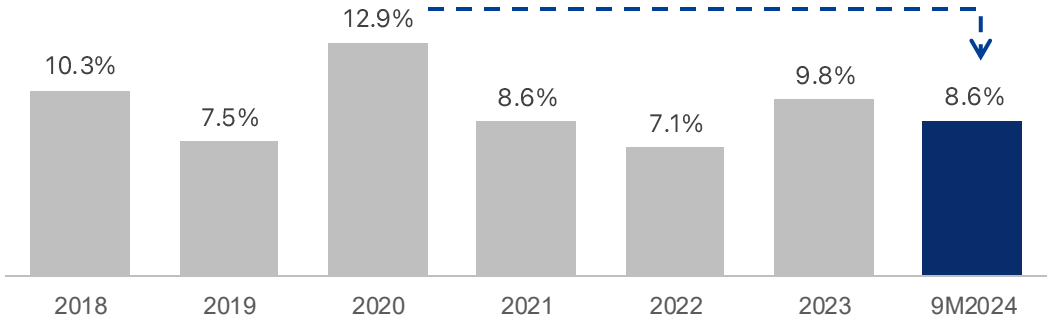
accounts are **active** with the turnover of a month

<02 times

- Product Department at SSI -

… and the company fails to capture new accounts…

Opened accounts of SSI to Market [%]



Note: Market share = trading volume incurred at the company to Total market trading value

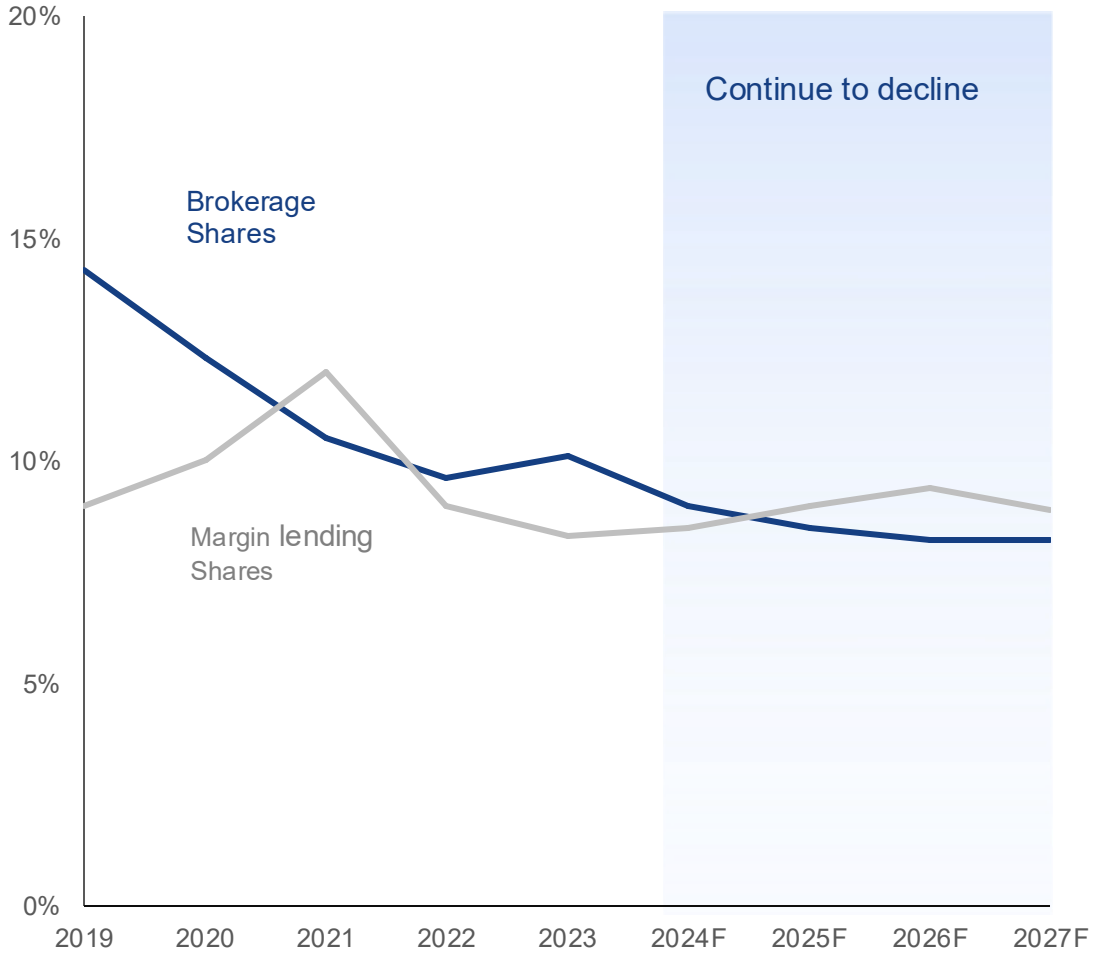
Source: Team analysis, Interviews.

THESIS 02: MANAGEMENT WAS A STRENGTH – PRUDENCE UNFITS TO THE NEW MARKET DYNAMICS

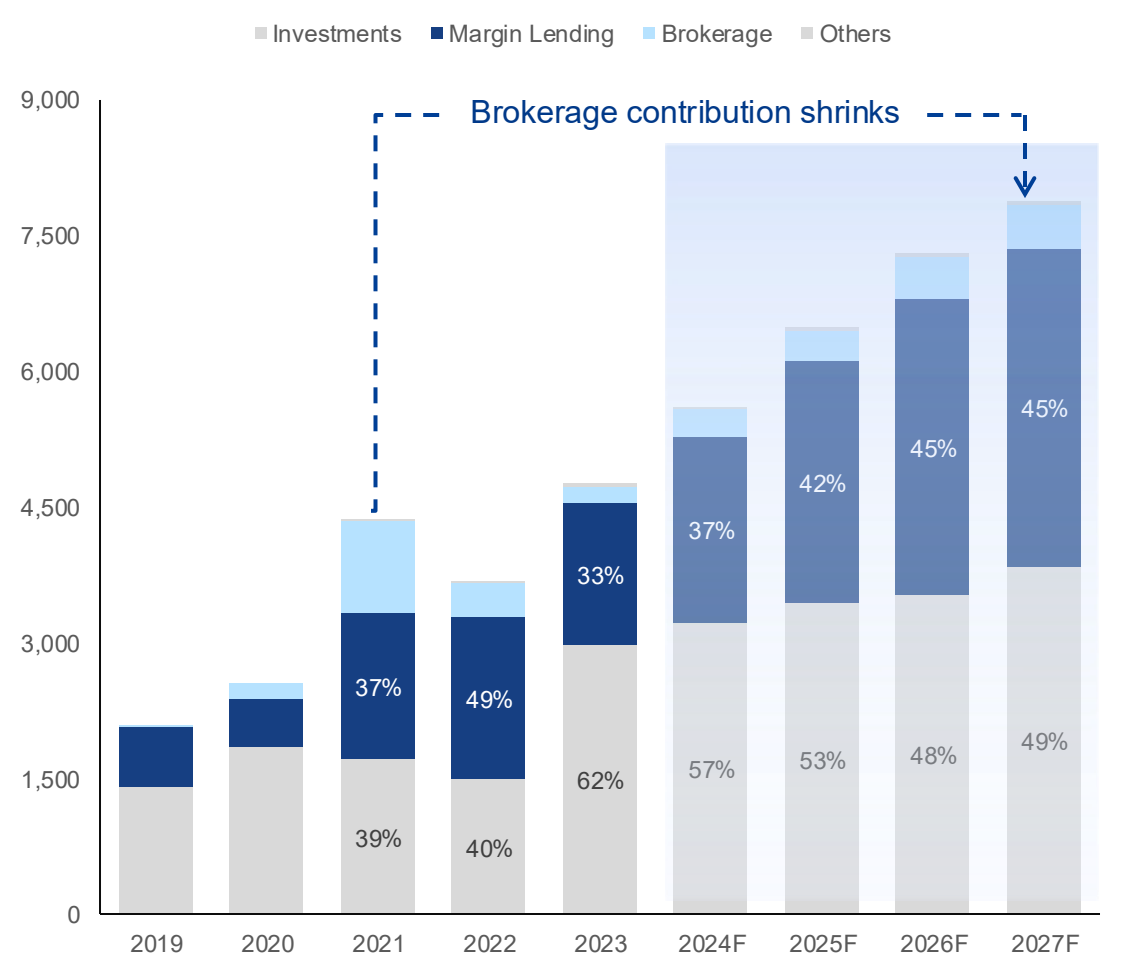
Market share will be constrained even in a favorable market

SSI's market share and brokerage revenue will continue to decline in upcoming cycle

Market share forecast in 2019A – 2027F [%]



Profit by segments [%]



Source: Team analysis



03 Thesis:

Robust Financial Health Poor Profitability

SSI possesses the largest equity base but is falling behind in lending competition, so they must invest their abundant capital in CDs and Bonds from Banks with low yields to minimize risk.

SSI Securities Joint Stock Company [HSX: SSI]

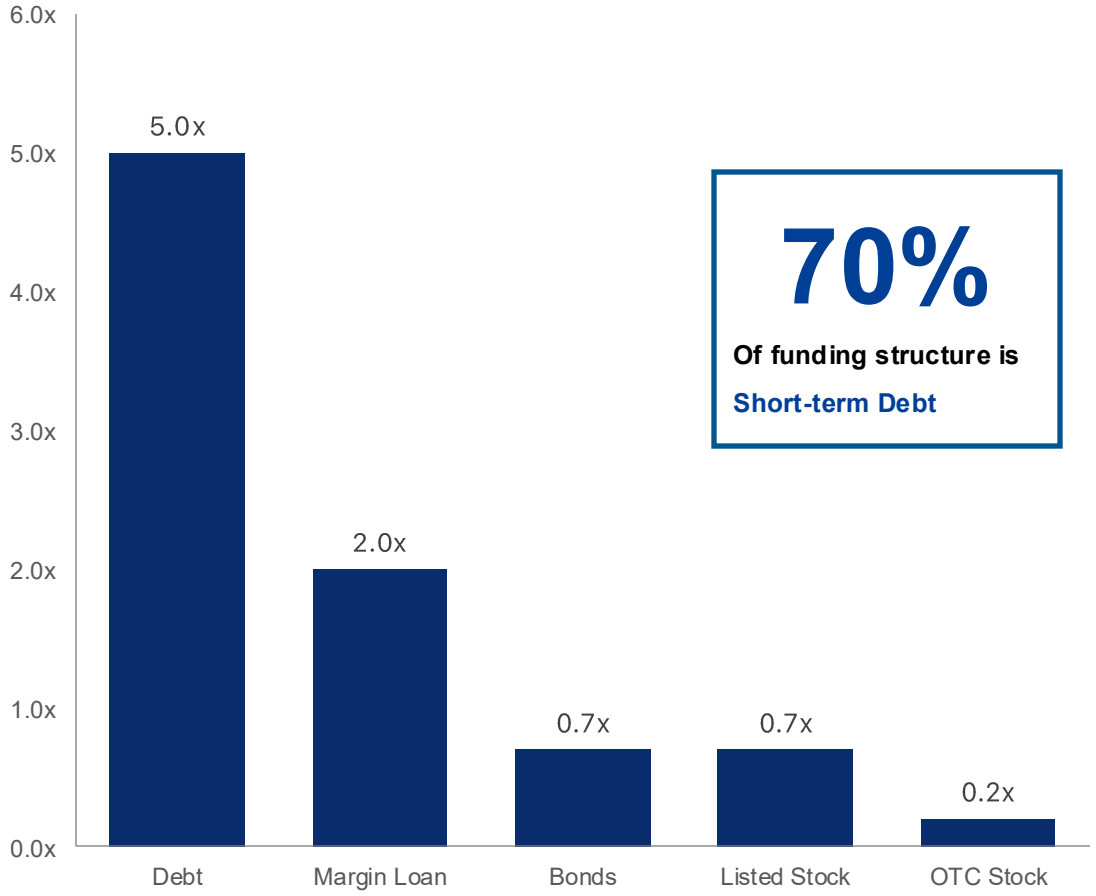
Recommendation: HOLD
12M Target Price: USD 1.06 [UPSIDE: ▲ 7.7%]

THESIS 03: ROBUST FINANCIAL HEALTH - POOR PROFITABILITY

SSI has capital advantage in a highly regulated industry

Many regulations are directly tied to firms' Equity book…

Complication of restrictions that are placed on security firms' capital size [%]



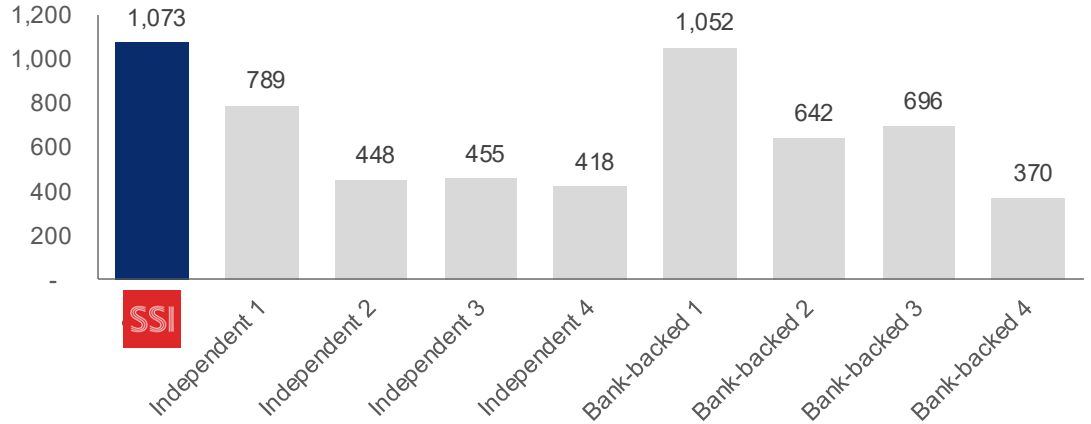
70%

Of funding structure is

Short-term Debt

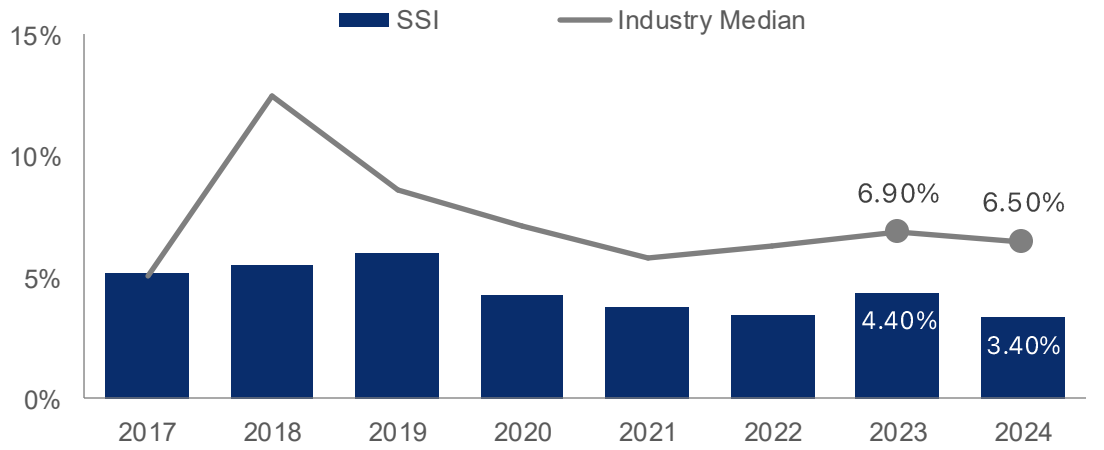
SSI ranks among firms with large equity book sizes…

Equity book size of 10 largest securities firms by Equity 2024 [USD mn]



…and sustains a low CoF compared to peers

SSI CoF compared to Top 7 securities firm median



Comparable peers: TCBS, HCM, MASC, VPBS, VND, MBS

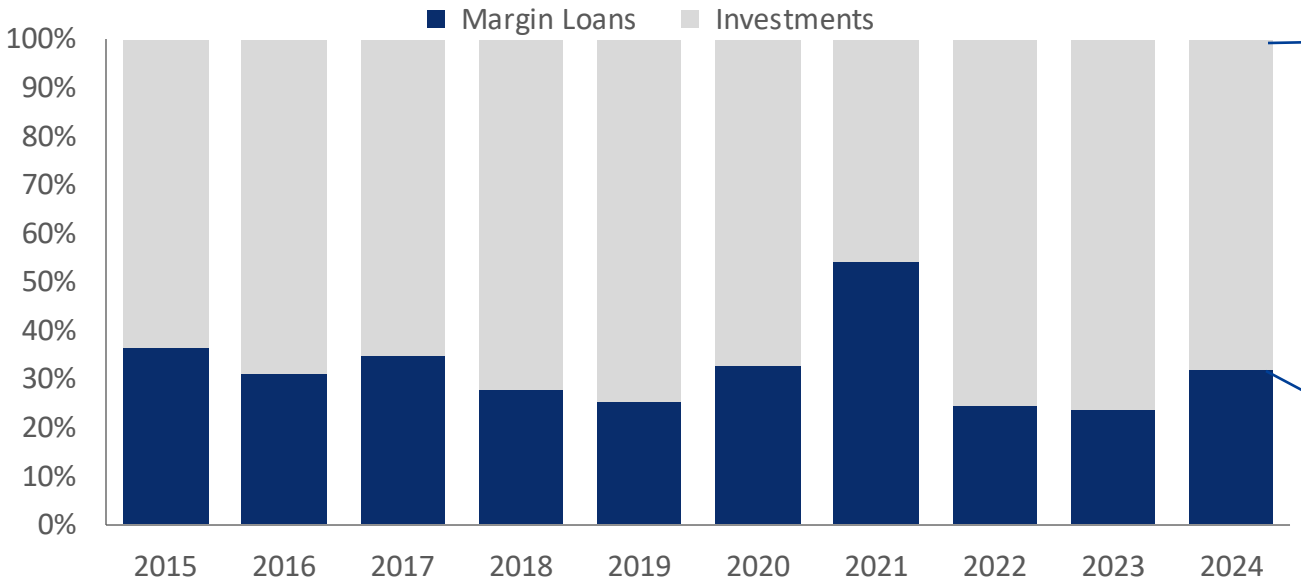
Sources: Securities Law, FiinPro, SSI, Team Analysis

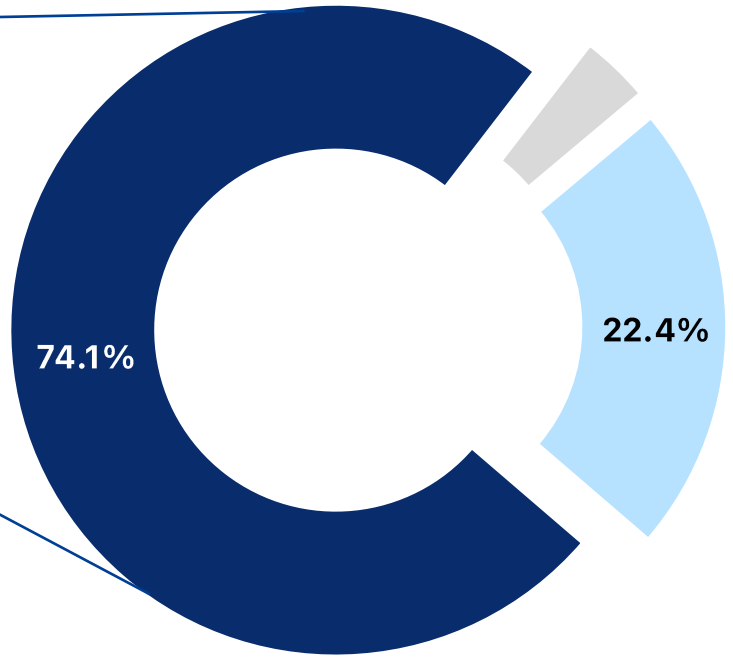
THESIS 03: ROBUST FINANCIAL HEALTH - POOR PROFITABILITY

Most of the earning assets are fixed-income instruments

Earning assets allocation of SSI

Investment (FVPTL + HTM + AFS) and Margin Loans [%]





95%

Fixed Income Instrument

This portfolio is low-risk and generates stable income

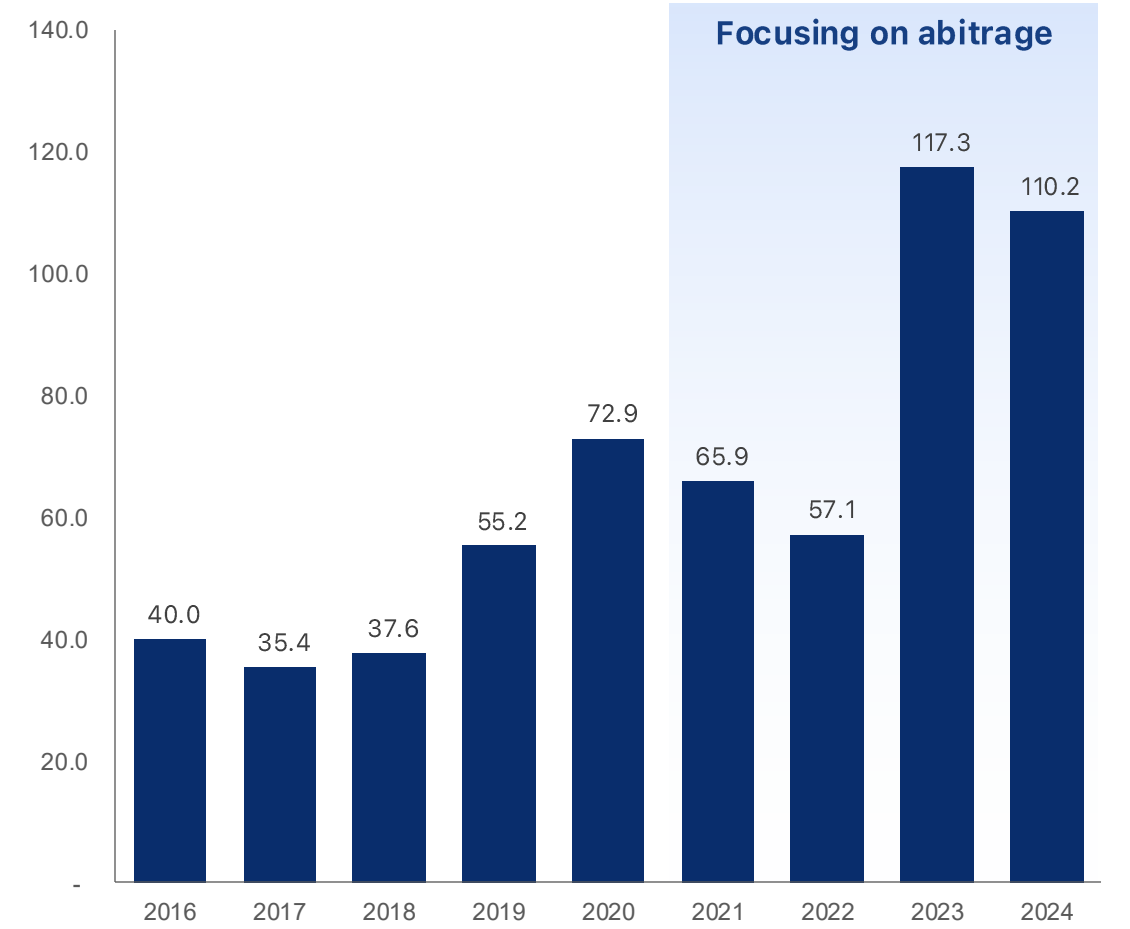
Sources: SSI, Team Analysis

THESIS 03: ROBUST FINANCIAL HEALTH - POOR PROFITABILITY

Creating a strong cash flow which neutralizes interest expense

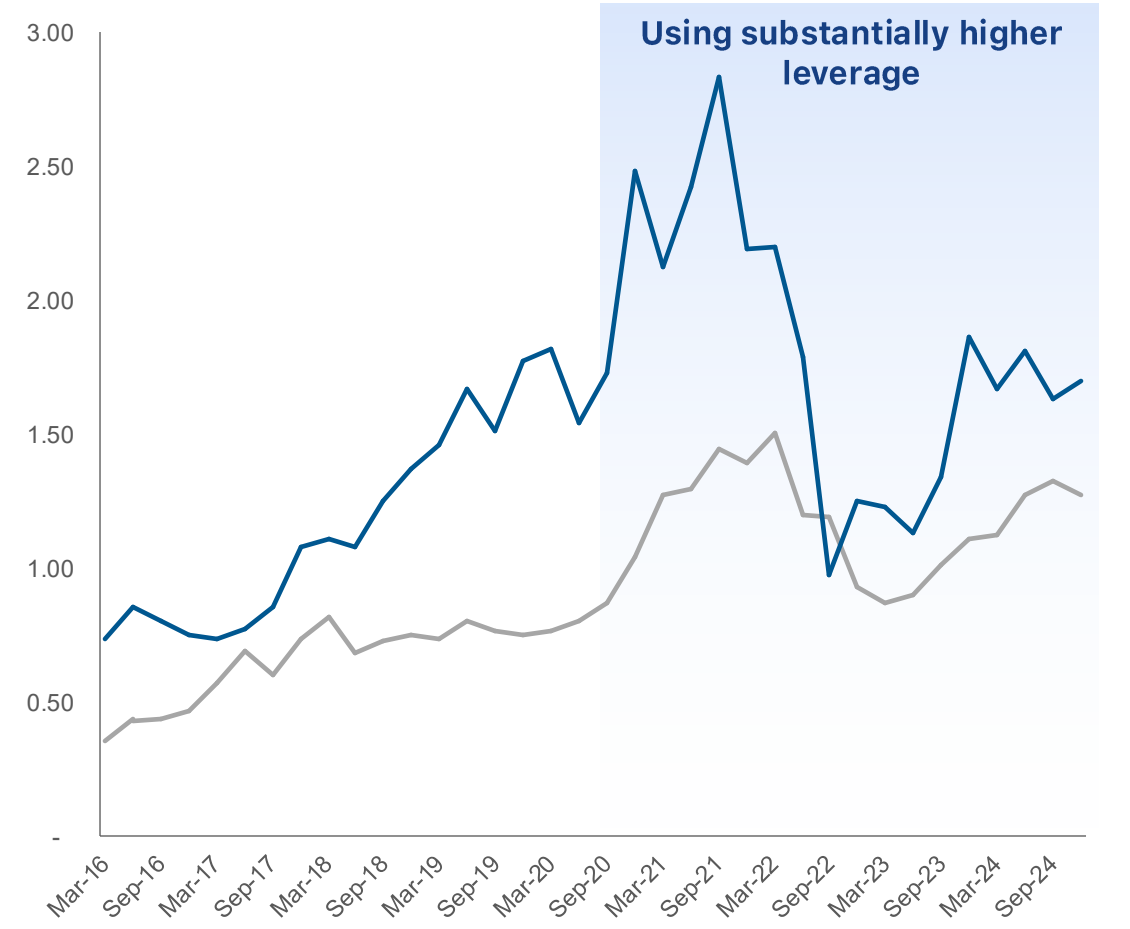
Strong cash flow from arbitraging …

Investing income [USD mn]



… allow a higher leverage compared to competitors

SSI's leverage compared to peers [D/E]



Comparable peers: TCBS, HCM, MASC, VPBS, VND, MBS

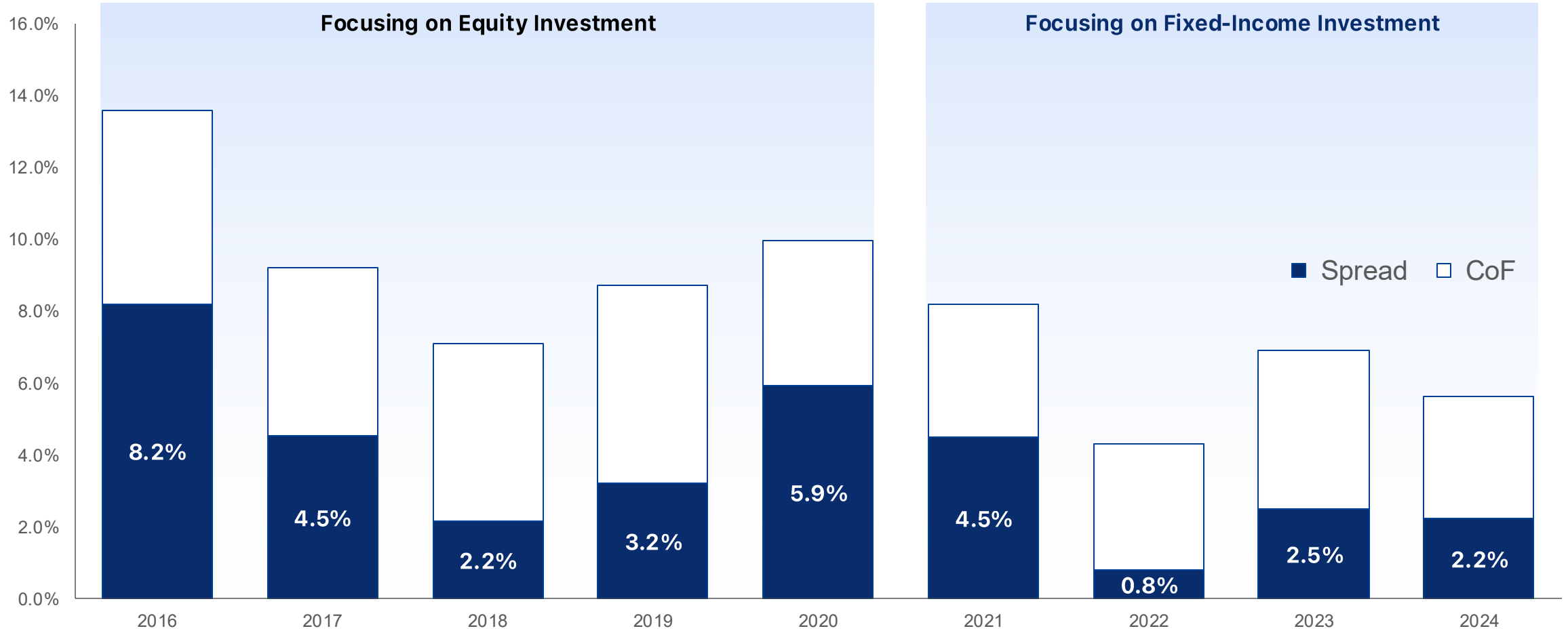
Source: FiinPro, Team Analysis

THESIS 03: ROBUST FINANCIAL HEALTH - POOR PROFITABILITY

But they hinders SSI's profitability

But both return and spread of this business are considerably low

Investment segment's yield and spread [%]



Spread = ROI - CoF

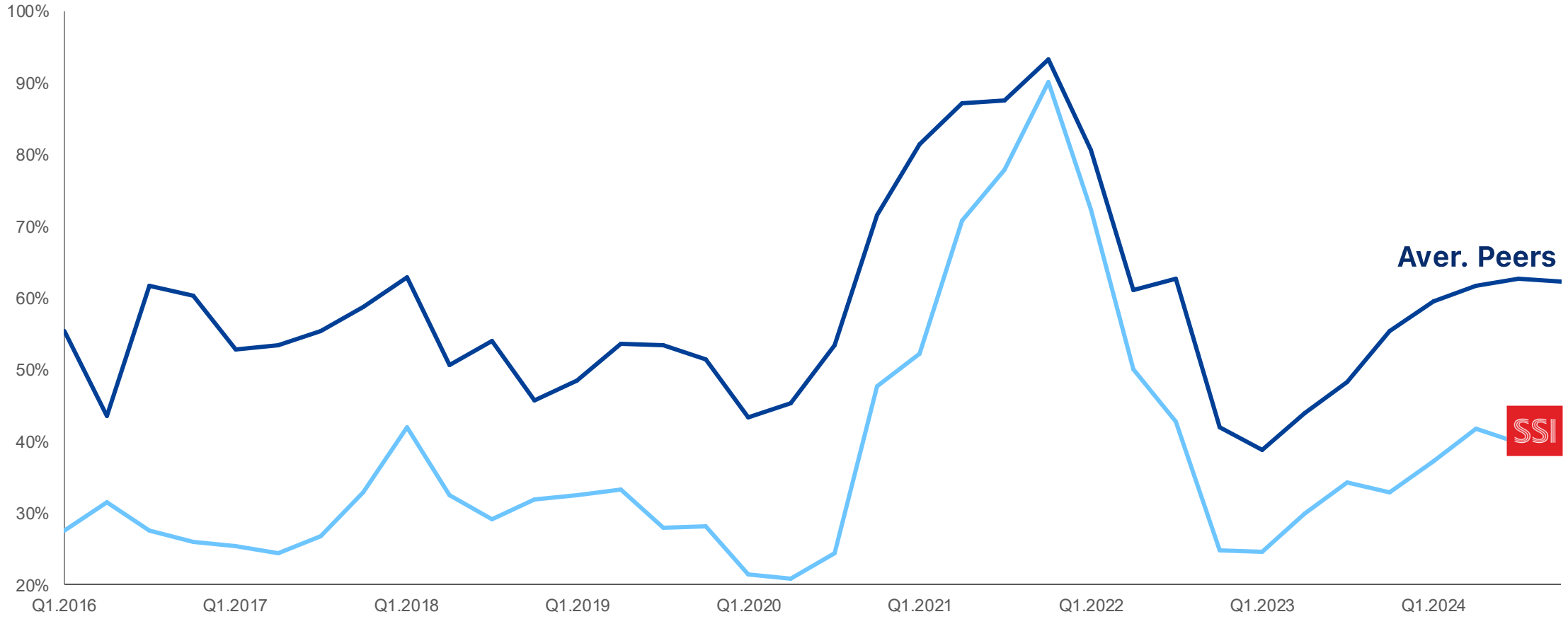
Source: SSI, Team Analysis

THESIS 03: ROBUST FINANCIAL HEALTH - POOR PROFITABILITY

Plus a suboptimal competitive positioning in core business

Margin Lending occupation rate of SSI compared to Peers

Margin Lending occupation rate [%]



Comparable peers: TCBS, HCM, MASC, VPBS, VND, MBS

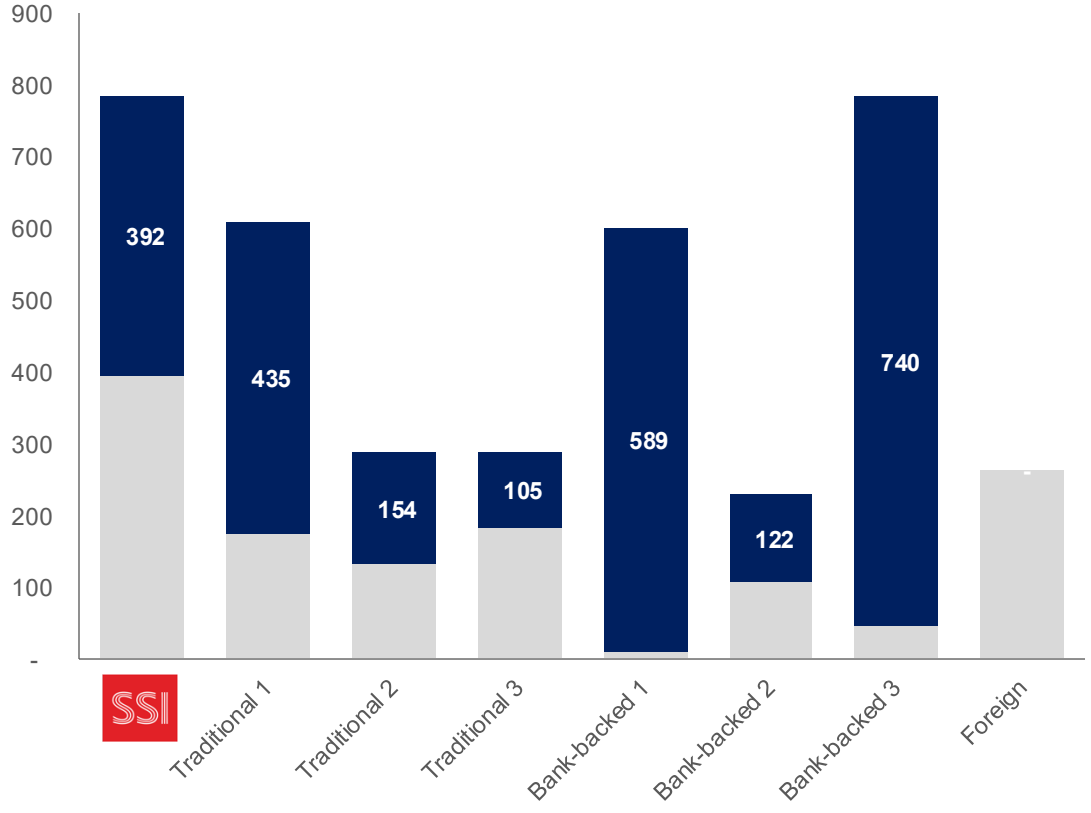
Source: FiinPro, Team Analysis

THESIS 03: ROBUST FINANCIAL HEALTH - POOR PROFITABILITY

Issuing equity is making SSI over-capacity for their client base

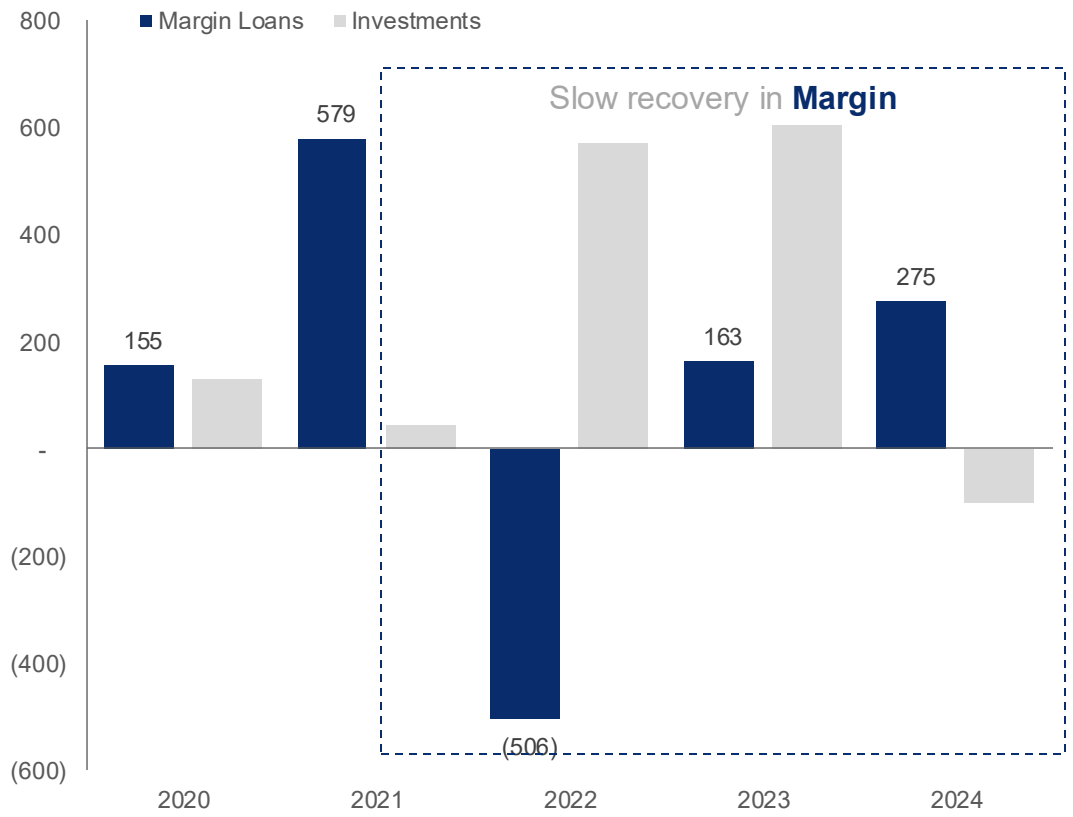
SSI is among the tops in issuing Equity competition …

Equity base and new issuance from 2021 –.2024 [USD mn]



… But fails to convert them to margin loans

Change in asset classes of SSI [USD mn]



Traditional firms: VND, VCI, HCM I Bank-backed firms: TCBS, VPBS, MBS I Foreign Firm: MASC

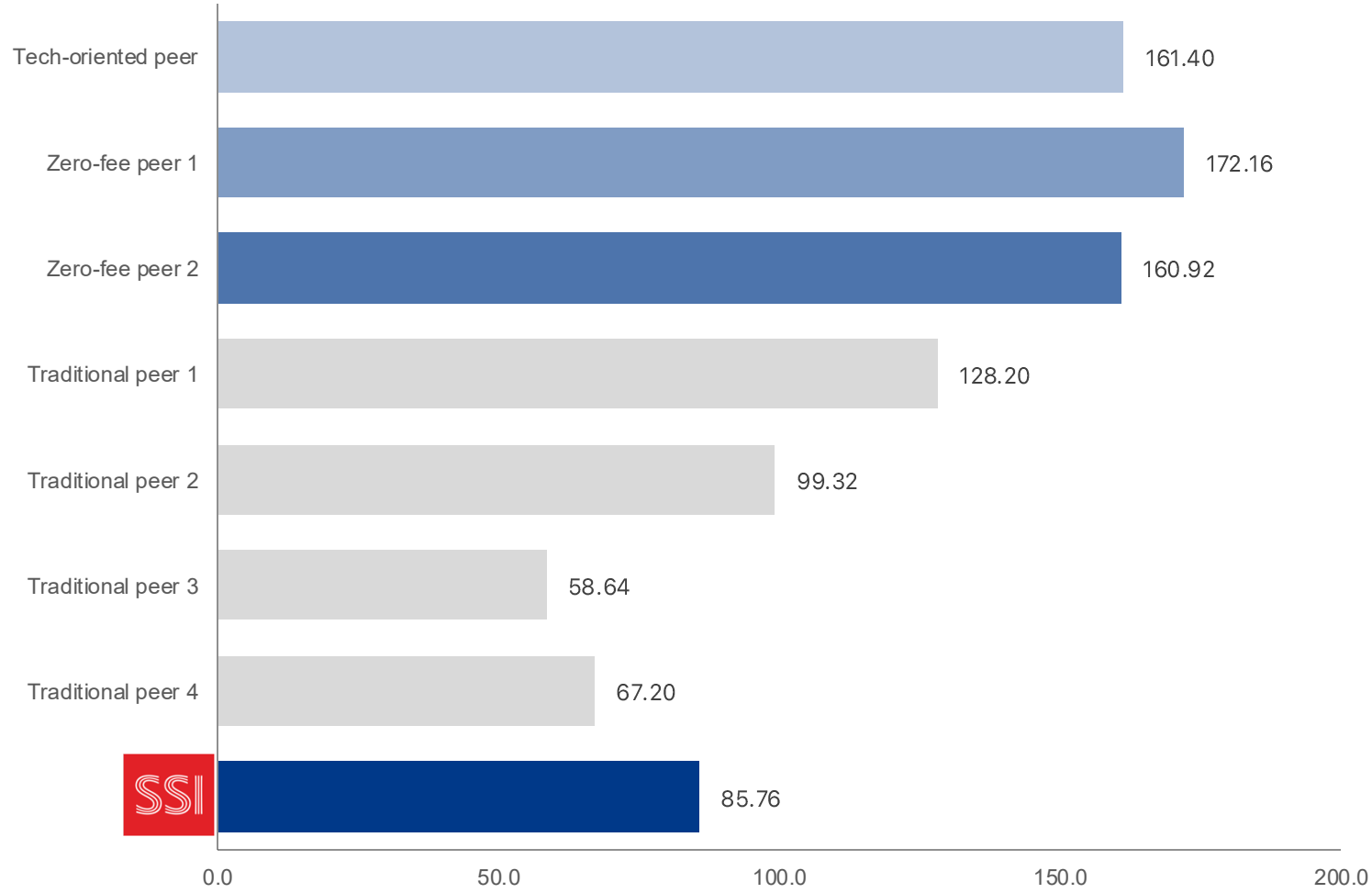
Source: FiinPro, Team Analysis

THESIS 03: ROBUST FINANCIAL HEALTH - POOR PROFITABILITY

Too many staffs will burden the operating profit

SSI massive workforce results in low efficiency...

Revenue of Brokerage + Margin Lending per Staff [USD thousand]



1,637 employees

X4 times the competitor

45% lower efficiency compared to peers

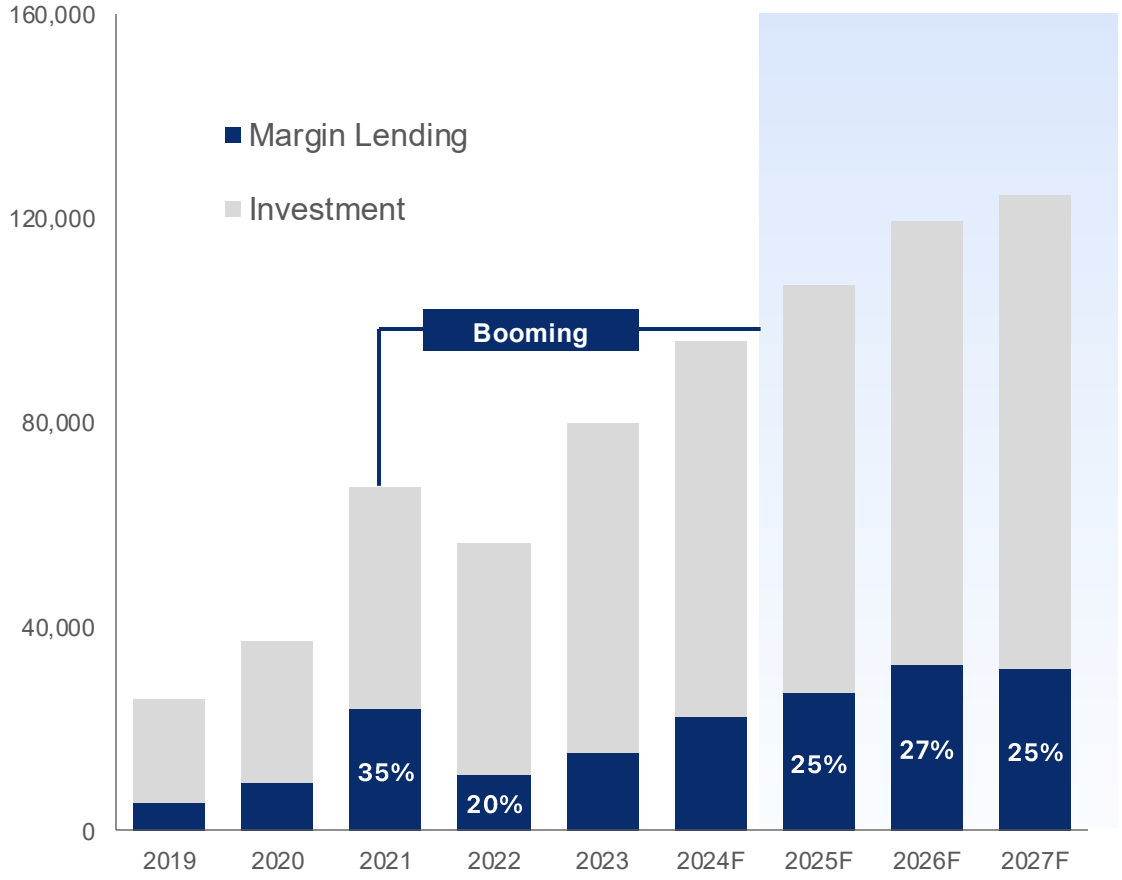
Source: Companies annual report, Team analysis

THESIS 03: ROBUST FINANCIAL HEALTH - POOR PROFITABILITY

With the absence of Margin, profit would slow down

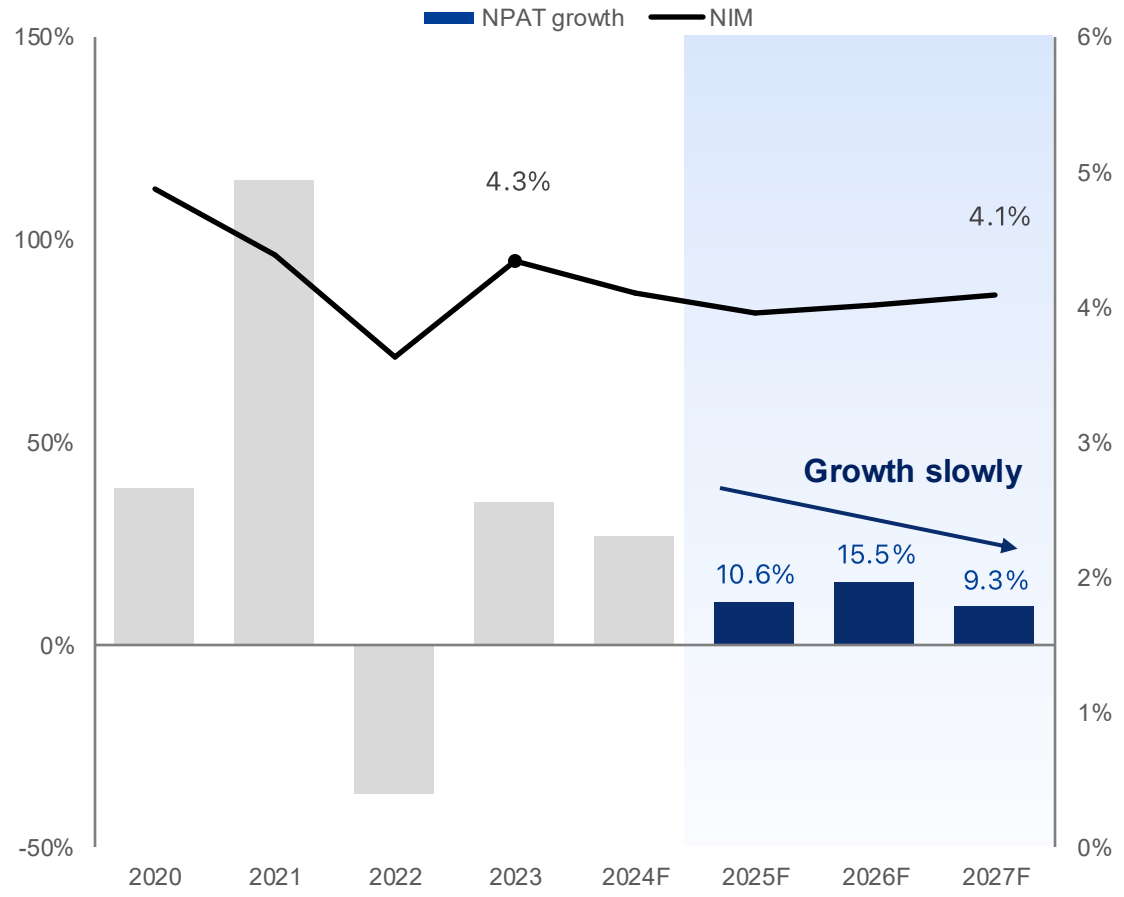
Margin Loans proportions will rise again but less nuance

Earning assets by segments [VND bn]



NIM will not expand, profit slows down

NIM forecast [RHS,%] and NPAT growth [LHS,%]



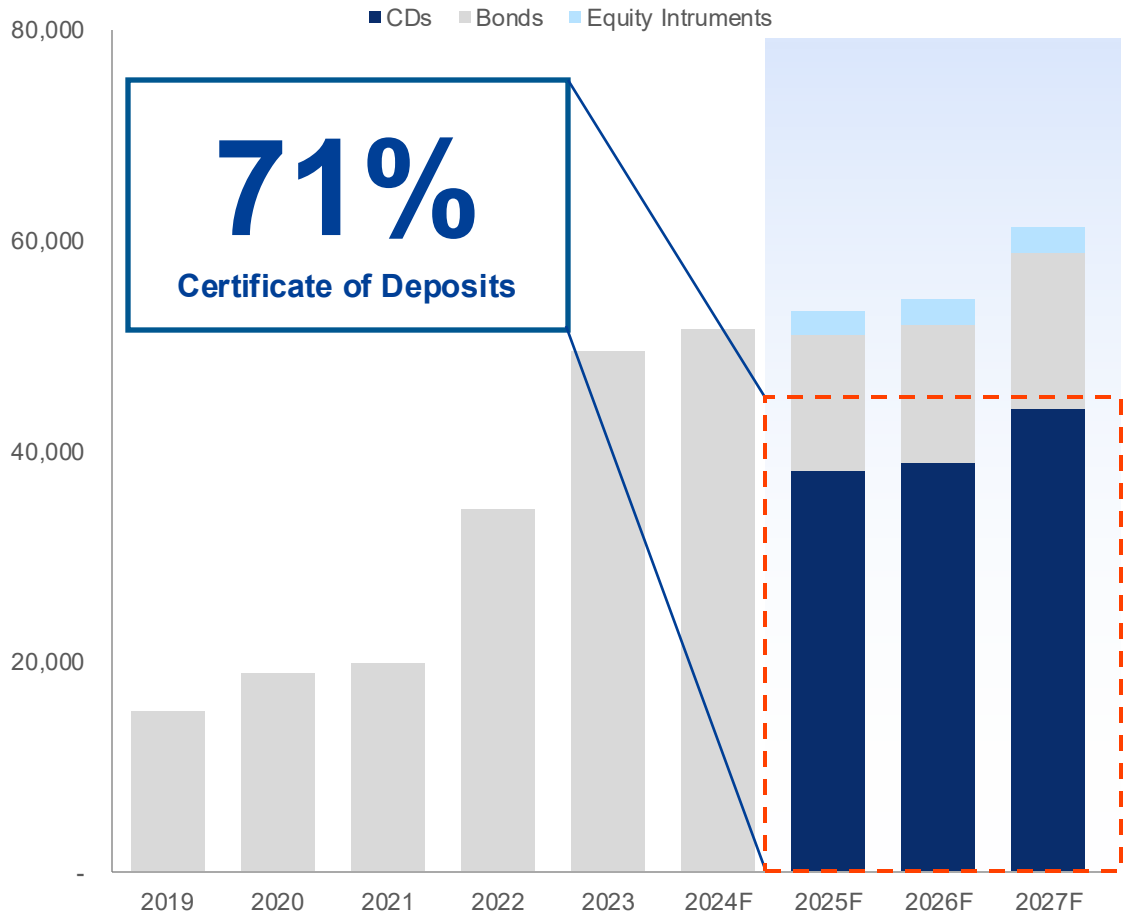
Source: Team analysis

THESIS 03: ROBUST FINANCIAL HEALTH - POOR PROFITABILITY

ROE will not satisfy the current market

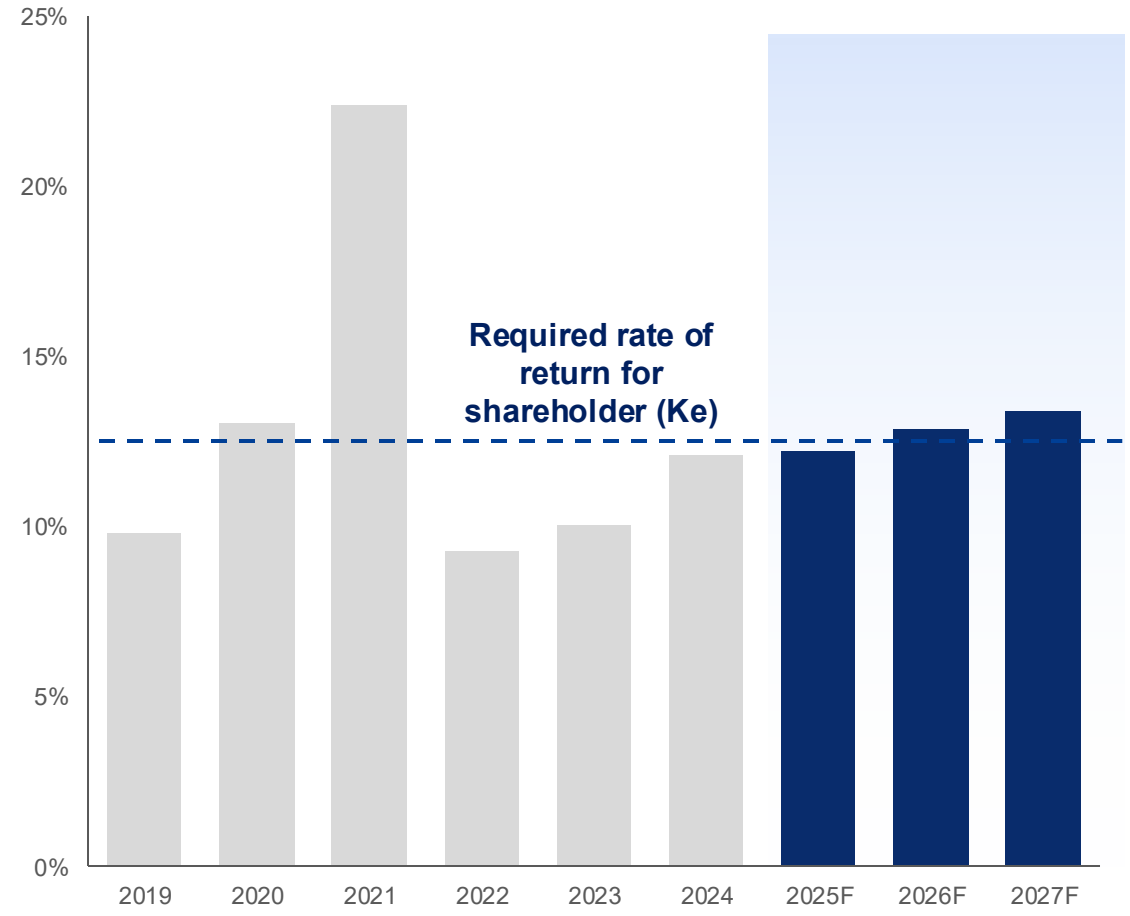
Investing strategy stays conservative with CDs and Bonds

Investment assets by segments [VND bn]



…%ROE will stay low, hence the downgrade in valuation

%ROE forecast [%]



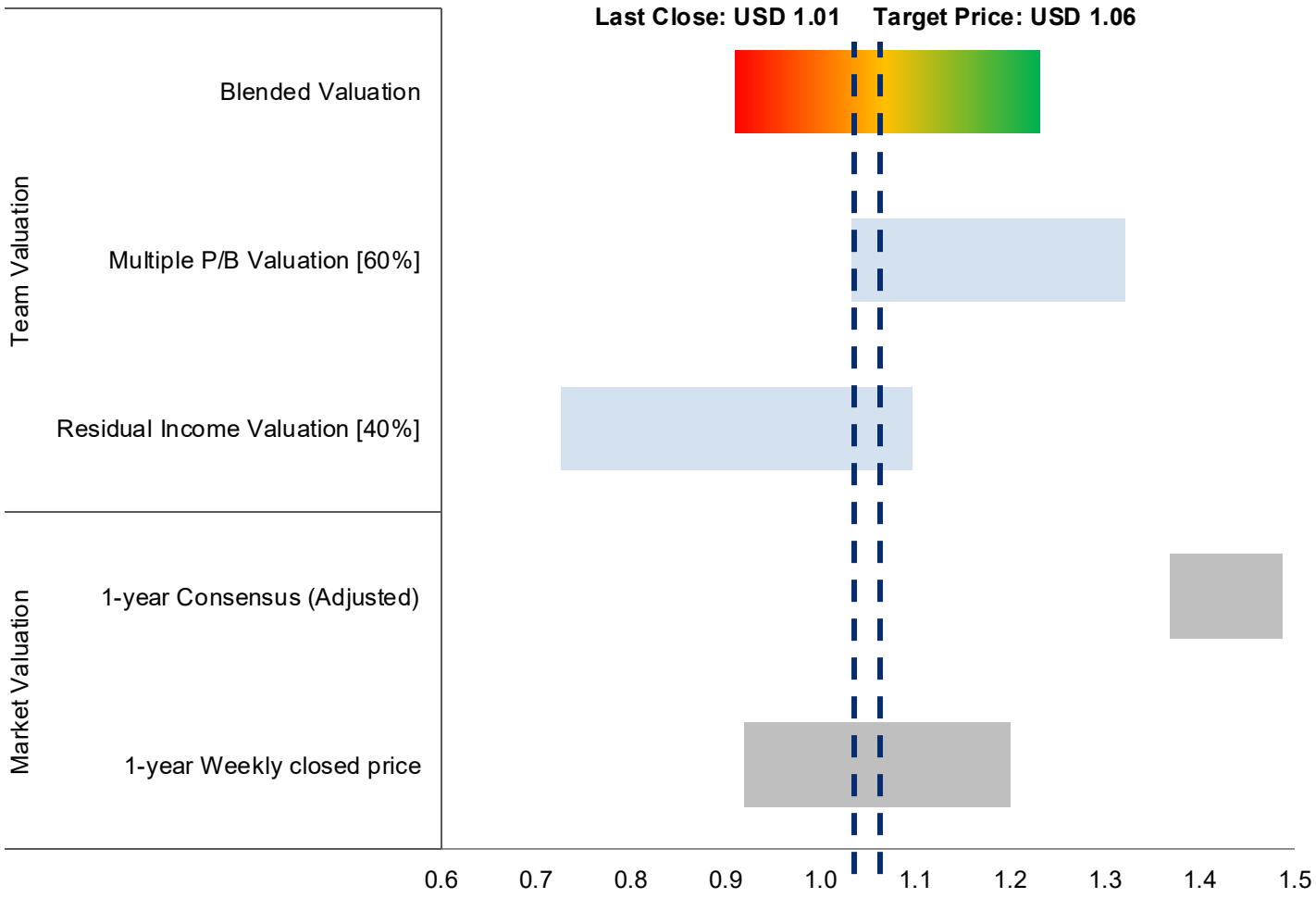
Source: Team analysis

VALUATION

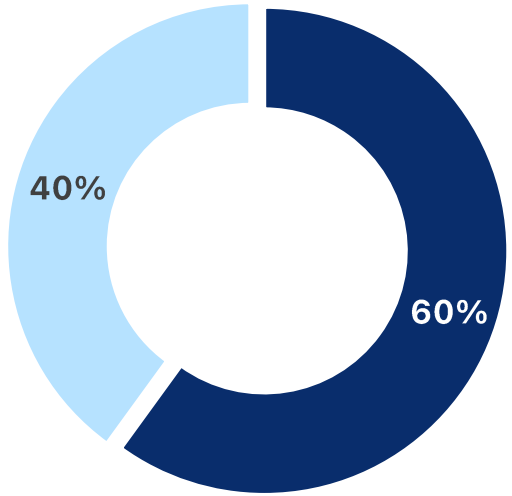
The “pricing” model shows a higher TP than the “valuation” model

Our blended valuation results in a conservative forecast price compared to other consensus

Valuation football field [USD/share]



Residual Income model:
Less weighted as the intrinsic value approach is ineffective



Relative Multiple:
More important as the market affects heavily

ROE: 13-14%	CoF: 3.5%	Ke: 12.5%

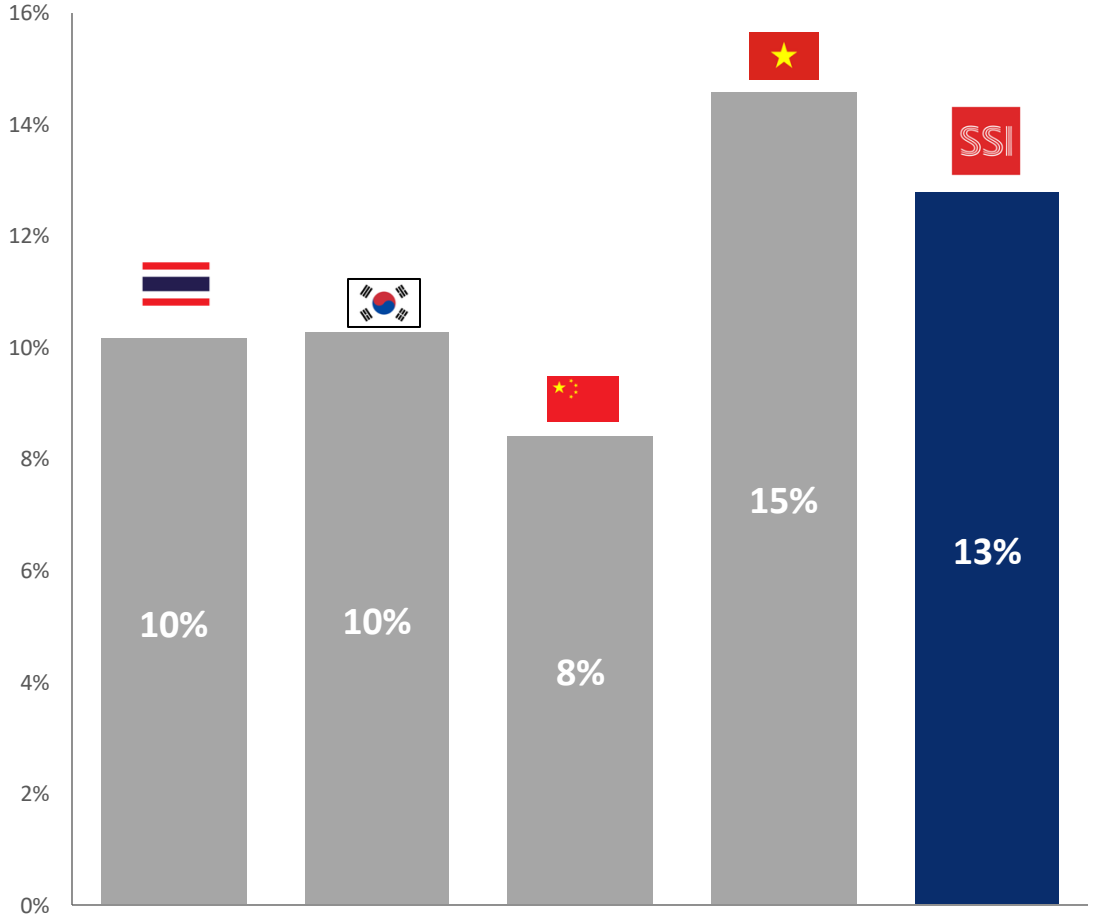
Source: Bloomberg, Team analysis

VALUATION

There is a re-adjustment risk as Vietnam brokers are priced higher

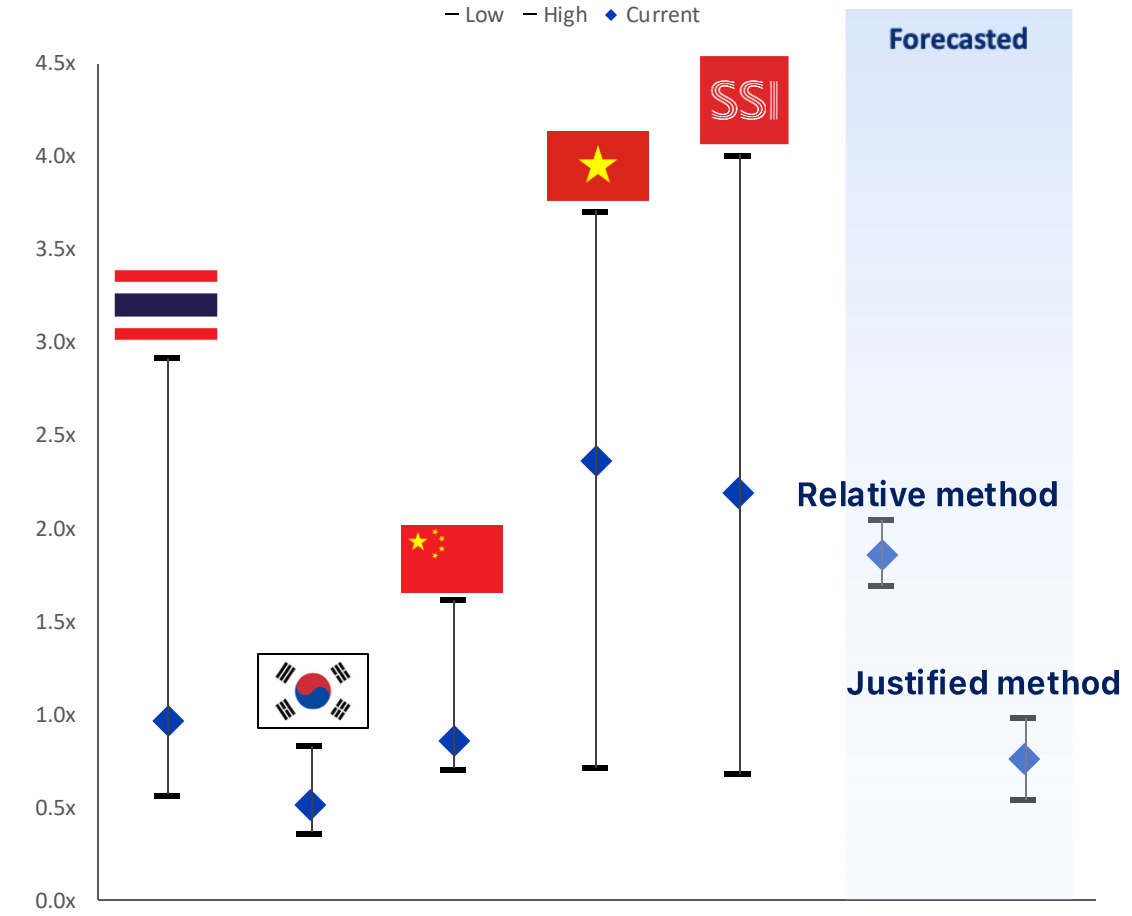
Vietnam's brokerage firms show a slightly higher ROE …

Average ROE of other markets and SSI 2019-2024 [%]



… though the pricing multiple is almost 2x

SSI and other markets P/B fluctuation from 2019-2024 [x]



Note: Vietnamese flag represents for Vietnam brokerage comapanies

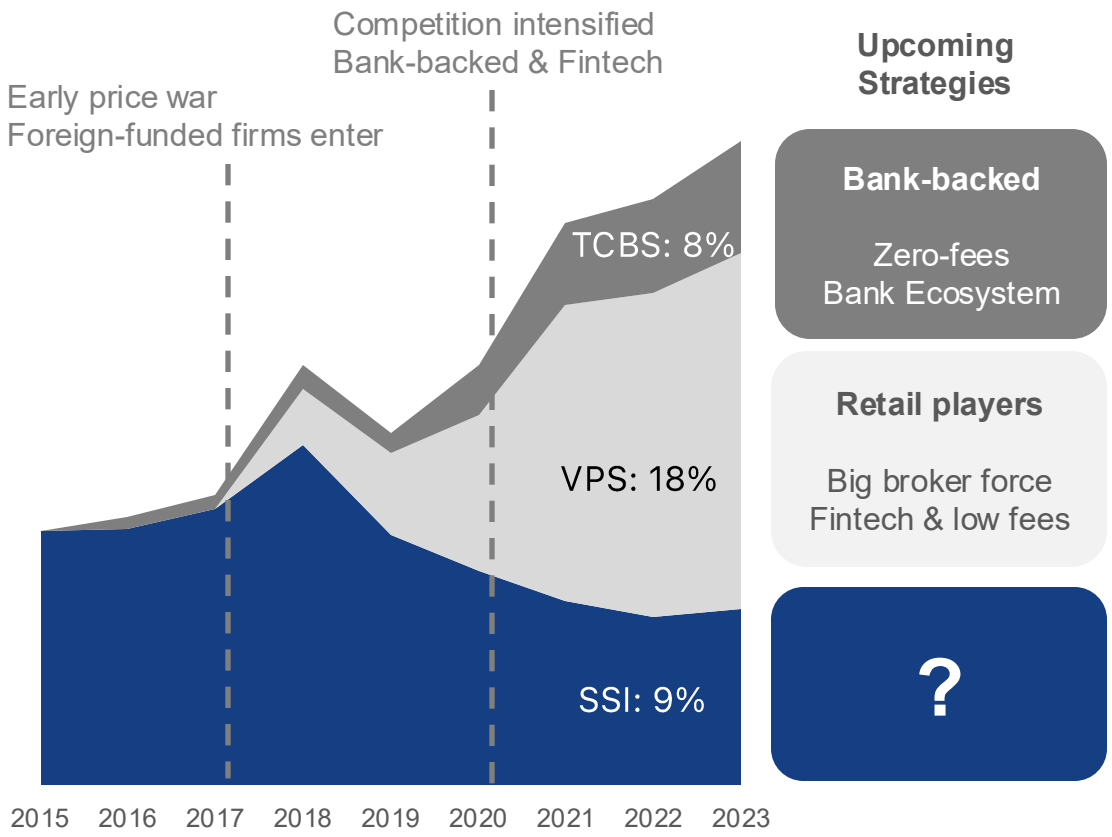
Source: Bloomberg, Team analysis

VALUATION

SSI's premium is disappearing along with its competitive position

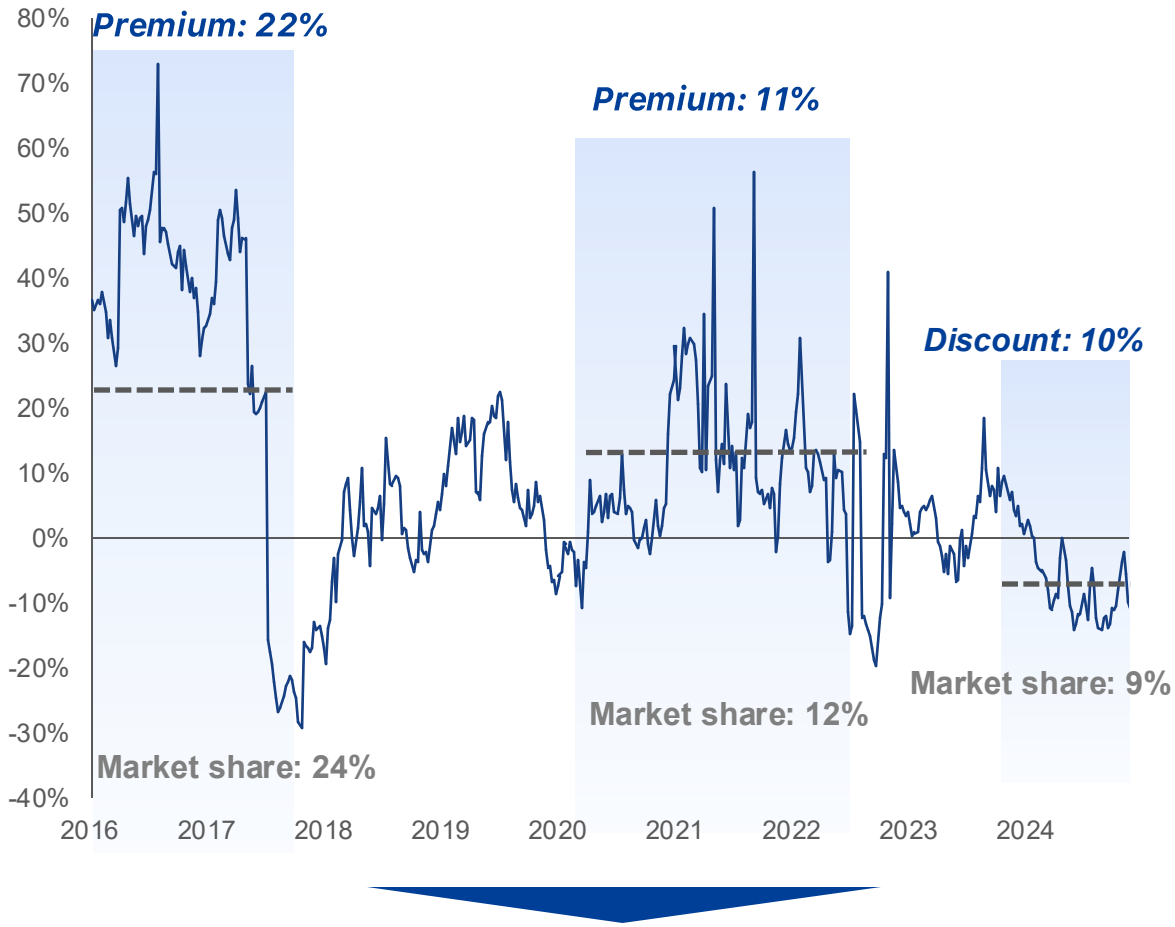
SSI is losing their position in a highly competitive industry

Securities industry market share [%]



This has been reflected on SSI's premium, which is fading away

SSI's P/B premium to comparable peers fluctuations [%]



Premium/Discount: 0%

Note: Comparable peers included VND, HCM, VCI, FTS, MBS, BSI

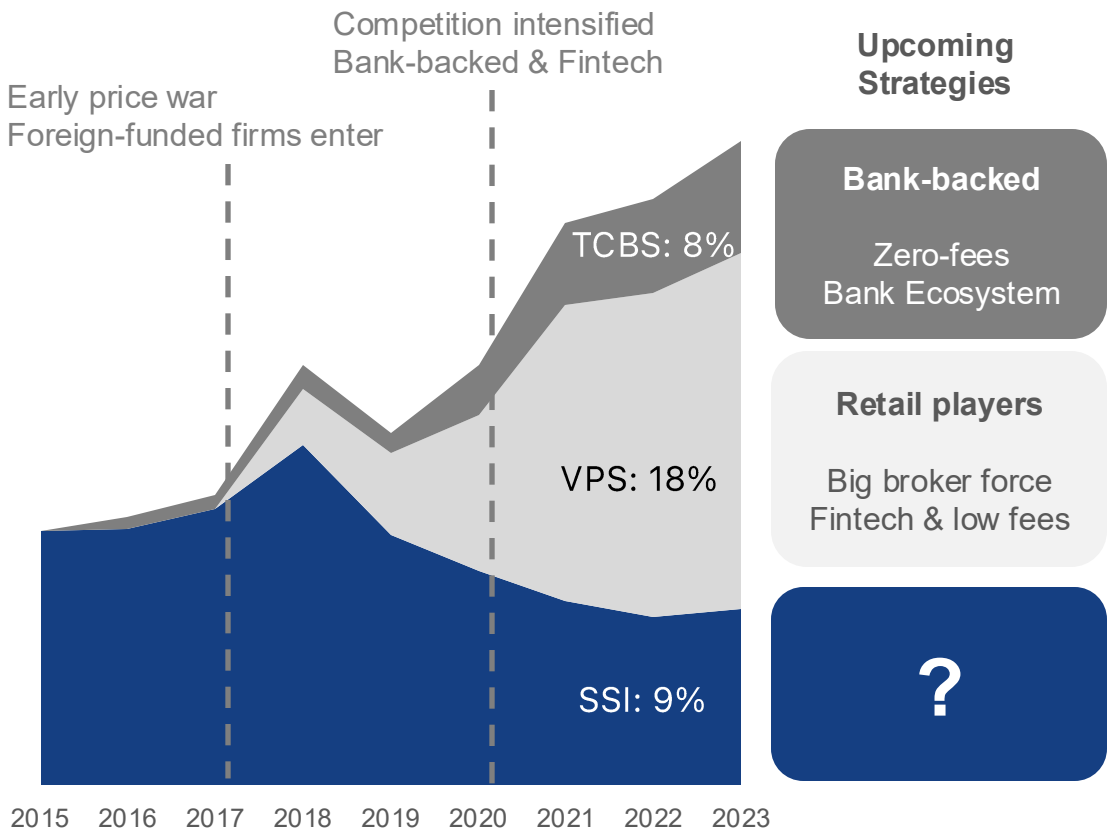
Source: Fiinpro, Team analysis

VALUATION

SSI's premium is disappearing along with its competitive position

SSI is losing their position in a highly competitive industry

Securities industry market share [%]



Thus, P/B will be similar to peers' mean of the 2017-18 cycle

SSI's P/B fluctuation from 2016-2024 [x]



Target Multiple: 1.9x

Note: Comparable peers included VND, HCM, VCI, FTS, MBS, BSI

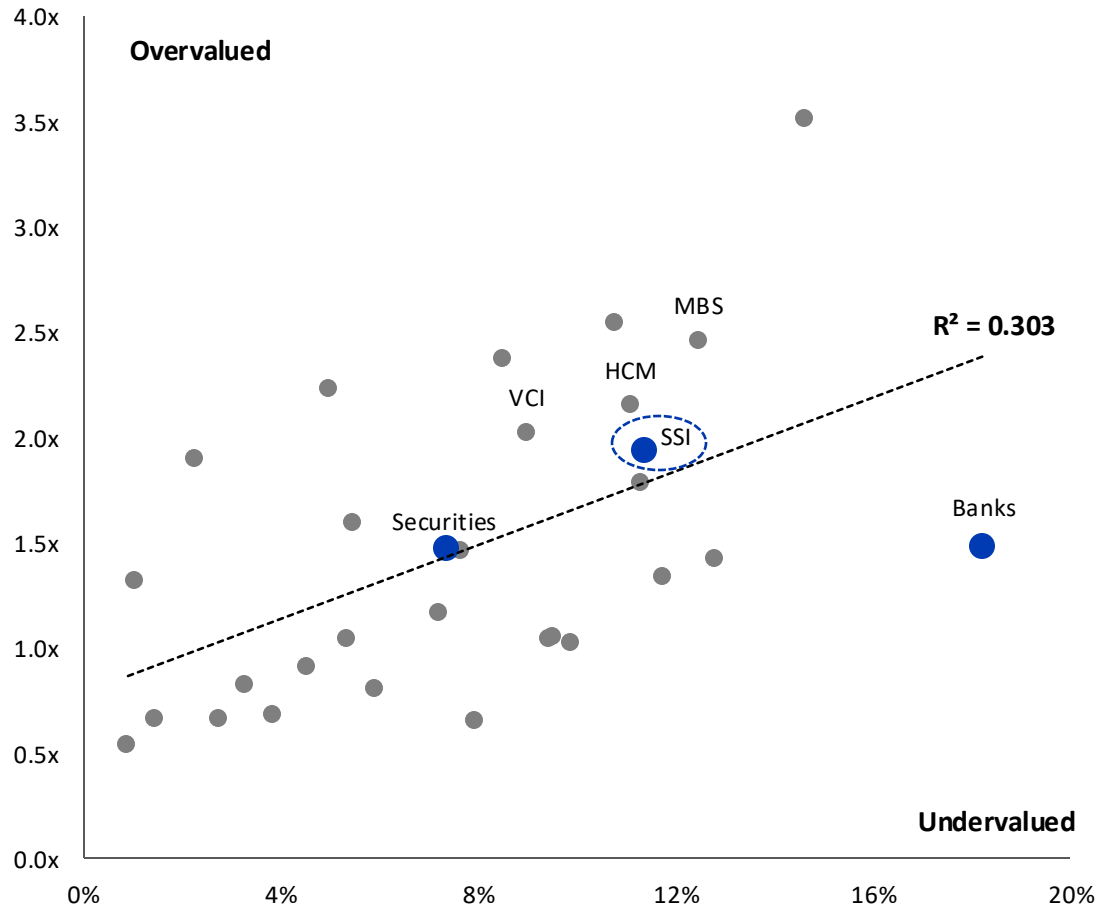
Source: Fiinpro, Team analysis

VALUATION

Currently, SSI has a "fair" price compared to peers and the past

An unattractive “price” compared to peers…

TTM P/B [Y] vs ROE [X] regression between securities comapanies

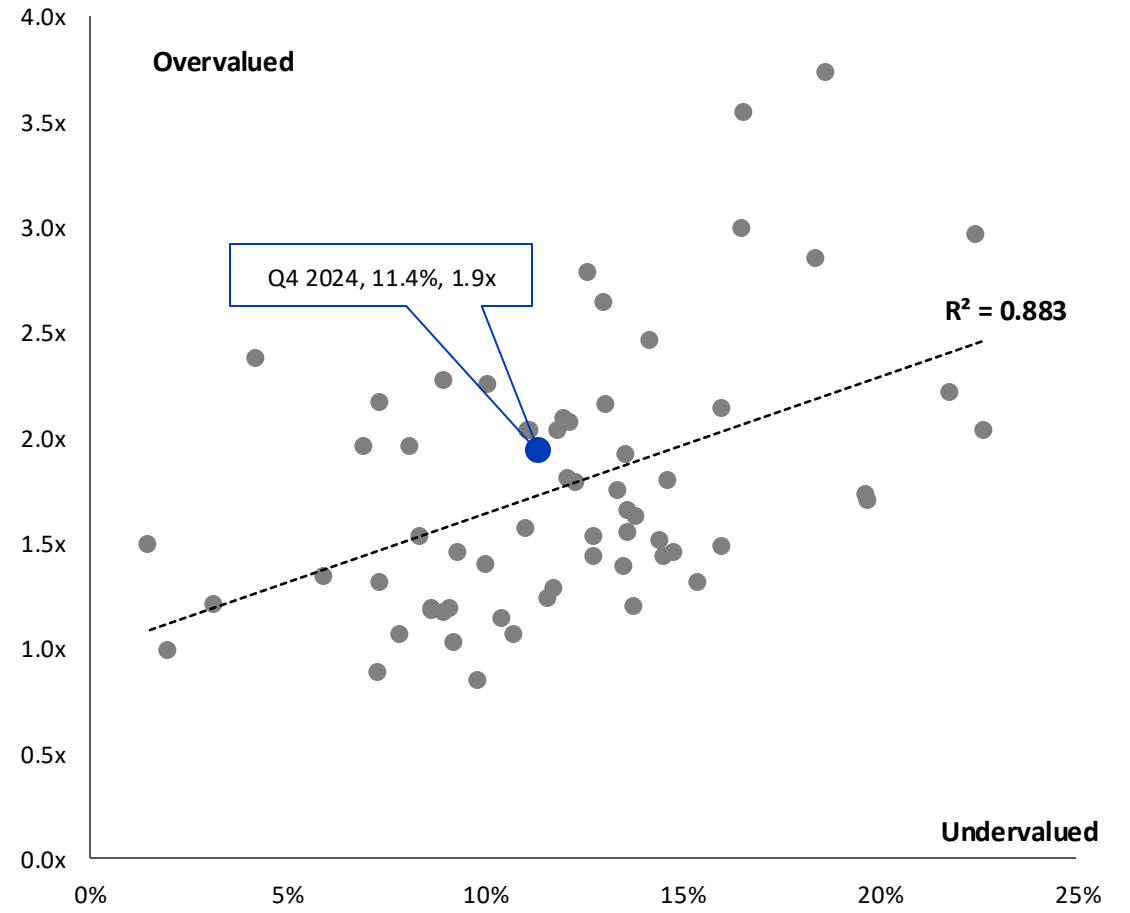


Note: Regression is based on Q4 2024 data

Source: Fiinpro, Team analysis

…. and for themselves in the past as well

Time-series regression of SSI’s TTM P/B [Y] vs ROE [X]

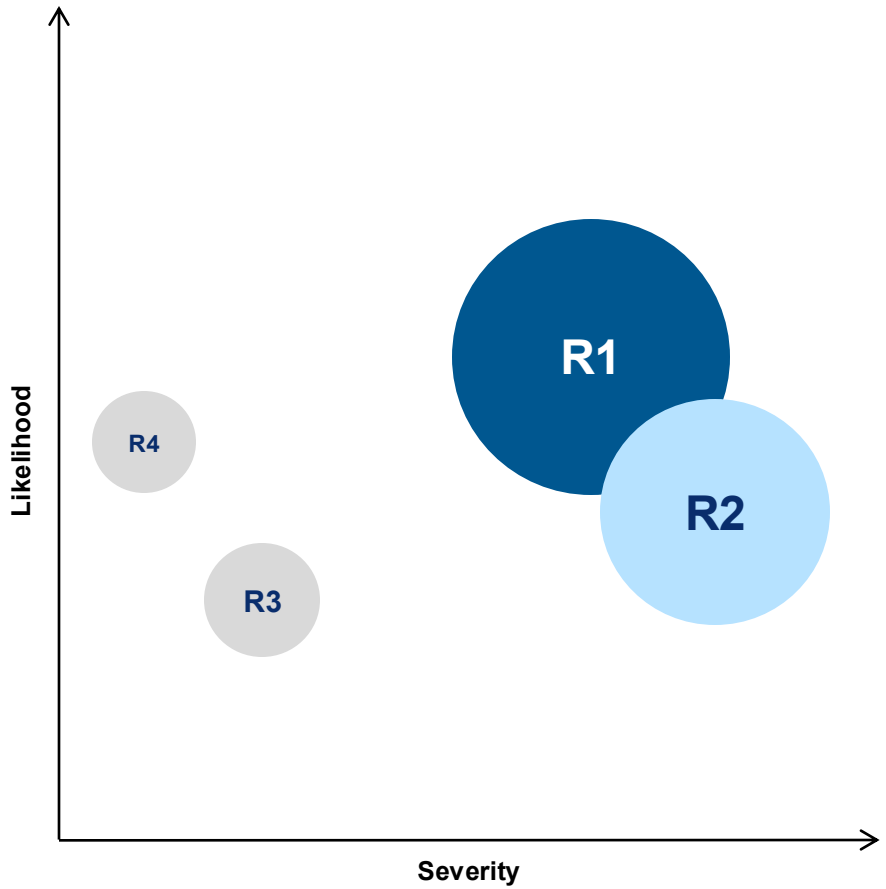


Note: Data collected from Q1 2009 to Q4 2024

INVESTMENT RISKS

We identify two main risks: Market risk and Competition risk

We expect that this risk although systematic may be smoothed out in the long run…



R1 **Market Risk**: Near terms headwinds such as FX pressures & foreign net selling may impair sentiment

R2 **Competition Risk**: Increased competition intensity in brokerage industry could decrease market share.

R3 **Operation Risk**: A sudden increases in interbank rate can lead to a loss of trading assets.

R4 **Event Risk**: Failed FTSE market reclassification trigger a sell-off after the verdict and slowdown market liquidity.

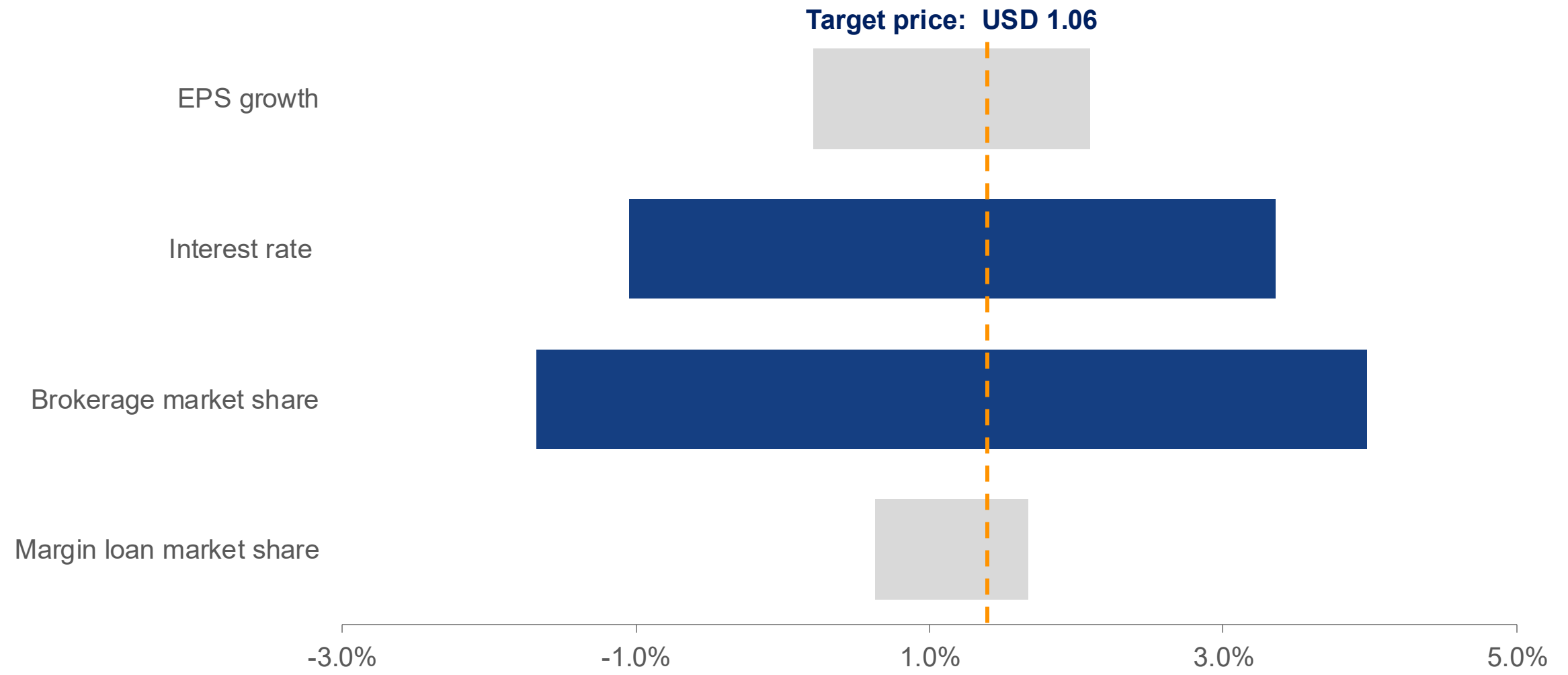
Source: Team Analysis

INVESTMENT RISKS

Our upside is sensitive to Interest rate and Brokerage market share

Valuation upside is most sensitive to Interest rate and Brokerage market share

Fluctuation of valuation upsides with changes in key assumptions [%]



Source: Team analysis

INVESTMENT RISKS

Market state and Competitive positioning determine the outlook

	BULL CASE	BEAR CASE
Target Price	USD 1.2	USD 0.9
Upside/downside	▲24.7%	▼7.9%
Key drivers: Market share	**Attracting customers** by a **superior segment**	**Losing customers** to **Zero-fee and Bank-backed firms**
Margin Loans CAGR	▲24.7%	▼7.9%
Key drivers: Market ADTV	Strong boost	Weak market
Key metrics	ADTV: 1.2 – 1.4 USD bn Market share ▲1-2% %ROE ~17%	ADTV: 0.5 – 0.6 USD bn Market share ▼1-2% %ROE ~10-11%

Source: Team analysis

ENVIRONMENT, SOCIAL & GOVERNANCE

SSI's social and governance raises concerns

	Score	Highlights	
 ENVIRONMENT	**3.6/4.0**	Efforts to preserve the sustainability of ecosystem	✓
		Consider ESG criteria in investment decision-making	✓
 SOCIAL	**3.2/4.0**	Strong emphasis on comprehensive staff development	✓
		Recognized and valued contributions to community	✓
		Mass layoffs right before Lunar New Year	✗
 GOVERNANCE	**3.1/4.0**	Lack of independence between BoM and BoD	✗
		Potential dilution due to persistently capital raising	✗

Source: SSI, Team analysis

ENVIRONMENT, SOCIAL & GOVERNANCE

SSI shows strong responsibility in environment



MSCI 3.6/4.0

Preserve sustainability of ecosystem

Consider ESG criteria in investment decision-making

As a signatory to the United Nations' Principles for Responsible Investment…

PRI Principles for Responsible Investment

…SSI's portfolio includes companies committed to sustainable development.

Concung is a retail chain for mother and baby products, while also developing high-quality, affordable products for children.

concung.com

PAN Group is a leading agriculture & food group from Vietnam, offering innovative products & solutions across sustainable value chain – Farm, Food, Family.

THE PAN GROUP

Source: SSI, Team analysis

ENVIRONMENT, SOCIAL & GOVERNANCE

Despite having positive impact on social welfare, SSI still raises concerns regarding mass layoffs



MSCI **3.2/4.0**

Strong emphasis on staff development

Recognized contributions to community

Mass layoffs before Lunar New Year

SSI actively organize training course for employees…

USD 125,000 in training initiatives

50,000 hours training per year

… and aims at generating long-term societal value…

USD 5.6 mn to community initiatives over 23 years

… But they still raise concern due to mass layoff

SSI laid off **200 staffs** (12% of its workforce) right before 2025 Lunar New Year

Source: SSI, Team analysis

SSI's governance issues (1/2)

GOVERNANCE

CFA Institute

3.1/4.0

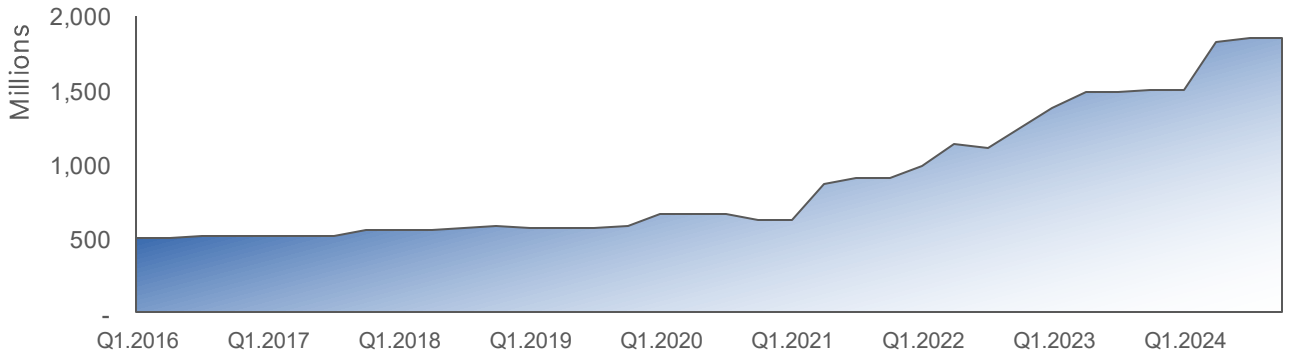
Dilution due to persistently capital raising

Lack of independence between BoM and BoD

ISS Governance QuickScore – Factor Methodology

3.6/10 Audit & Risk Oversight	4.8/10 Board
5.2/10 Shareholder Rights & Takeover Defenses	7.3/10 Compensation / Remuneration

Persistent capital raising dilutes shares, harming shareholder right



Source: SSI, Team analysis

SSI's governance issues (2/2)

GOVERNANCE

CFA Institute

3.1/4.0

Dilution due to persistently capital raising

Lack of independence between BoM and BoD

Balanced shareholder structure is overshadowed by concerns due to lack of independence between BOD and BOM

Family relationship

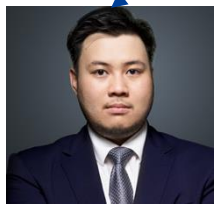


Chairman of SSI

Son

Younger Brother

Younger Brother



Member BOD of SSI

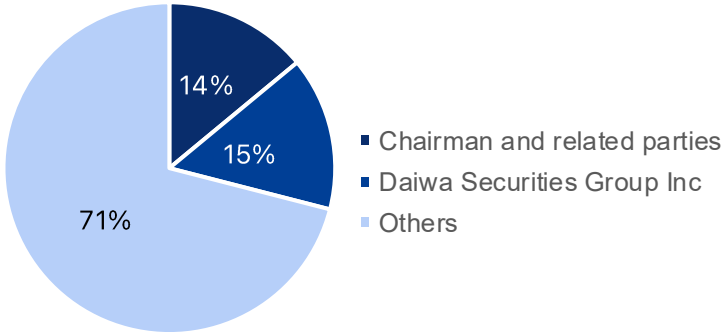


Chairman of SSIAM

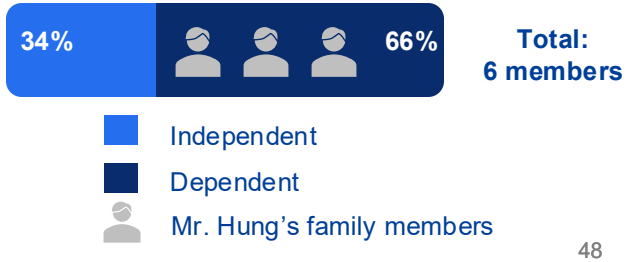


Member BOD cum CEO of SSI

Shareholder structure



Mr. Hung's family dominates the BOD structure



Source: SSI, Team analysis

RECOMMENDATION

We issue a HOLD Recommendation

Favourable market conditions…

…**intensive competition** limits growth

Prudent management strategies limit risks…

…now unfit to new competition dynamics

Robust financial health…

…is a trade-off for **poor profitability**

HOLD

12M target price: USD 1.06

UPSIDE: 7.7%

VN-FINLEAD: 9.9%

VN30: 8.8%

*1Y rolling returns

Source: Team analysis

APPENDIX

Presentation Map

1. Market consensus
2. **Main Deck**
3. Executive summary
4. Business Overview
5. Financial and share price perfomance
6. **Thesis 1: Favourable industry prospect – Worrying competition**
7. Thesis 1: Vietmam's Outlook
8. Thesis 1: Catalyst 1
9. Thesis 1: Catalyst 2
10. Thesis 1: Market rerate
11. Thesis 1: Liquidity forecast
12. Thesis 1: Poor-economic industry
13. Thesis 1: Overcapacity
14. Thesis 1: Excess capital
15. Thesis 1: Compeition
16. **Thesis 2: Management was strength – Unfitness to new dynamics**
17. Thesis 2: Management was a sharp weapon, but it is no longer
18. Thesis 2: Management was a sharp weapon, but it is no longer (2)
19. Thesis 2: Recent efforts have yielded the expected results:
20. Thesis 2: SSI's execution ability is concerned
21. Thesis 2: SSI still struggles to defend itself against fee competition
22. Thesis 2: SSI is facing steep competition in other business segments
23. Thesis 2: SSI is facing steep competition in other business segments
24. Thesis 2 SSI's market share has been falling
25. Thesis 2 Market share will be constrained even in a favorable market
26. **Thesis 3: Robust financial health – Poor profitability**
27. Thesis 3:
28. Thesis 3:
29. Thesis 3:
30. Thesis 3:
31. Thesis 3:
32. Thesis 3:
33. Thesis 3:
34. Thesis 3:
35. Thesis 3:
36. **Valuation: Valuation football field**
37. Valuation: Readjustment risk
38. Valuation: SSI's multiple premium
39. Valuation: SSI's target multiple
40. Valuation: Peers and Time-series regression:
41. **Investment risks matrix**
42. Sensitivity analysis
43. Scenarion Analysis
44. **Environment, Social & Governance**
45. ESG: Evironment analysis
46. ESG: Social analysis
47. ESG: Governance analysis (1/2)
48. ESG: Governance analysis (2/2)
49. Recommendation
50. Presentation Map
51. Appendix Map

APPENDIX

Appendix Map

50. Presentation Map
51. Appendix Network

Appendix A: Overview

52. A1 - Technology – Friendly trading platform
53. A2 - Technology 2 - Lack of innovation

Appendix B: Thesis 1

54. B1 – Stock market in 2024
55. B2 - Real estate market boom
56. B3 – Subprime loan risks
57. B4 – Market EPS forecast
58. B5 - Tarrif risk (1/2)
59. B6 – Tarrif risk (2/2)
60. B8 - Macroeconomic snapshot
61. B9 - Vietnam equity market snapshot
62. B10 - Reclasification criteria

Appendix C: Thesis 2

63. C1 - Other-revenue-to-brokerage expense ratio
64. C2 - Perspectives of securities firms about zero-fee trend
65. C3 - China case: Similarities of Vietnam & China's market
66. C4 - China case: Zero-fee takeover the market
67. C5 - India case: Market share is torn by discount brokers
68. C6 - India case: Reverts back to charging fees
69. C7 - Significant turnover in key personnels
70. C8 - Competitors: Retail segments
71. C9 - Competitors: Equity capital market
72. C10 – Product ecosystem
73. C11 - Failed & Ineffective projects
74. C12 – Internal interview statements
75. C13 – External interview statements
76. C14 - Retail sales structure 2021-2023

Appendix D: Financial Analysis

77. D1 – Earnings breakdown
78. D2 – Main financial metrics
79. D3- Market share
80. D4 – Peers earning assets
81. D5 – Peers earnings metrics
82. D6 – Forecast methodology: VN-Index and Liquidity (1/2)
83. D7 – Forecast methodology: VN-Index and Liquidity (2/2)
84. D8 – Forecast methodology: Investment portfolio (1/2)
85. D9 – Forecast methodology: Investment portfolio (2/2)
86. D10 – Forecast methodology: Margin loan (1/2)
87. D11 – Forecast methodology: Margin loan (2/2)

Appendix E: Valuation

88. E1 – ADTV and Market
89. E2 – Brokerage segment
90. E3 – Margin loan
91. E4 – Margin loan and trading value
92. E5 – Investment segment
93. E6 – SSI's leverage
94. E7 – Residual income model
95. E8 – ROE and Cost of Equity
96. E9 – Earning assets scenario
97. E10 – Cost of Equity estimation
98. E11 - Relative pricing model
99. E12 - SSI's premium to peers
100. E13 - Scenario analysis (1/2)
101. E14 - Scenario analysis (2/2)
102. E15 - Market share in scenarios
103. E16 - Market capitalization-to-margin loan book
104. E17 - Sensivity analysis
105. E18 - Key assumptions: Base case
106. E19 - Key assumptions: Bear case
107. E20 - Key assumptions: Bull case

Appendix F: ESG

108. F1 - ESG Scorecard – Environment
109. F2 - ESG Scorecard - Social
110. F3- ESG Scorecard – Governance
111. F4 – Ownership strcuture
112. F5 – Compensation, ESOP, Dividend payout ratio
113. F6 – ISS Governance QuickScore: Audit & Risk Oversight
114. F7 – ISS Governance QuickScore: Board Structure (1/2)
115. F8 – ISS Governance QuickScore: Board Structure (2/2)
116. F9 – ISS Governance QuickScore: Shareholder Rights & Takeover
117. F10 – ISS Governance QuickScore: Compensation/Remuneration

Appendix G: Financial Statements

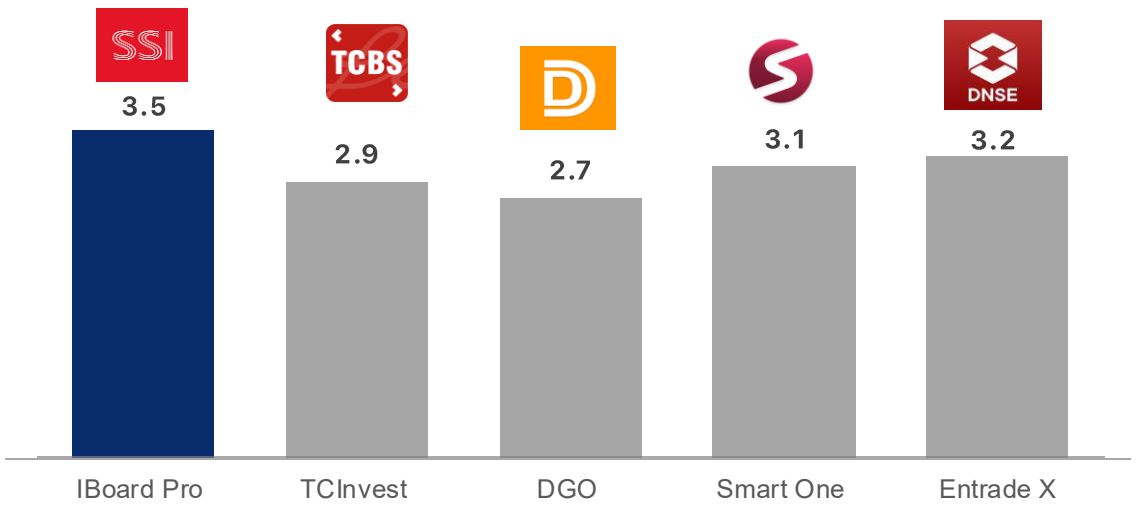
118. G1 - Balance sheet
119. G2 - Income Statement

OVERVIEW

Technology – Friendly trading platform

iBoard Pro ranks top-rated…

Trading platform ratings [points, scale 1-5]



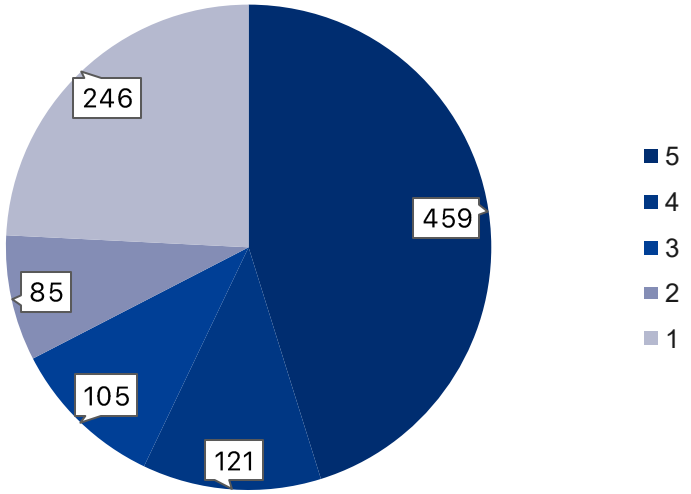
- User rated before filtering: 40,771
- User rated after filtering: 15,398 (1,018 users rated iBoard Pro)
- Filtering criteria:

[1] Responses without detail comment,

[2] Unclear information,

[3] Duplicate responses

… and receives 45% review as 5 star …



… thanks to that meet customers' needs and pain points



OVERVIEW

Technology – But lack of innovation even though significant investment

SSI invest significantly in technology….

Residual value of intangible assets [VND bn]

	2019	2020	2021	2022	2023
VPS	42.1	97,.1	108.9	168.6	146
SSI	**56**	**49.9**	**53**	**100.3**	**97**
VNDS	15	10	27	27	53.5
TCBS	16.9	17.1	16.3	16.66	14.4
HSC	18	20	12	9	5.9
MBS	17	18	41	56	44.4
VCI	5	6	3	1	7.7
DNSE	0.14	2.4	13.6	35.1	52.5

…but lack of innovation technology compared to tech-oriented firms

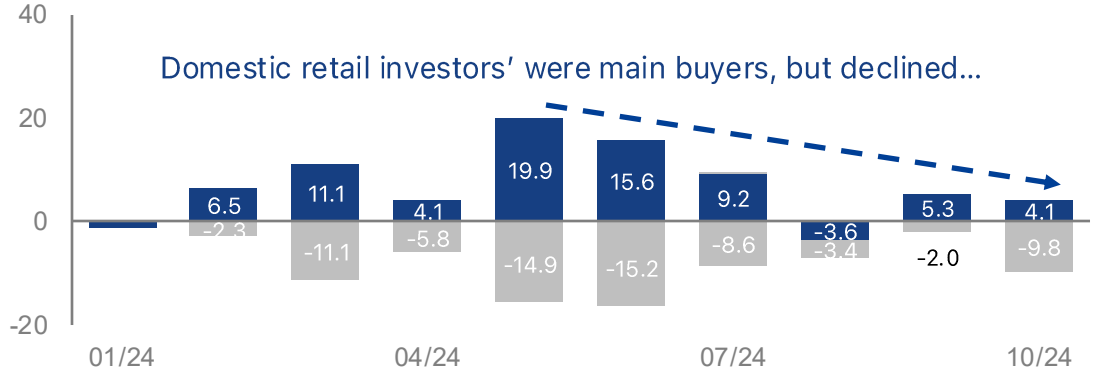
	DNSE	TCBS	SSI
Launch eKYC	Late	1st launch	Late
Complete testing KRX	100%	100%	None
AI Broker	Ensa *Launch 01/2024	None	None

GREAT INDUSTRY PROSPECT – WORRYING COMPETITION LEVEL

2024 has been a difficult year for the stock market so far…

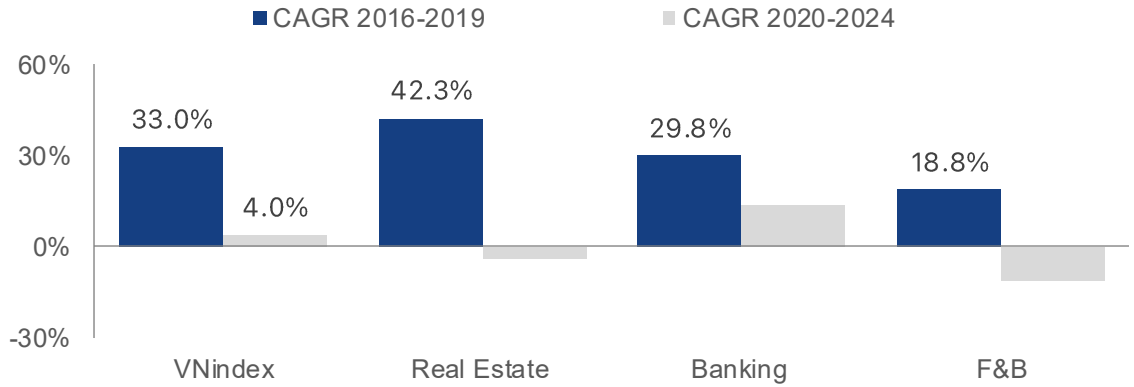
Retail investors are withdrawing from the market…

Net trading value by type of investors [VND thousand bn]



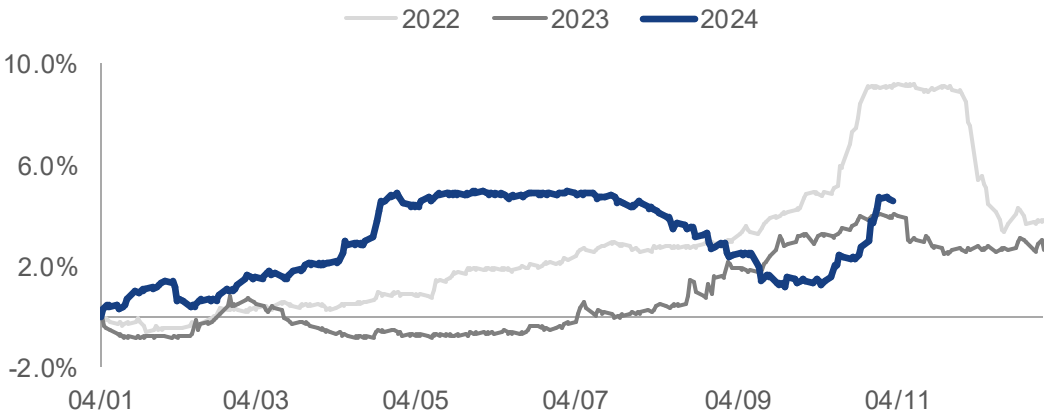
Market EPS growth disappointed, lacking key sectors

VN-Index & large market cap sectors' EPS CAGR 2016-2019 and 2020-2024 [%]



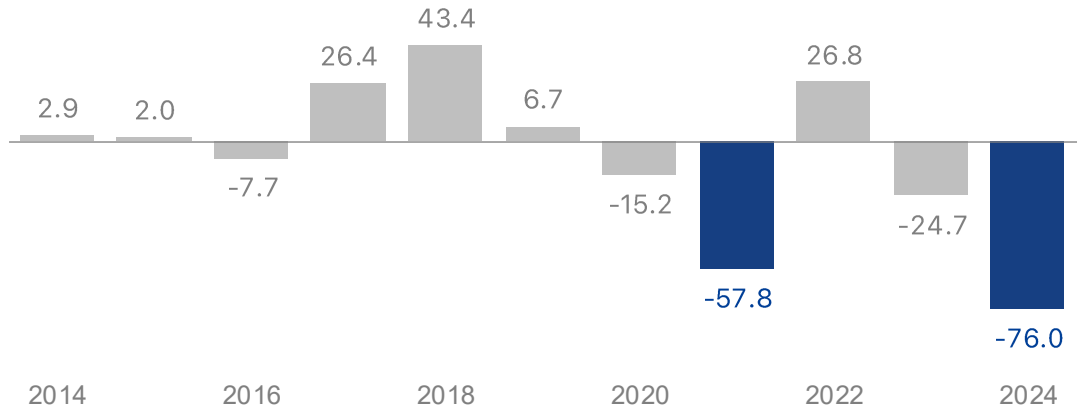
… Dollar strength weigh on investors' sentiment..

Fluctuation of VND [%]



…Foreign investors reached new historical net sell value

Accumulated net trading value of foreign investors by year [VND thousand bn]



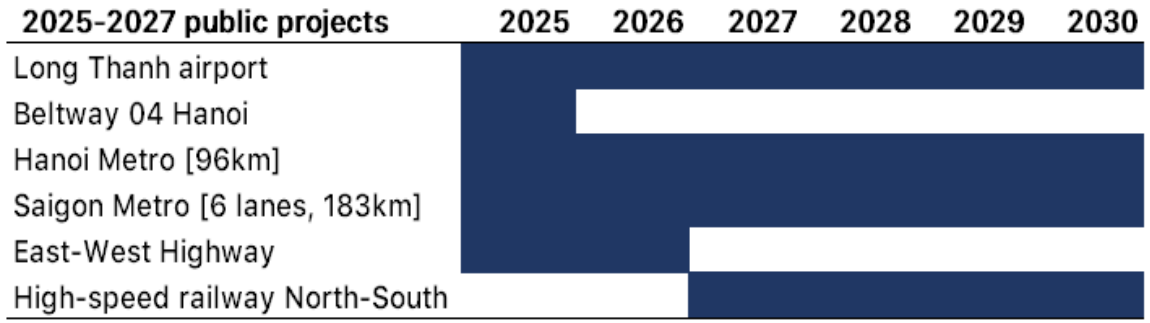
Source: FiinPro, Bloomberg, Team Analysis

GREAT INDUSTRY PROSPECT – WORRYING COMPETITION LEVEL

Driver: Real Estate knot untied, Vietnam enter a new booming cycle

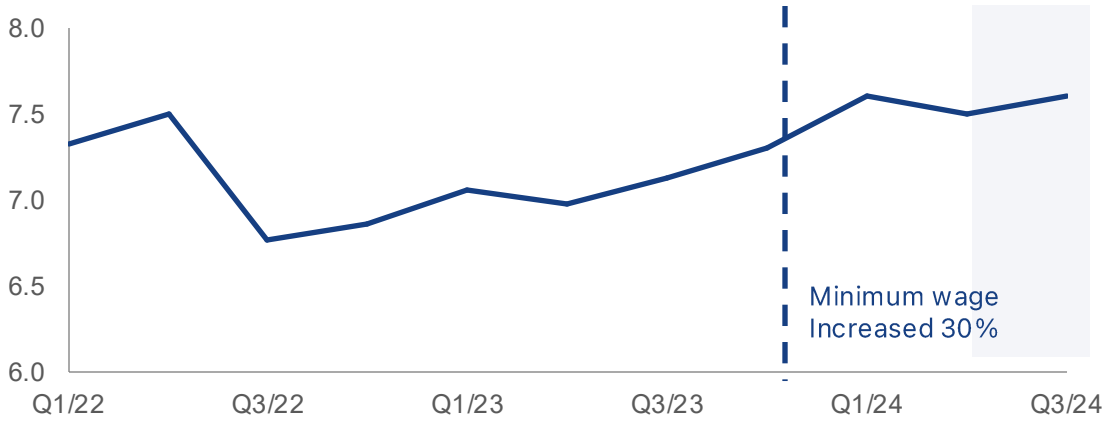
Strong political will to push public infrastructure spend…

Key national public spending projects 2025-2030



… coupled with consumer income potential recover…

Average consumer income [VND mn]

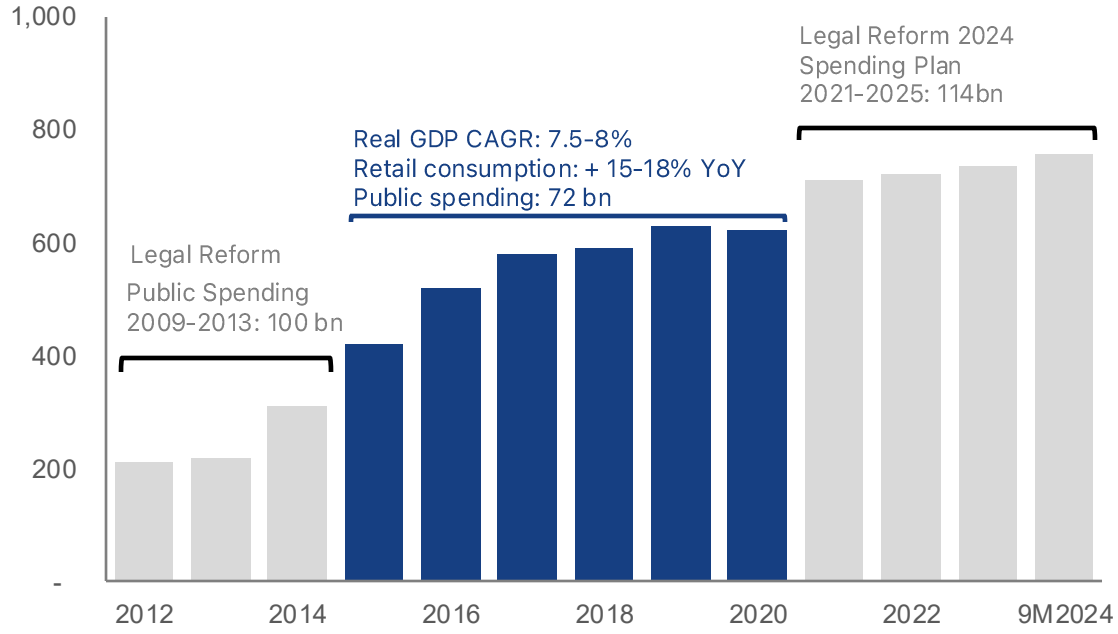


Notes: Key public spending projects are constructed within the blue-shaded line

Source: FiinPro, National Assembly Meeting 2024, CBRE, Team Analysis

… Position the real estate market for a revival, as historical patterns show

Key national public spending projects 2025-2030



"To bring our real estate market to their intrinsic value through solving the issue of supply."

- National Assembly Meeting 2024-

Notes: Legal reform 2024 – Housing & Land Law

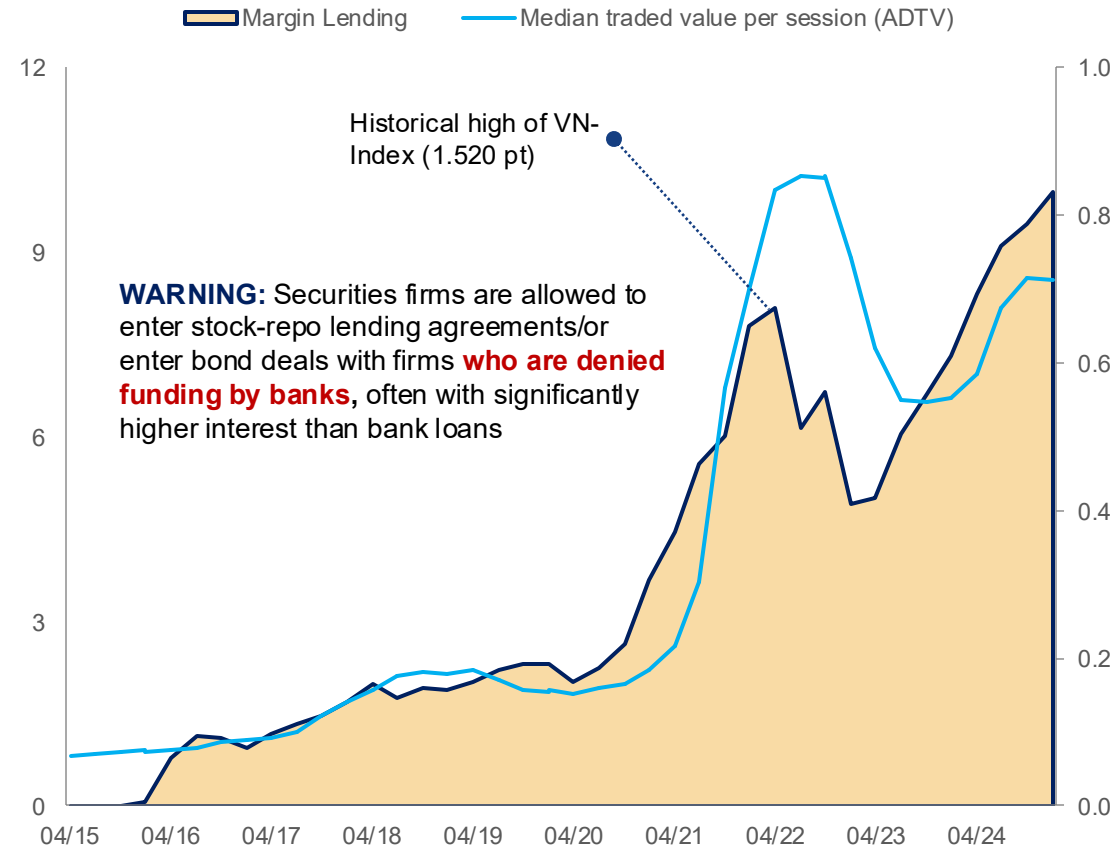
Source: CBRE, Team Analysis

GREAT INDUSTRY PROSPECT – WORRYING COMPETITION LEVEL

During excess capital periods, subprime loan is prominent

Margin lending book grew significantly though demand lagged behind…

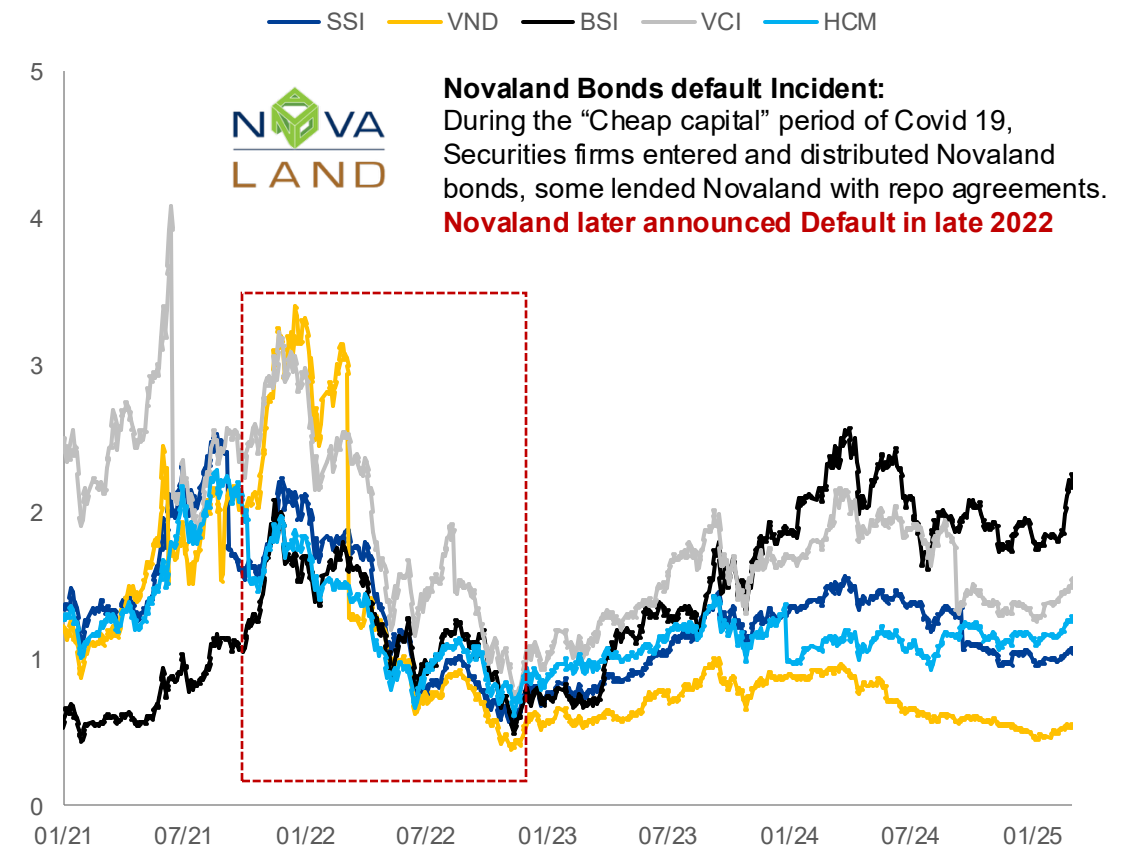
Market share of non-fee competitors* [%]



Source: FiinPro

…The subprime loan issue has happened in the past

Share price performance of Brokerage industry during Bond default incident [USD]



Notes: SSI, VND, BSI, VCI, HCM were the top 10 securities firms at the time.

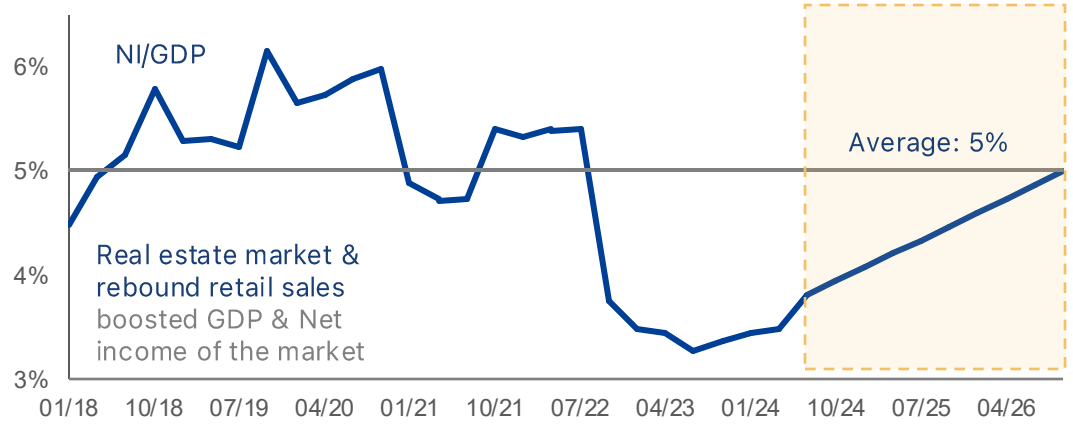
Source: FiinPro

GREAT INDUSTRY PROSPECT – WORRYING COMPETITION LEVEL

With above reasons, we forecast market EPS CAGR 24F-26F at 14%

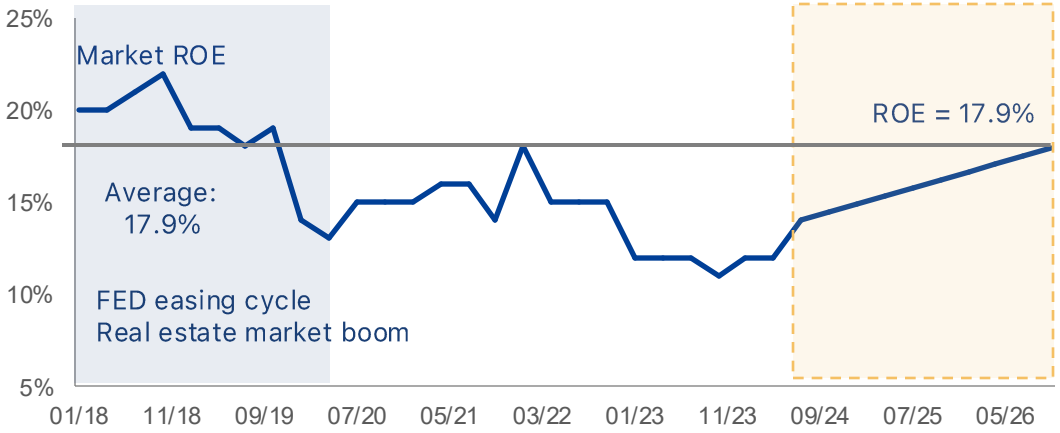
As nominal GDP increase, we expect NI/GDP revert to 5%

VN-Index Net Income-to-**Nominal GDP** [%]



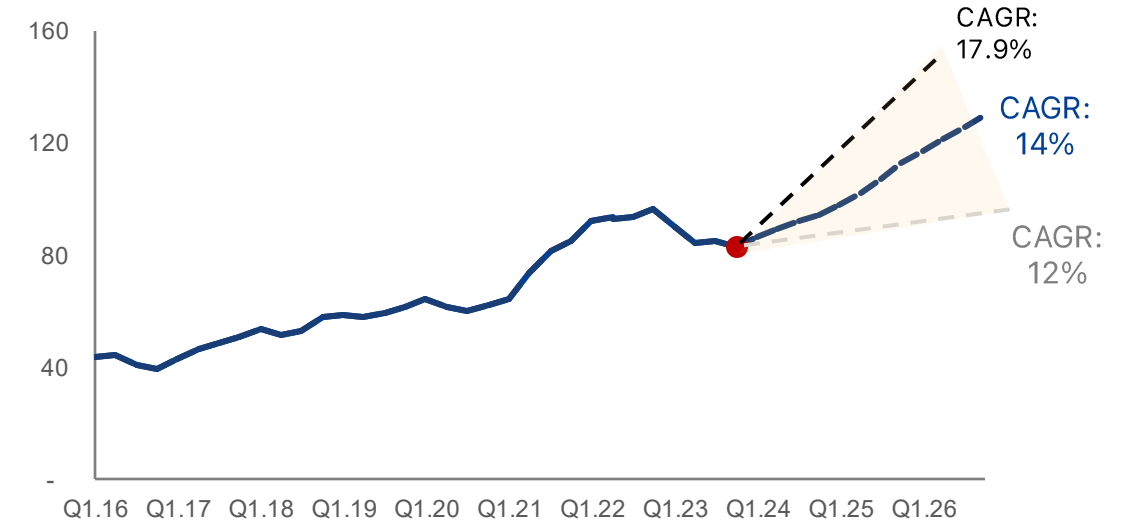
For the macro outlook, we expect ROE will revert to 17.9%

VN-Index Net Income-to-Nominal GDP [RHS, %] & VN-Index ROE [LHS, %]



… We forecast EPS growth at CAGR 2024-2026 at 14%

VN-Index EPS forecast [VND]



Notes:

Black: Market consensus- Gathered from 8 securities firms' strategies report

Blue: Reversion to mean ROE of 2018-2019 period method given payout ratio stable at 20%, g = ROE x retention rate

Grey: Reversion to NI/GDP method

Source: FiinPro, Team Forecast

GREAT INDUSTRY PROSPECT – WORRYING COMPETITION LEVEL

Trump's tariff policies scenarios

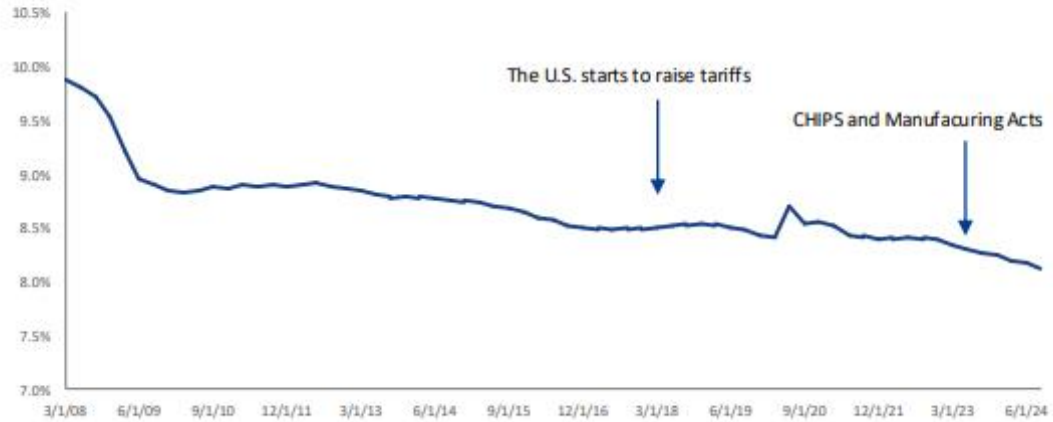
	Optimistic Scenario	Base Scenario	Pessimistic Scenario
Canada/Mexico	• U.S. imposes 10% general tariff. • U.S. sets tariffs at 10%-25%. • Gradual escalation.	• U.S. imposes a 10% general tariff. • U.S. sets tariffs at 10%-25%. • Gradual escalation.	• U.S. imposes 10% general tariff. • U.S. imposes 25% tariff. • Rapid escalation.
China	• U.S. imposes 10% general tariff. • U.S. sets tariffs at 10%-25%. • Gradual escalation.	• U.S. imposes 10% tariff. • Tariffs may range 10%-60% by category. • Gradual escalation.	• U.S. imposes 10% general tariff. • U.S. imposes 60% or higher tariff. • Rapid escalation.
Vietnam	• U.S. imposes 10% tariff. • No tariffs on Vietnam.	• U.S. imposes 10% tariff. • Pressures Vietnam to lower reciprocal tariffs.	• U.S. imposes 10% general tariff. • U.S. imposes 10%-20% tariff.

GREAT INDUSTRY PROSPECT – WORRYING COMPETITION LEVEL

In our view, Vietnam still benefit as there are fundamental barriers to aggressive tariffs & reshoring policies

Tariffs has shown no significant effects on increasing manufacturing jobs

Share of manufacturing employees of total employees [%]



The disparity in costs are significant for companies to consider reshoring

Primary cost (wages, rental, utility, taxes, interests) ranking by countries, 1 to 5 (Best to worst)

Countries and jurisdictions	Hourly compensation costs	Real estate costs	Utility costs	Corporate tax rates	Interest rates
Malaysia	2	1	3	2	4
China	2	2	1	3	4
Mexico	1	1	1	4	5
Vietnam	1	4	1	2	4
India	1	1	2	4	5
Taiwan	3	4	2	2	3
US	**5**	**3**	**3**	**3**	**3**

Firms don't want to move to the U.S., especially for low value added productions

Companies seeking profit does not have to move back to the U.S.

The New York Times

Companies may move supply chains out of China, but not necessarily to the U.S.

CNBC

Chip giant TSMC opens first Japan factory as it diversifies away from Taiwan amid U.S.-China tensions

The U.S. can't stop China on their own, they need friendly partners

The U.S led IPEF trade partners, including Vietnam



Macroeconomics snapshot

Other economies outlook snapshot 2024F-2026F

Snapshot of consensus forecast for key indicators for US, EU, & China economies

Indicator	2019A	2020A	2021A	2022A	2023A	2024F	2025F	2026F
GDP Growth (%yoy)								
US	2.50%	-2.20%	6.10%	2.50%	2.90%	**2.60%**	**1.90%**	**2.00%**
China	6.00%	2.20%	8.40%	3.00%	5.20%	**4.80%**	**4.50%**	**4.20%**
EU	1.60%	-6.10%	6.30%	3.50%	0.40%	**0.70%**	**1.20%**	**1.40%**
Imports (%yoy)								
US	1.20%	-9.00%	14.70%	8.60%	-1.20%	**4.70%**	**3.30%**	**3.00%**
China	N/A	N/A	N/A	N/A	N/A	**N/A**	**N/A**	**N/A**
EU	N/A	N/A	N/A	N/A	-1.20%	**-0.20%**	**2.60%**	**2.50%**
CPI (%yoy)								
US	1.80%	1.20%	4.70%	8.00%	4.10%	**2.90%**	**2.30%**	**2.30%**
China	2.90%	2.50%	0.90%	2.00%	0.20%	**0.50%**	**1.30%**	**1.60%**
EU	1.20%	0.30%	2.60%	8.40%	5.50%	**2.40%**	**2.00%**	**2.00%**
Unemployment (%)								
US	3.70%	8.10%	5.40%	3.60%	3.60%	**4.10%**	**4.30%**	**4.20%**
China	5.20%	5.20%	5.10%	5.50%	5.20%	**5.10%**	**5.10%**	**5.00%**
EU	7.60%	8.00%	7.80%	6.80%	6.60%	**6.50%**	**6.50%**	**6.30%**

Vietnam outlook snapshot 2024F-2026F

Snapshot of Vietnam's key economic indicator forecast

Indicators	Unit	2019	2020	2021	2022	2023	2024F	2025F	2026F
GDP & Job welfare									
GDP	USD bn	332	346	369	404	421	448	478	526
Growth GDP	% YoY	7.00%	2.90%	2.60%	8.00%	5.10%	6.50%	8.00%	10.00%
Unemployment rate	%	2.00%	2.30%	3.20%	2.30%	2.30%	2.20%	2.20%	2.10%
Inflation									
Headline VPI	% YoY	2.80%	3.20%	1.80%	3.20%	3.30%	4.00%	3.80%	3.60%
Manufacturing & Consumption									
PMI manufacturing	pt	50.8	51.7	52.5	46.4	48.9	51	52.5	52.50%
IIP	% YoY	6.20%	9.50%	8.70%	0.20%	5.80%	9.00%	10.00%	10.00%
Retail sales	VND thousand bn	4,940	5,060	4,789	5,680	6,232	6,918	7,887	9,070
Retail sales growth	% YoY	11.80%	2.60%	-3.80%	19.80%	9.60%	11.00%	14.00%	15.00%
Trades & Investment									
Exports	USD bn	264.3	282.7	336.3	371.3	354.7	407.9	460.9	530.0
Growth Exports	% YoY	8.50%	7.00%	19.00%	10.40%	-4.50%	15.00%	13.00%	15.00%
Imports	USD bn	253.4	262.7	332.2	358.9	327.5	379.9	433.1	493.734
Growth Imports	% YoY	7.10%	3.70%	26.50%	8.00%	-8.70%	16.00%	14.00%	14.00%
Trade deficit	USD bn	10.9	19.9	3.3	12.1	28.3	28	27.8	36.3
FDI disbursement	VND thousand bn	347.1	467.3	430.6	515.9	625.3	650.3	682.8	716.9
Growth FDI disbursement	% YoY	7.10%	34.70%	-7.90%	19.80%	21.20%	4.00%	5.0%	5.0%
FDI registered	USD bn	38	28.5	31.2	27.7	36.6	40.2	44.3	48.73
Growth FDI registered	% YoY	7.00%	-25.00%	9.50%	-11.20%	32.10%	10%	10%	10%
Money market & FX									
Policy rates	%	6.0%	4.0%	4.00%	6.00%	4.50%	4.50%	4.50%	4.50%
ON rate	%	3.30%	0.80%	0.70%	3.10%	2.30%	3.50%	3.00%	3.00%
Credit growth	% YoY	10.80%	13.60%	12.20%	13.60%	14.20%	14.00%	15.00%	15.00%
M2 supply	VND thousand bn	10,573	12,111	13,402	14,227	15,074	16,129	17,419	18,813
Growth M2	% YoY		14.50%	10.70%	6.20%	6.00%	7.00%	8.00%	8.00%
FX reserves	USD bn	78.3	94.8	109.4	86.5	89.0	91.0	95.0	95.00%
Mobilization rate (12M)	%	6.8	5.8	5.5	7.4	5	5.5	6	6
USD/VND	VND	23,173	23,223	22,934	23,429	23,839	25,000	25,500	24,700

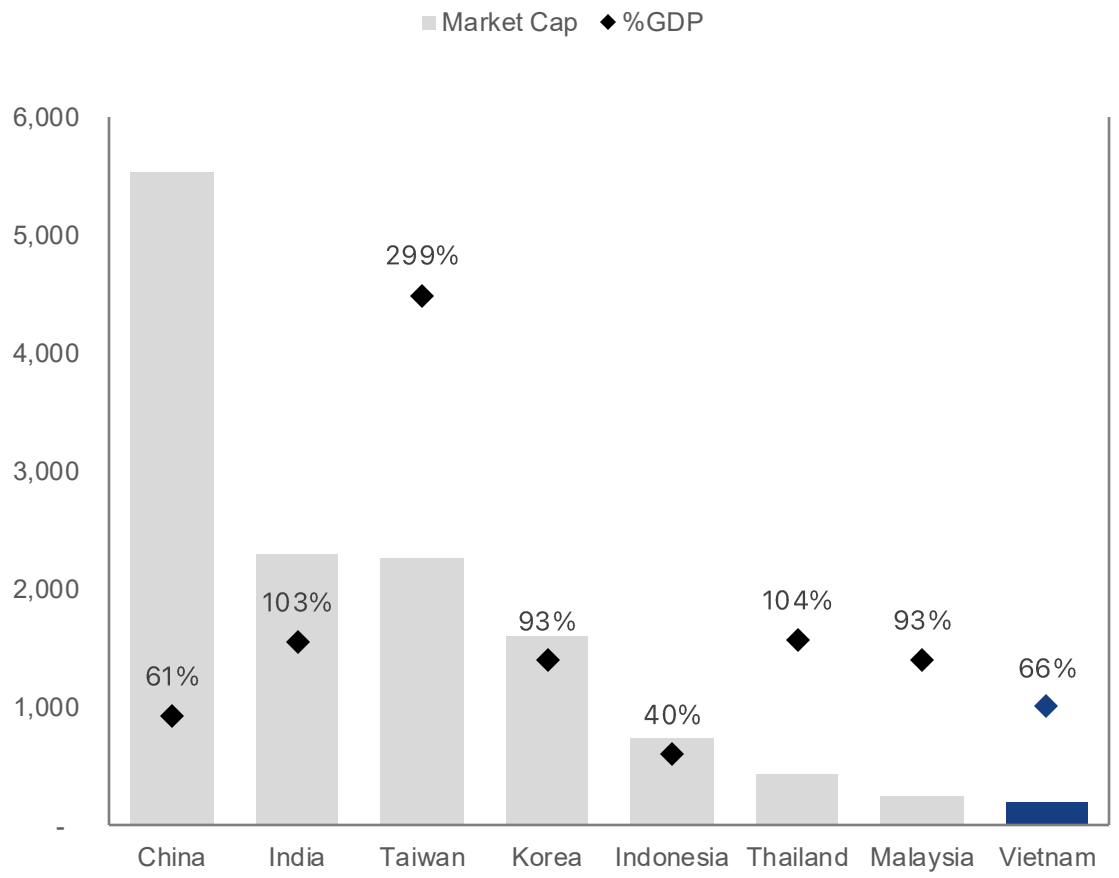
Team Forecast, Bloomberg

GREAT INDUSTRY PROSPECT – WORRYING COMPETITION LEVEL

Vietnam's equity market is frugal, but boasts great growth potential

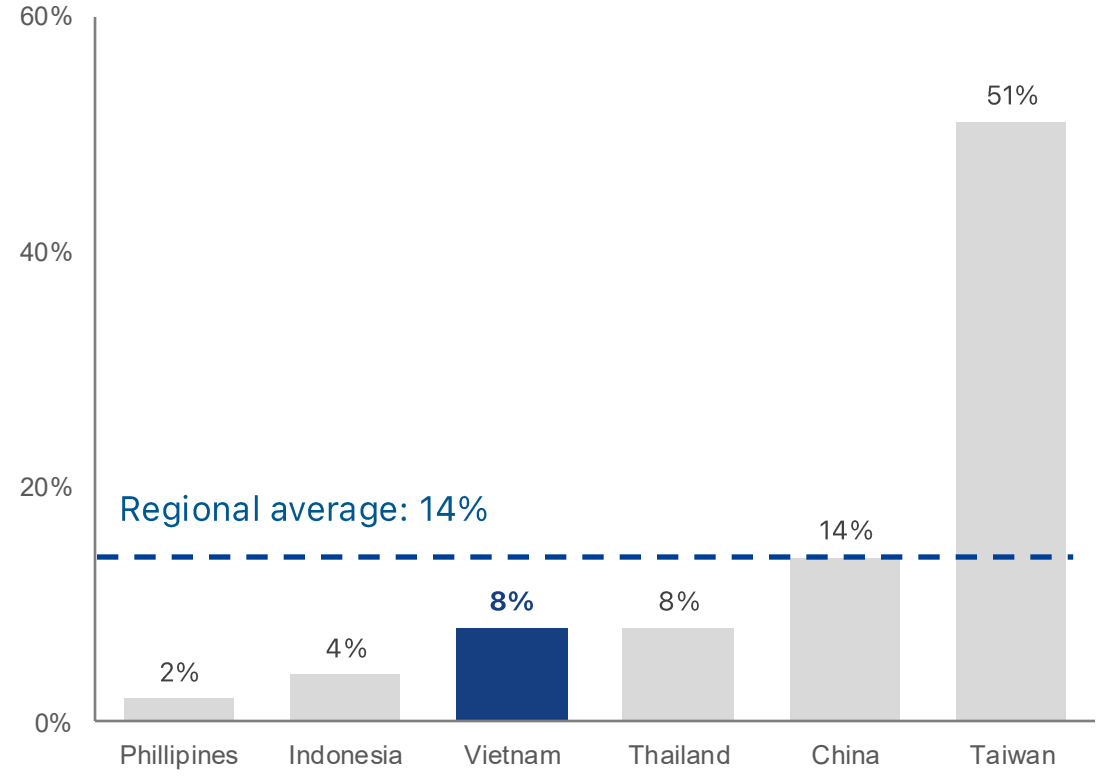
Vietnamese stock market is small compared to peers…

Market Cap [LHS, USD bn] & Market Cap/GDP [RHS, %]



… with a low investing penetration rate

Trading accounts as a percentage of total population by country [%]



Source: Bloomberg, Team analysis

GREAT INDUSTRY PROSPECT – WORRYING COMPETITION LEVEL

MSCI out of the equation, we expect FTSE reclassification in 2025F…

FTSE reclassification is easier to achieve…

Vietnam's fulfillment of FTSE reclassification criteria

FTSE criteria fulfillment	Ratings
Market & Regulatory environment	
Formal regulatory actively monitor market	Pass
No objection to or significant restrictions or penalties applied to the investment of capital or repatriation of capital and income	Pass
Foreign exchange market	
Sufficient competition to ensure broker quality	Pass
Transaction cost is reasonable and competitive	Pass
Market depth information/visibility and timely trade reporting process	Pass
Clearing, settlement & custody	
costs associated with failed trades	**Unrated**
Settlement cycle (DvP)	**Failed**
Central securities depositary	Pass
Sufficient competition for custodian quality	Pass

…While the situation for MSCI is much more complicated

Vietnam's fulfillment of MSCI reclassification criteria

MSCI criteria fulfillment	Ratings
Openess to foreign ownership	
Investor qualification requirement	Pass
Foreign ownership limit (FOL) level	
Foreign room level	**Failed**
Equal rights to foreign investors	
Ease of capital inflows/outflows	
Capital flow restriction level	Pass
Foreign exchange market liberalization level	**Failed**
Investor account set-up	Pass
Market organization	
market regulations	Pass
information flow	**Failed**
Clearing & Settlement	**Failed**
Custody	Pass
Depository/Registry	Pass
Trading	Pass
Transferability/Stock lending/Short selling	**Failed**
Availability of investment instruments	**Failed**
Stability of institutional framwork	**Failed**

Source: FTSE & MSCI reclassification criteria

Other revenue–to-brokerage expenses ratio

Bank-backed & Fintech Securities firms can effectively implement zero-fee strategy

The revenue (exclude brokerage and proprietary)-to-brokerage expenses ratio

Characteristics	Company	2019	2020	2021	2022	2023
	MBS**	1.94	1.69	1.37	1.81	2.12
Bank-backed securities	VPBank Securities*				3.43	4.09
	Kafi*	5.26	2.62	1.60	1.35	3.44
	TCBS**	34.53	35.97	12.69	16.92	13.83
Foreign-funded securities	JB Securities*	30.36	31.11	58.30	62.46	7.29
	Mirae Asset*	3.67	3.15	1.84	2.54	2.88
	Pinetree**	1.14	0.83	1.35	1.61	1.94
Technology-oriented securities	DNSE**	1.28	1.14	1.33	4.52	4.21
Traditional securities	SSI	3.35	2.72	1.69	1.89	1.83
	VND	5.72	4.18	2.14	3.09	2.94
	VPS	3.24	1.15	0.71	0.76	0.69
Niche provider	VCI	1.51	1.34	3.59	2.10	2.19
	HCM	1.67	1.40	1.66	2.31	2.31

*: Discount fee / Zero-fee for short time or for new customers only
**: Life-time zero-fee strategy
None: Not competing on fee

Perspectives of securities firms about zero-fee trend

Company	Perspective
SSI	**Instead of pursuing a zero-fee approach**, the focus should be on listening to and customers surveying to understand their needs, thereby **creating high-quality products and services.**
VCI	Zero-fee models are only viable for securities firms with access to cheap funding. **Traditional firms can only enhance their services but cannot reduce fees**, as **zero-fee strategies** and lower lending rates **would adversely impact shareholder profits**.
HCM	**Rather than significantly reducing fees or lending rates**, traditional firms will **concentrate on their target customers** while beginning to pay more attention to retail investors
VND	**VND does not engage in fee-based competition** but instead focuses on enhancing its service offerings.
BVS	Firms like **BVS believe in prioritizing service quality. They consider zero-fee strategies unhealthy**, bank-backed securities firms with access to cheap capital can afford to cut fees and rely solely on margin gains.

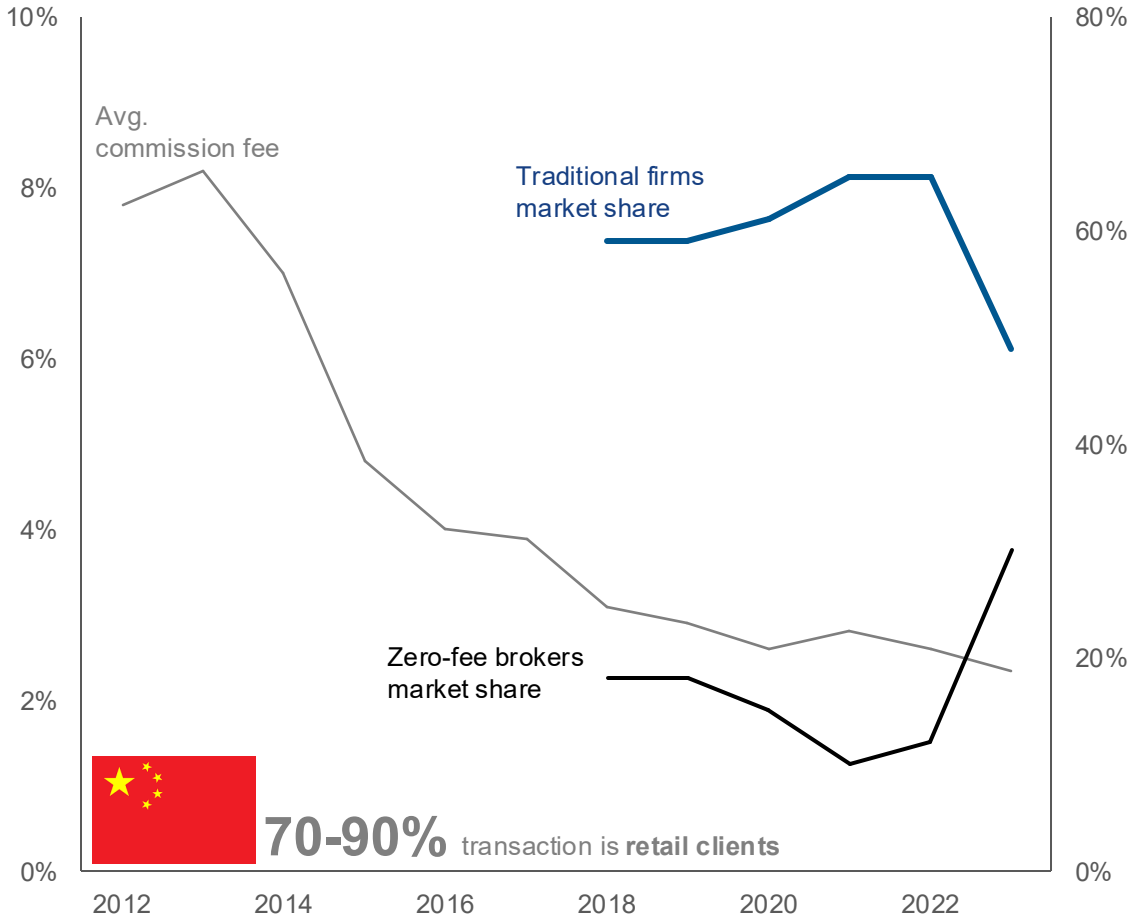
Source: Team compilation

MANAGEMENT WAS A STRENGTH – PRUDENCE UNFITS TO THE NEW MARKET DYNAMICS

Zero-fee trend have the same effect in China…

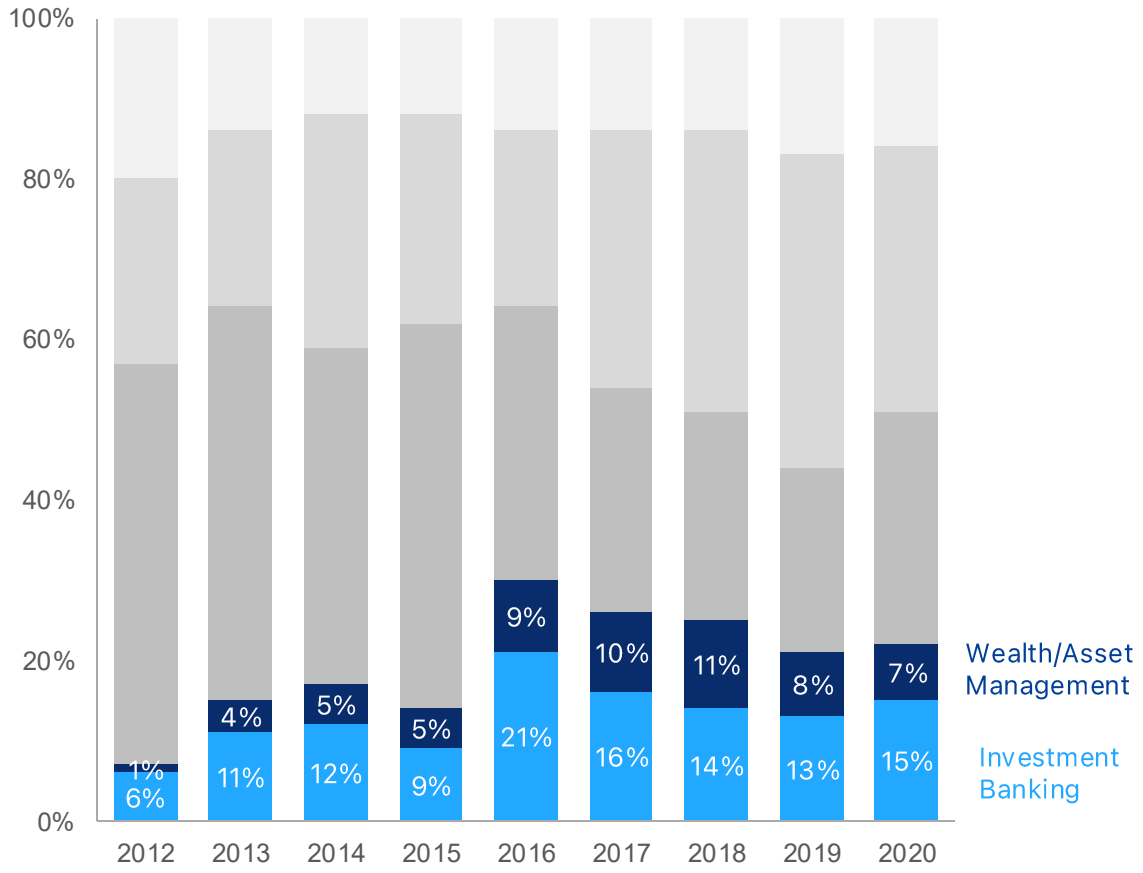
Chinese traditional firms saw the same trend but was able to continue growth by extending to other businesses…

Avg. Commission fee [LHS, %] & Market share [RHS, %]



Source: Team analysis, KPMG

China's securities firms income structure changes over time [%]



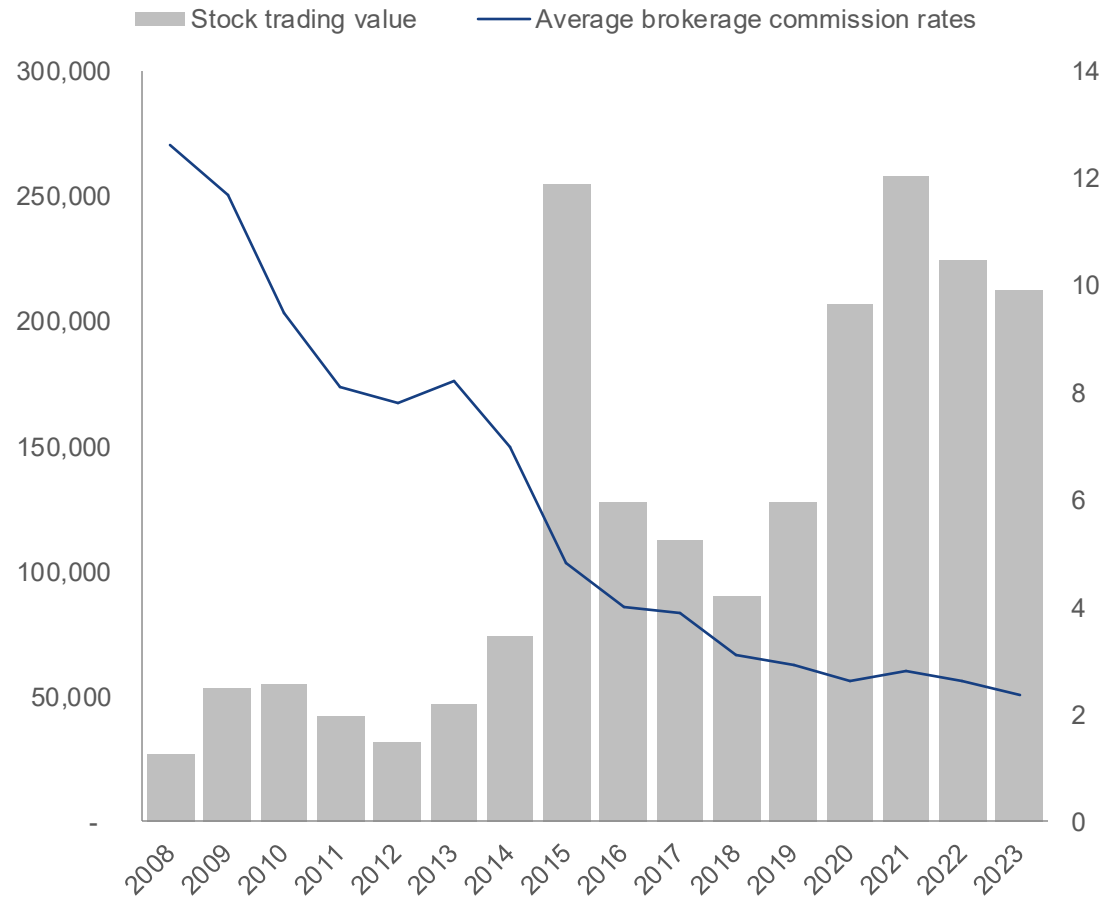
Note: Grey segments are Brokerage (29%), Principal Trading (33%), & Margin Lending (16%)

MANAGEMENT WAS A STRENGTH – PRUDENCE UNFITS TO THE NEW MARKET DYNAMICS

China case: Zero-fee took over the market

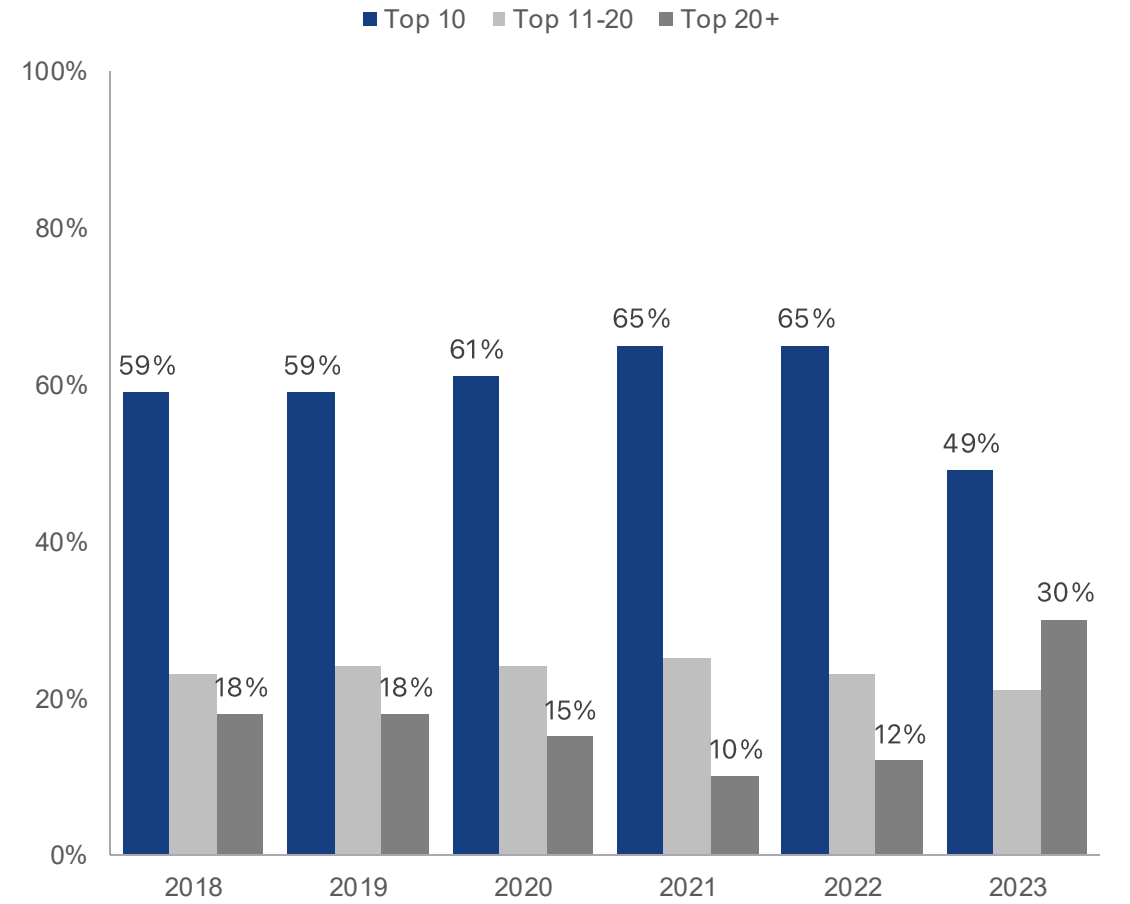
Fees dropped quickly due to competition and shifting investor behavior.

ADTV [LHS, CNY bn] & Average brokerage commission rate [RHS, CNY]



Fee-based competitors are outside of top 10, but rattled market share severely

Market share [%]

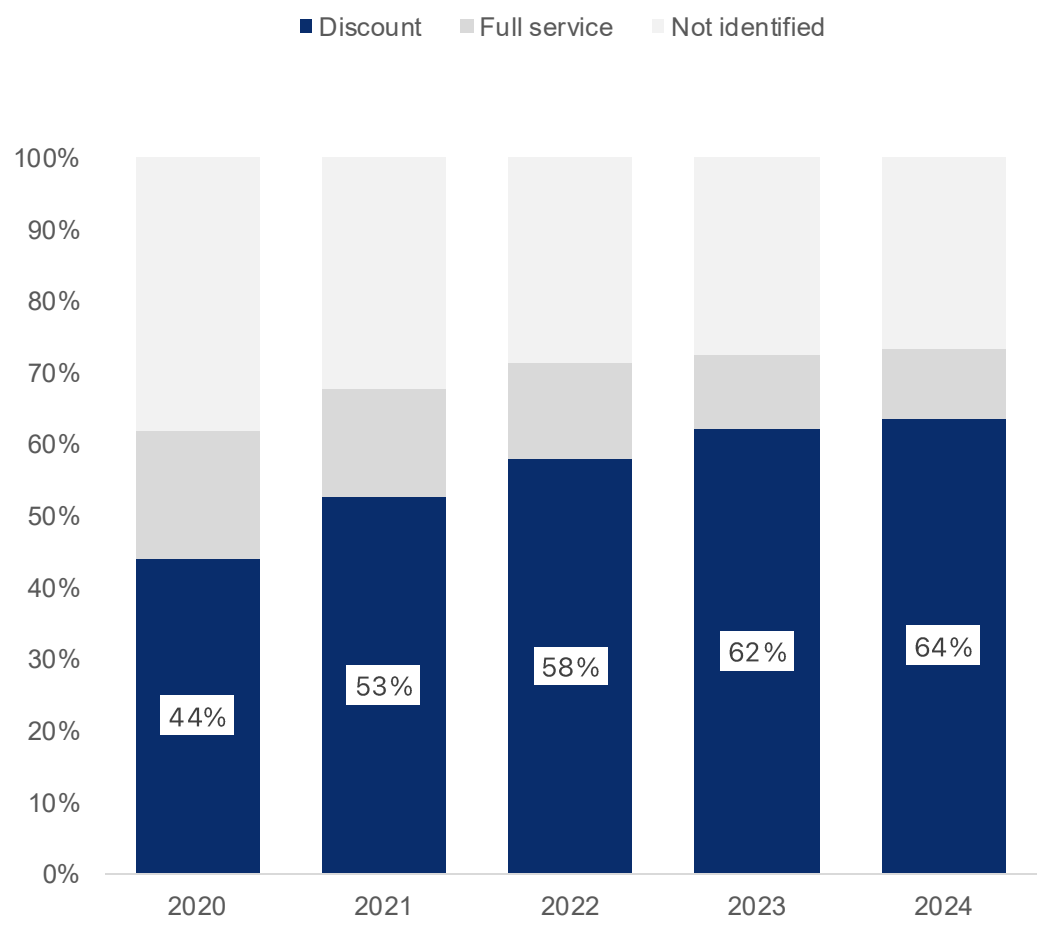


Source: Team analysis

India case: Market share is torn by discount brokers

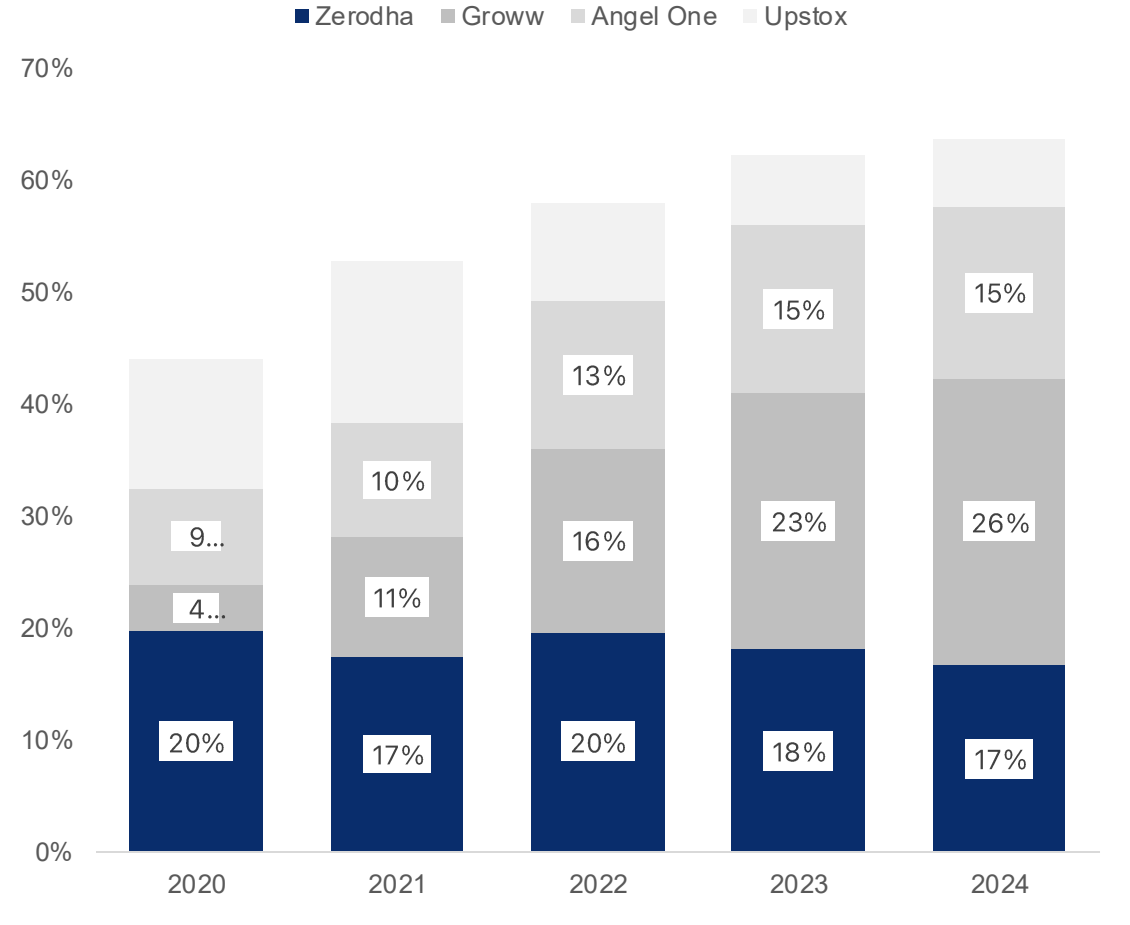
Discount brokers were taking the lead in India's client share battle

Client shares [%]



Top discount brokers are aggressive in market share competition

Client shares [%]



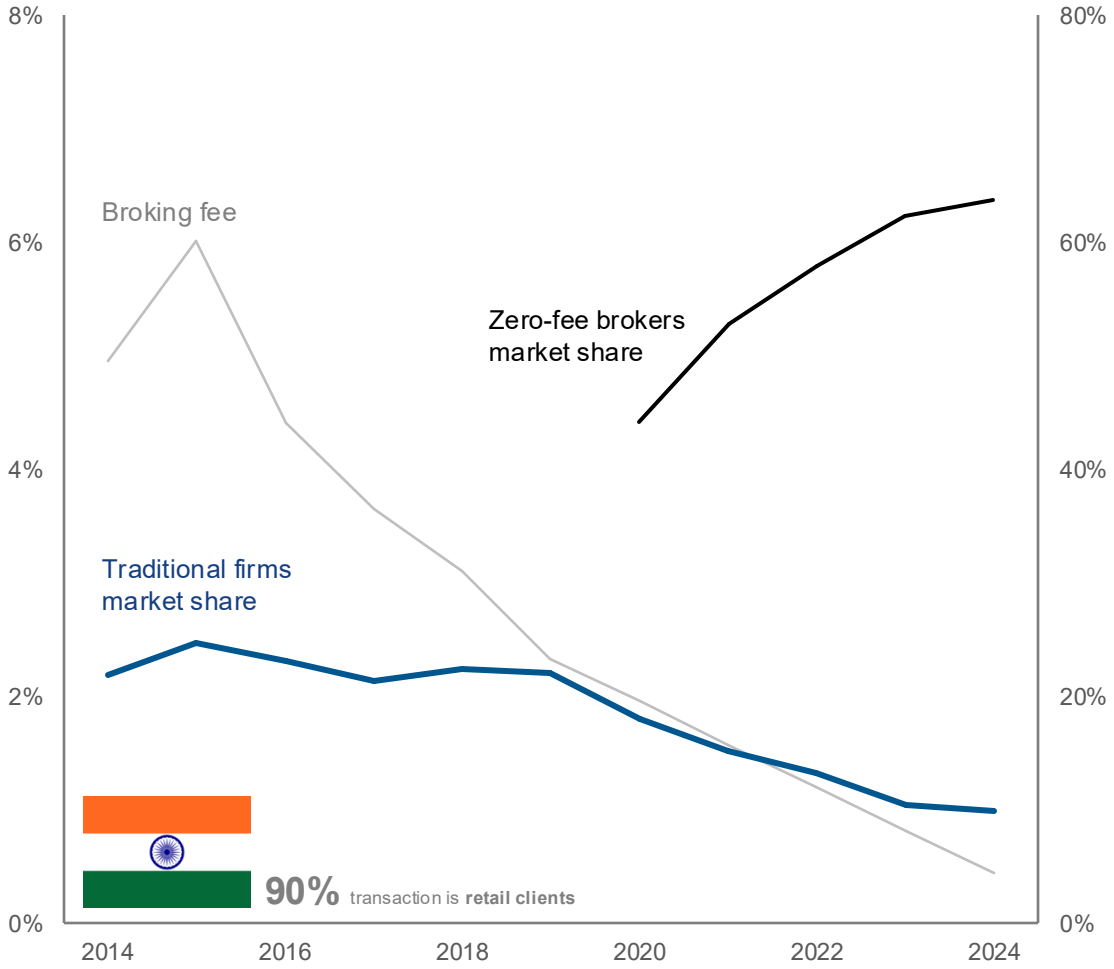
Source: Team analysis

MANAGEMENT WAS A STRENGTH – PRUDENCE UNFITS TO THE NEW MARKET DYNAMICS

India case: Reverts back to charging fees

Discount brokers were taking the lead in India's client share battle

Brokering fee [LHS, %] & Market shares [RHS, %]



Source: Team analysis

…while India's zero-fee trend will not persist

"These **rebates* account for about 10%** of our revenues. While anywhere between **10-50% of other brokers**"

"…. we have to **introduce a brokerage fee** for equity investments which is currently **free**, or/**and increase F&O brokerage**"

– CEO of Zerodhar (Top 2 market share) –

Rebate* = Fee collected form investors – Fee paid to exchanges

MANAGEMENT WAS A STRENGTH – PRUDENCE UNFITS TO THE NEW MARKET DYNAMICS

Significant turnover in key personnels

Compilation of staff turnover in 2020-2024 [Blue: Move to competitors – Grey: internal Rotation]

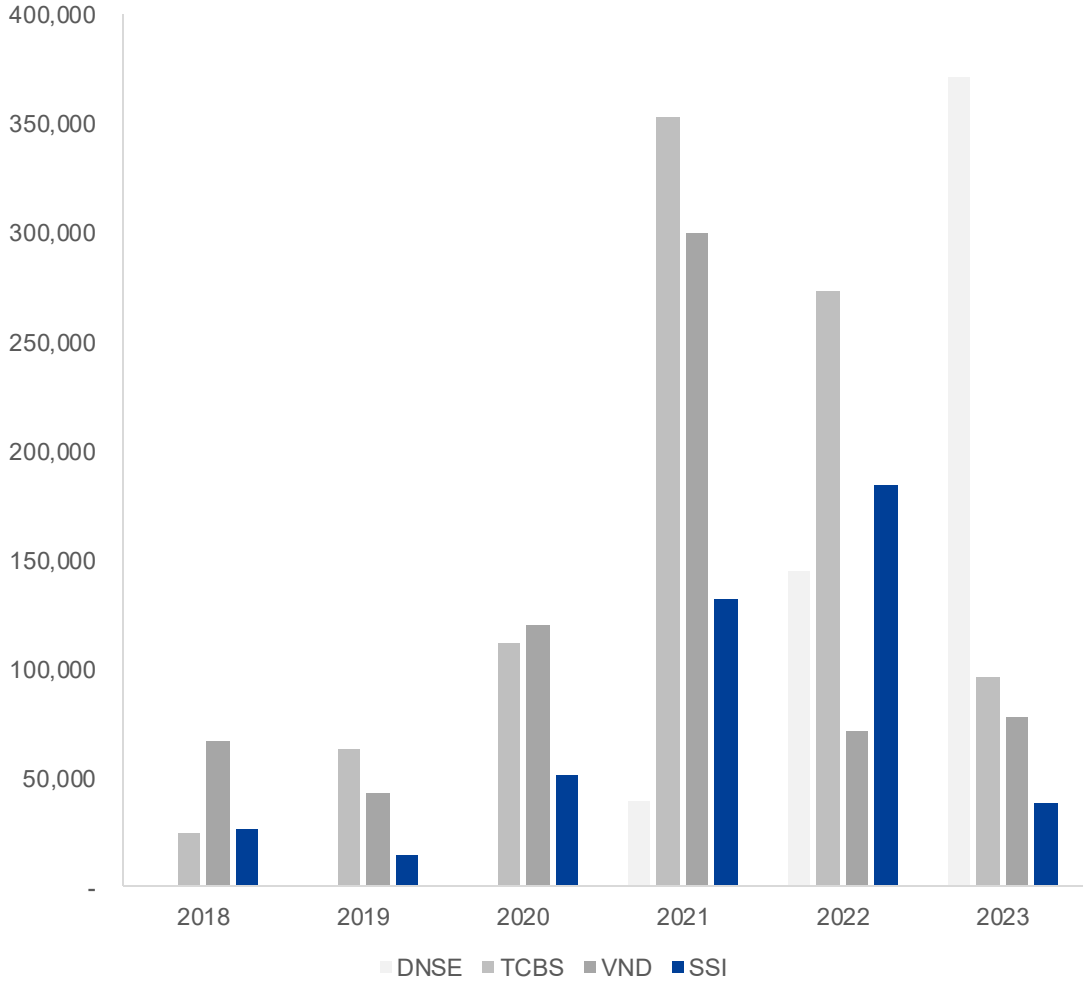
Department		Name	Title	Tenure (y)	Status
Retail Sales		Vu Ngoc Anh	Director	<3	
		Tran Dang Nam	Project Director	<15	
		Do Thi Thanh Thuy	Northern Director		
Institutional Sales		Nguyen Anh Duc	Director	<5	
		Cao Thị Ngọc Quynh	Director	<8	
Operation		Doan Ngoc Ly Ly	Director	10	
Investment		Nguyen Duc Thong	Derivatives Trading Director	<6	
Technology		Peter Bui	Digital Director	<3	
		Steve Yam	Chief Information Officer	<11	
SSIAM		Le Thi Le Hang	Director	<15	
		Porfolio Managers	PM/ APM	6	

Source: Team analysis, Interviews

Competitors: Retail Segment

SSI is lagging behind in opening accounts speed

No. of new accounts



TCBS: A tech – savvy competitors

Company profile

- **Life-time** free trading fees
- **51.5%** of employees are in **technology.**
- **99%** of customers **open accounts online** at TCBS. **(SSI: 82.6%)**

DNSE: An aggressive competitors

Company profile

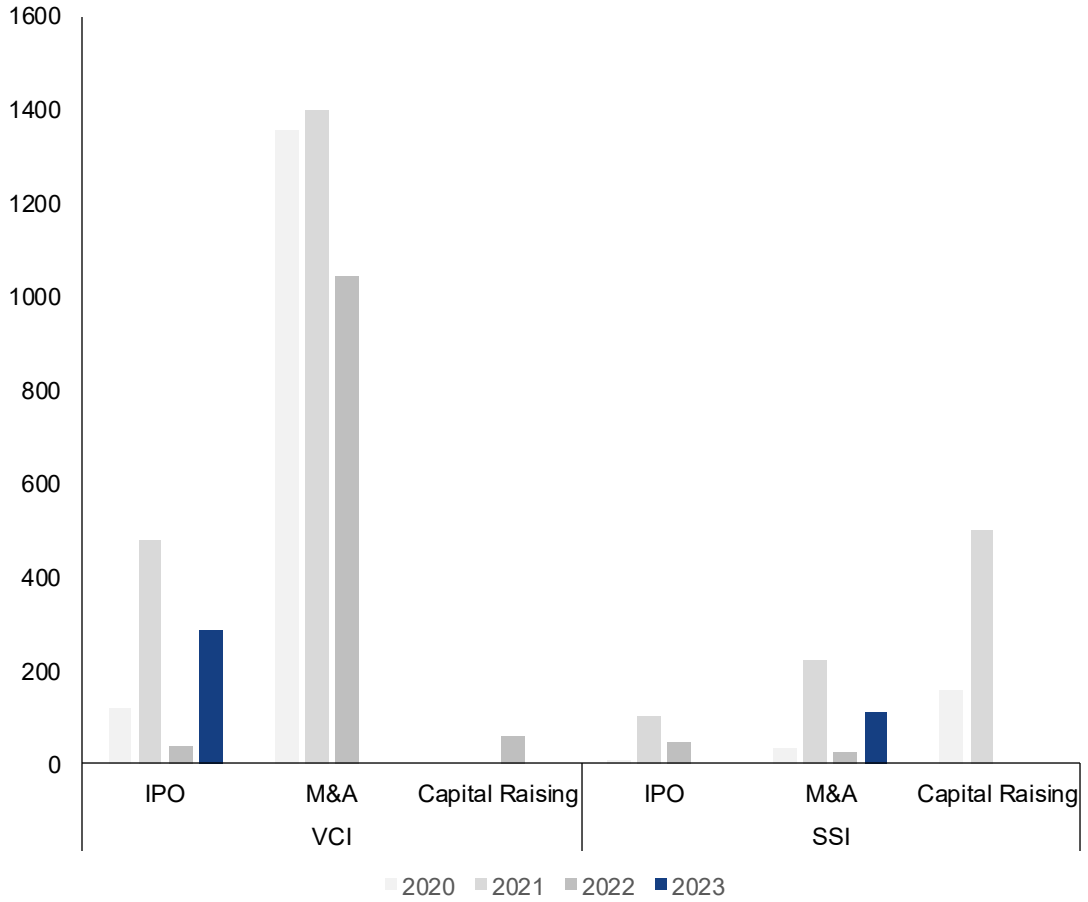
- **Life-time** free trading fees
- **Continuously** implementing promotional programs: **Free VN30 stocks** for new accounts attracting 15k accounts since launch.

Source: Companies' AR

Competitors: Equity Capital Market

SSI is rarely chosen as the advisor in blockbuster deals.

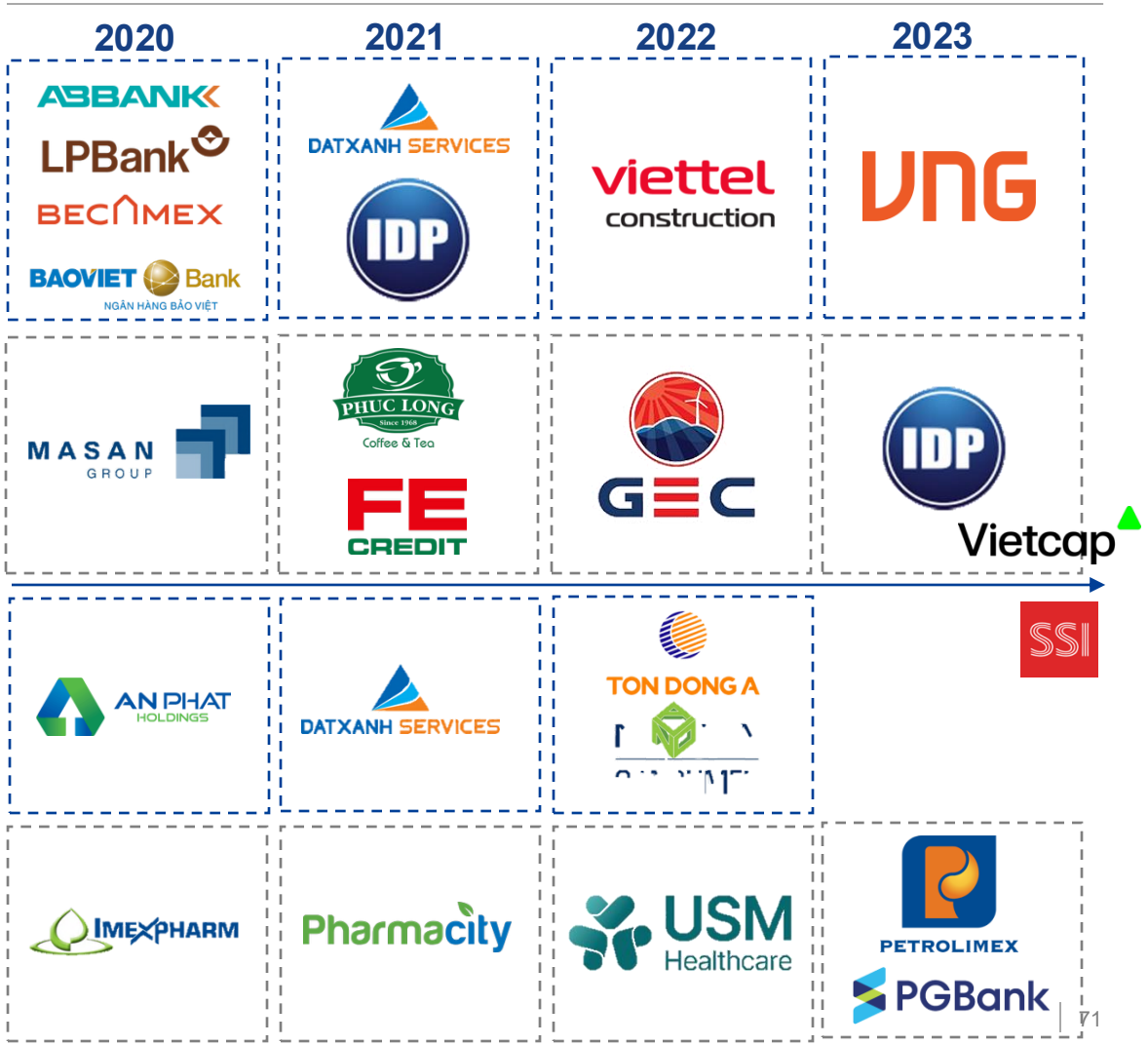
Value of deals in ECM [USD mn]



Source: Companies' AR

ECM Road map

Deals advised by VCI & SSI [2020-2023] [Blue: IPO – Grey: M&A]



Product Ecosystem

SSI's Product Ecosystem

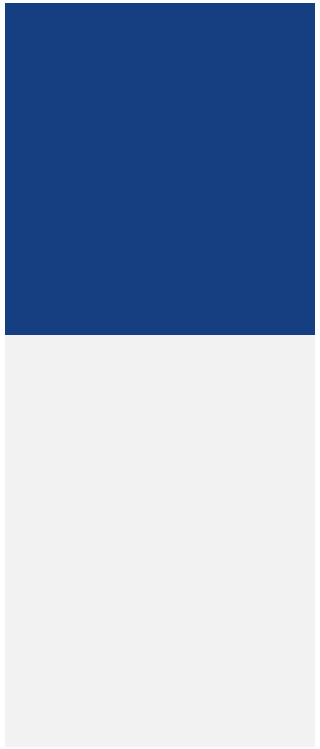
Product	Standalone Securities Firms			Securities Firms back by Commercial Banks		Fund Management Companies	
	SSI	VNDIRECT	VPS	TECHCOMBANK / TECHCOMSECURITIES / TECHCOM CAPITAL	VPBank / VPBank Securities	VinaCapital	DRAGON CAPITAL
Depository Products	✓	✓	✓	✓	✓	✓	✗
Bond Products	✓	✓	✓	✓	✓	✓	✓
Structured Products	✓	✓	✗	✓	✓	✗	✗
Exchange Traded Products	✓	✓	✗	✓	✓	✓	✓
Investment Trust Products	✓	✓	✗	✓	✗	✗	✓
Membership Management Model	✗	✗	✗	✓	✓	✓	✗

Source: Companies' AR

MANAGEMENT WAS A STRENGTH – PRUDENCE UNFITS TO THE NEW MARKET DYNAMICS

Continuously failed & ineffective projects due to poor execution

Product	Description	Life Span (y)	Starting
Iwin	First simulated trading platform (equity and derivatives)	>3	Nov/19
IFollow	Product copying one or multiple sample portfolios.	<1	Dec/23
Iboard Pro 2.0	Updated version of Iboard Pro		
DigiPartner	Client referral associates	<1	Feb/24
BrokerHub	Tools for brokers to personalize recommendations for each clients.	<2	2022
SBond	Corporate bond portfolio evaluated by SSI.	>5	2019
SSIAM	Vietnam fund management company (100% owned by SSI)	17	2007
Investment trust	Consulting strategy, asset allocation and investment for clients	>2	2022



Asessment Table
[Blue: Failed (Started but stop before launching to the public) – Grey: Ineffective (Launched to the public, but has low customer reach, not used as intended, or inferior in the market)]

Source: Team analysis, Interviews

Internal interviews

Interviewee	Comments
Project Manager at SSI	**Inefficient Technical Products:** SSI has **no plans for a new strategic positioning until 2026**. The development of products like Iwin, Ifollow, Iboard Pro 2.0, Digipartner, and Broker Hub **has been halted**. Brokers avoid Broker Hub due to transparency concerns, and tools like Ifollow face usability issues, with **neither brokers nor customers adopting them.** **Low interaction with young client:** Marketing efforts targeting youth, such as "The Moneyverse" campaign and university tours, will be **discontinued** by Q4/2024 due to low effectiveness, **yielding only 200,000 new accounts since 2023**. Fee reductions are not planned. **Wealth Management:** SSI **struggles to compete** with banks in wealth management without a robust support system like those of bank-backed competitors, and with a declining bond market expected to persist for three years.
Ex-Portfolio Manager at SSI	Many long-tenured PMs left SSIAM after a manager's dismissal, citing **dissatisfaction with the situation and inadequate compensation**. SSI has **undergone significant layoffs**, including directors across Tech, Retail Sales, Institutional Sales, the IB team, and Projects, alongside three restructurings of the retail sales department.
Senior Broker at SSI	Competing with VPS is challenging due to their scale
Ex-Senior broker at SSI	Many brokers have **moved to VPS or bank-backed firms** due to higher compensation and better customer access. Meanwhile, **SSI continues to lay off employees.**
Investor Relations at SSI	SSI does not plan to follow the zero-fee or fee-cutting trend, believing that fee-driven customers lack long-term loyalty. The company aims to **maintain its current market share and remain in the Top 2.** SSI's average NAV per account is VND 200–350 million, with **a primary customer base aged 35–50.** Half of the customers hold margin accounts.

MANAGEMENT WAS A STRENGTH – PRUDENCE UNFITS TO THE NEW MARKET DYNAMICS

External interviews

Company	Title	Comment
BSC	Senior Manager	SSI's **IB** advantage has waned, **falling behind competitors**. **Bank-backed** securities firms **raise capital more easily**, while SSI struggles due to **regulatory constraints and dilution risks.**
TVS	Manager	SSI **operates inefficiently**, with **significant employee departure** and **lack of clear strategic direction.**
VND	Manager	SSI's retail banking **focuses on VIP clients**, while **VND has a broader coverage.**
HSC	Manager	SSI is **cautious with domestic institutional clients** but **lags behind HSC and VCI** in serving foreign clients due to **weaker talent and support systems.**
TCBS	Senior Manager	SSI is **overly traditional**, **lacking strong tech adoption** compared to TCBS or DNSE.
VPS	Senior Broker	VPS has **a large and aggressive broker workforce**, partially driven by company policies allowing **high commission fees**
JBSV	Senior Manager	SSI has capability to handle IB deals, but **VCI's stronger network secures** most overseas deals.

MANAGEMENT WAS A STRENGTH – PRUDENCE UNFITS TO THE NEW MARKET DYNAMICS

Retail Sales Structure 2021-2023

2021

RETAIL BROKERAGE



Do Thi Thanh Thuy
Managing Director



Huynh Thi Thanh Thao
Director of Operations



Luc Kim Thanh
Director of Digital Services

2022

RETAIL BROKERAGE | WEALTH MANAGEMENT | DIGITAL SERVICE



Vu Ngoc Anh
Chief Retail Officer



Vu Ngoc Anh
Chief Retail Officer



Luc Kim Thanh
Director of Digital Services

2023

RETAIL



Vu Ngoc Anh
Chief Retail Officer

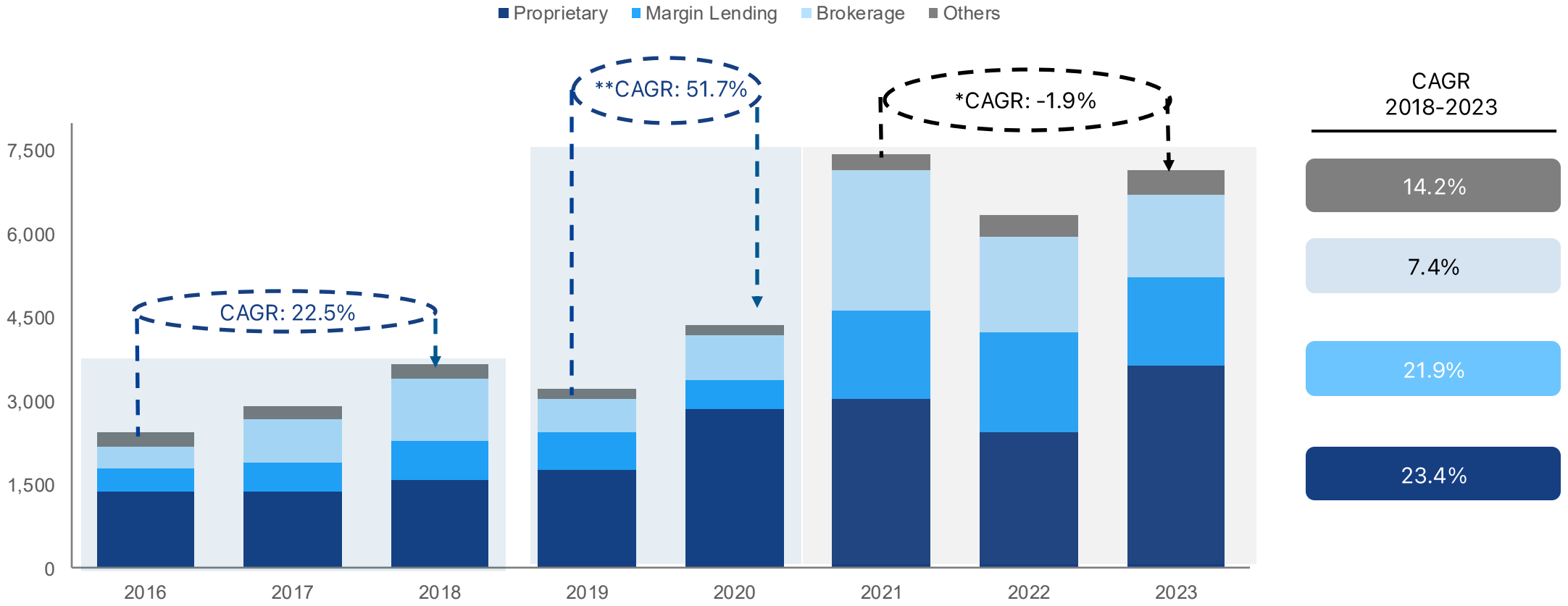
Sourrce: Annual Reports 2021-2023

FINANCIAL ANALYSIS

SSI's growth has been closely tied to market conditions

SSI's income is a product of market condition…

SSI's revenues breakdown by segment [VND bn] & 5-year CAGR [%]



Notes: CAGR* is calculated using Q3 2024 ending value & Q2.2022 ending value, **CAGR is calculated from the beginning of 2019 to Q1 2021

Blue = market uptrend, with 2019-2021 being a historical uptrend

Grey = sideway market

FINANCIAL ANALYSIS

Main financial metrics

	2019	2020	2021	2022	2023	2024F	2025F	2026F	2027F	2028F	2029F	2030F
Profitability												
NIM	3.8%	4.9%	4.4%	3.6%	4.3%	4.1%	3.9%	4.0%	4.1%	3.6%	3.5%	3.5%
%ROE	9.8%	13.0%	22.4%	9.3%	10.1%	12.1%	11.6%	11.8%	12.2%	10.5%	10.5%	10.7%
%ROA	4.0%	4.3%	6.9%	3.6%	3.9%	4.1%	4.0%	4.2%	4.4%	3.7%	3.6%	3.5%
Effciency												
CIR	-9.4%	-7.5%	-6.2%	-8.2%	-7.7%	-7.7%	-7.5%	-7.8%	-7.6%	-7.7%	-7.7%	-7.7%
Investment yield spread	-0.4%	3.6%	1.1%	-0.2%	1.0%	9.5%	10.0%	10.0%	10.0%	10.3%	10.4%	10.4%
Margin lending yield spread	17.5%	11.2%	13.2%	13.9%	16.4%	14.5%	15.0%	15.0%	15.0%	14.5%	14.5%	14.5%
Assets Quality												
Debt/Earning Assets	0.60	0.63	0.46	0.49	0.54	0.54	0.51	0.48	0.49	0.52	0.53	0.55
Margin Loans/Equity	57.0%	93.5%	166.7%	49.4%	65.1%	89.7%	87.9%	100.7%	92.1%	85.1%	83.1%	80.8%
Current Ratio	1.36	1.12	1.28	1.64	1.43	1.39	1.47	1.46	1.47	1.44	1.42	1.40
Investments/Earning Assets	79%	75%	65%	80%	81%	77%	75%	73%	75%	76%	78%	79%
Leverage												
D/E	1.65	2.37	2.19	1.25	1.86	2.09	1.78	1.79	1.77	1.88	1.96	2.07
ST debt/ ST Assets	74%	89%	78%	61%	70%	72%	68%	68%	68%	70%	70%	72%

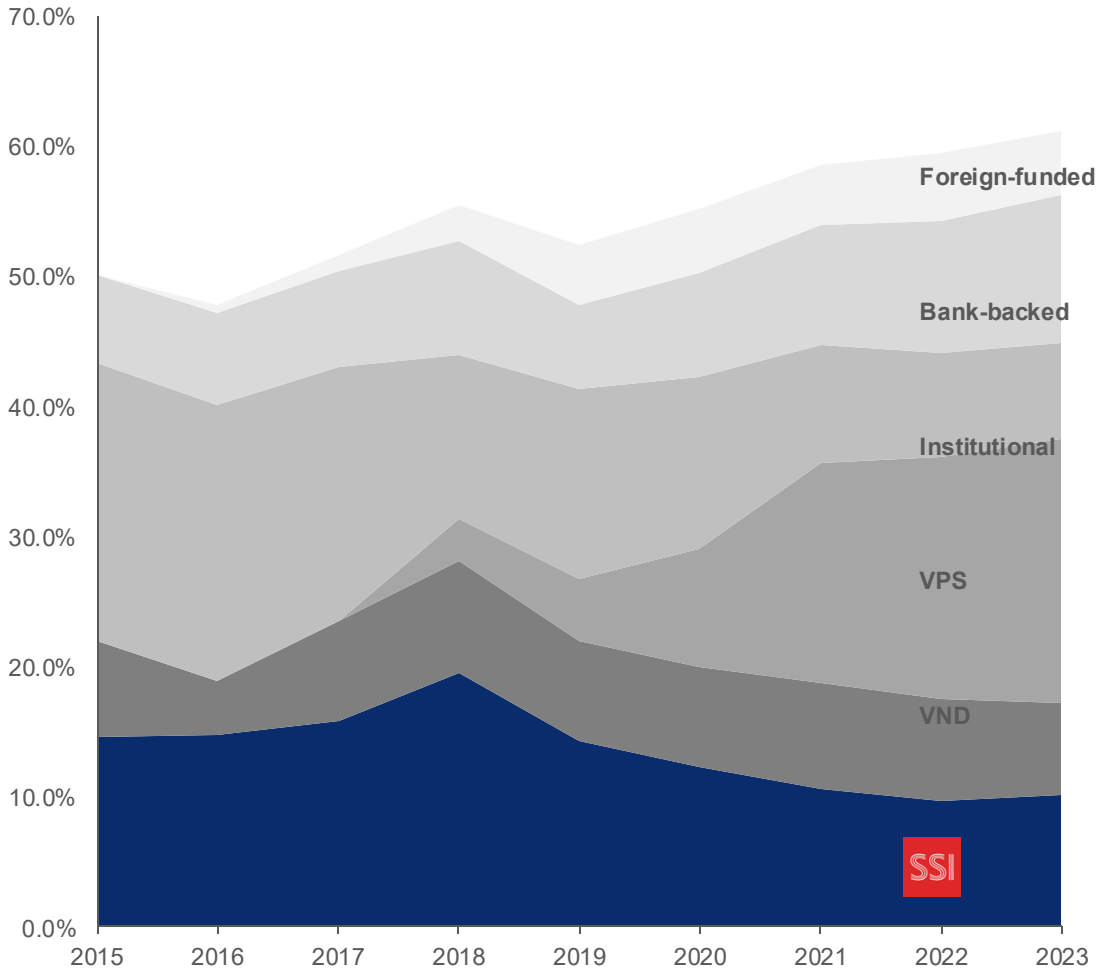
Source: SSI, Team Analysis

FINANCIAL ANALYSIS

Securities companies market shares

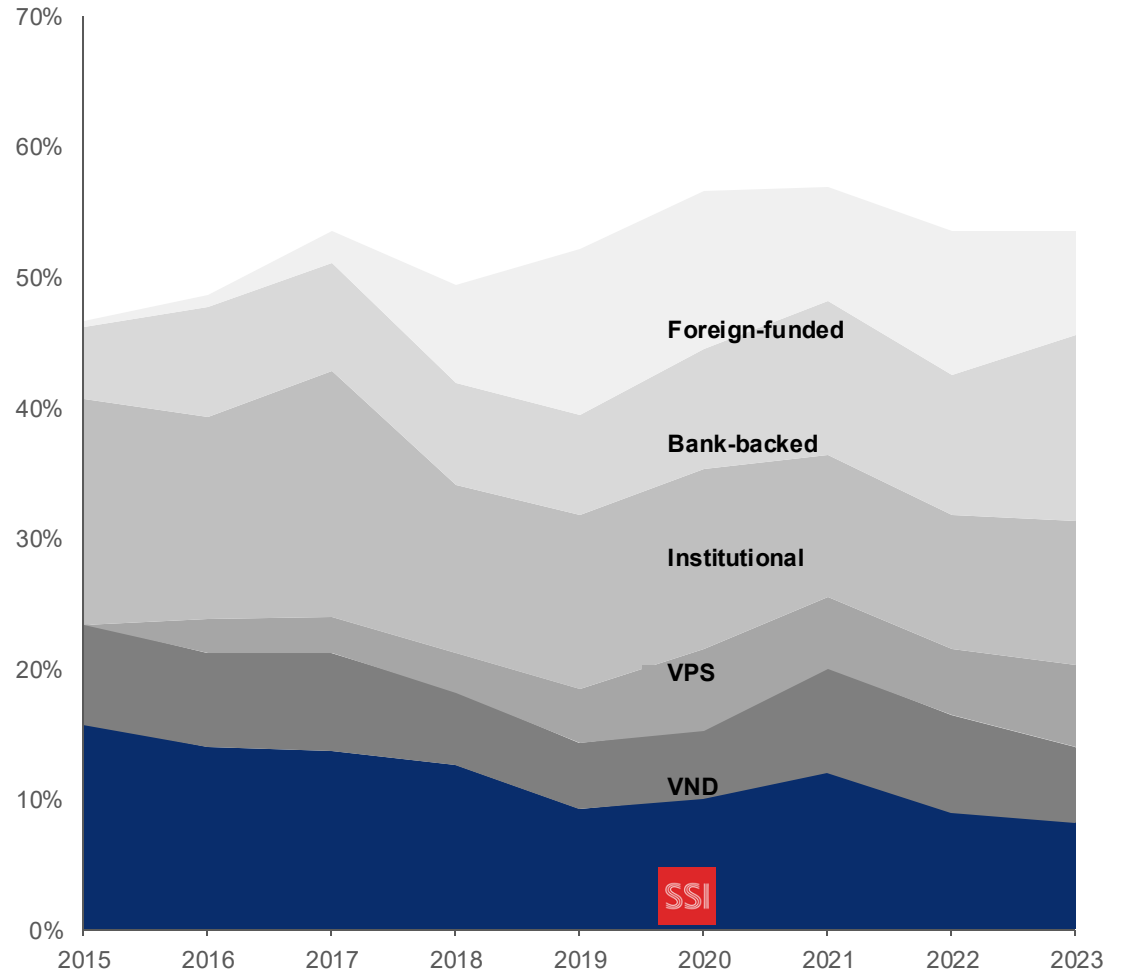
SSI's brokerage market share has been declining…

Brokerage (equity trading) market share [%]



…Even the margin loan market share has shrinking either

Margin loan book market share [%]



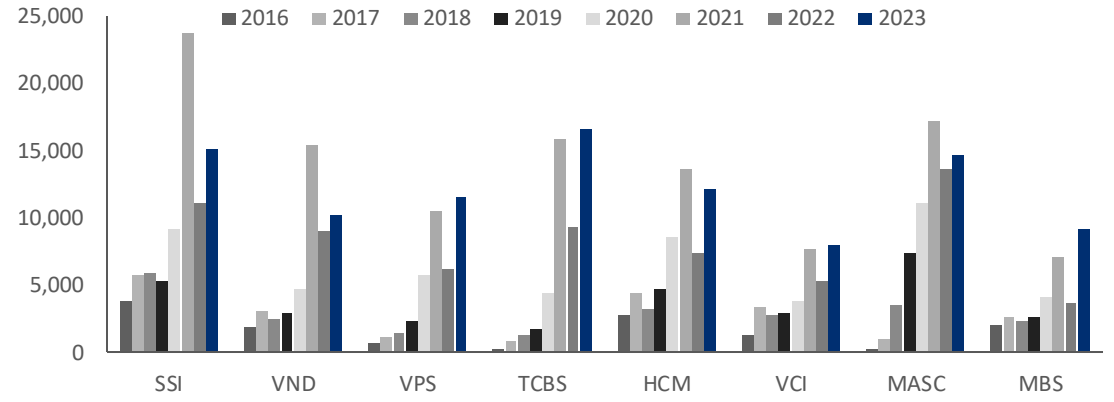
Source: Fiinpro, Companies data

FINANCIAL ANALYSIS

Securities companies earning assets

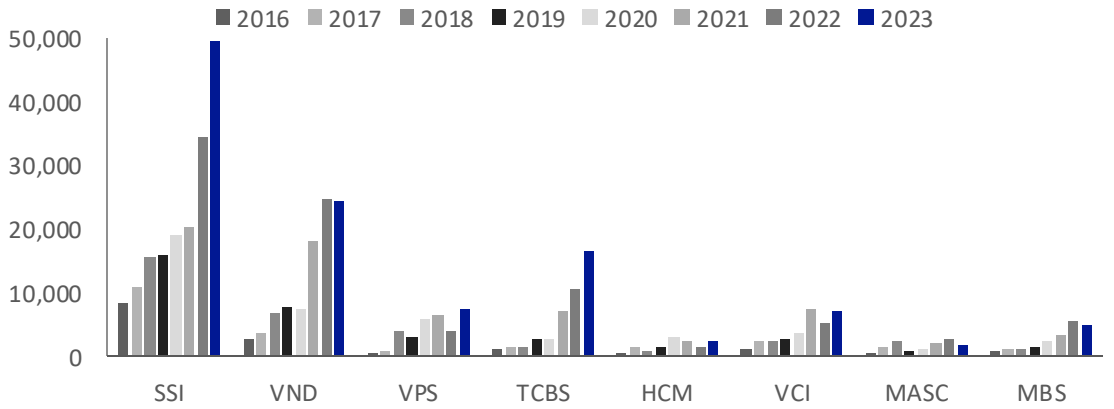
SSI cannot get back to their prime in the margin loan book…

Margin loan book [VND bn]



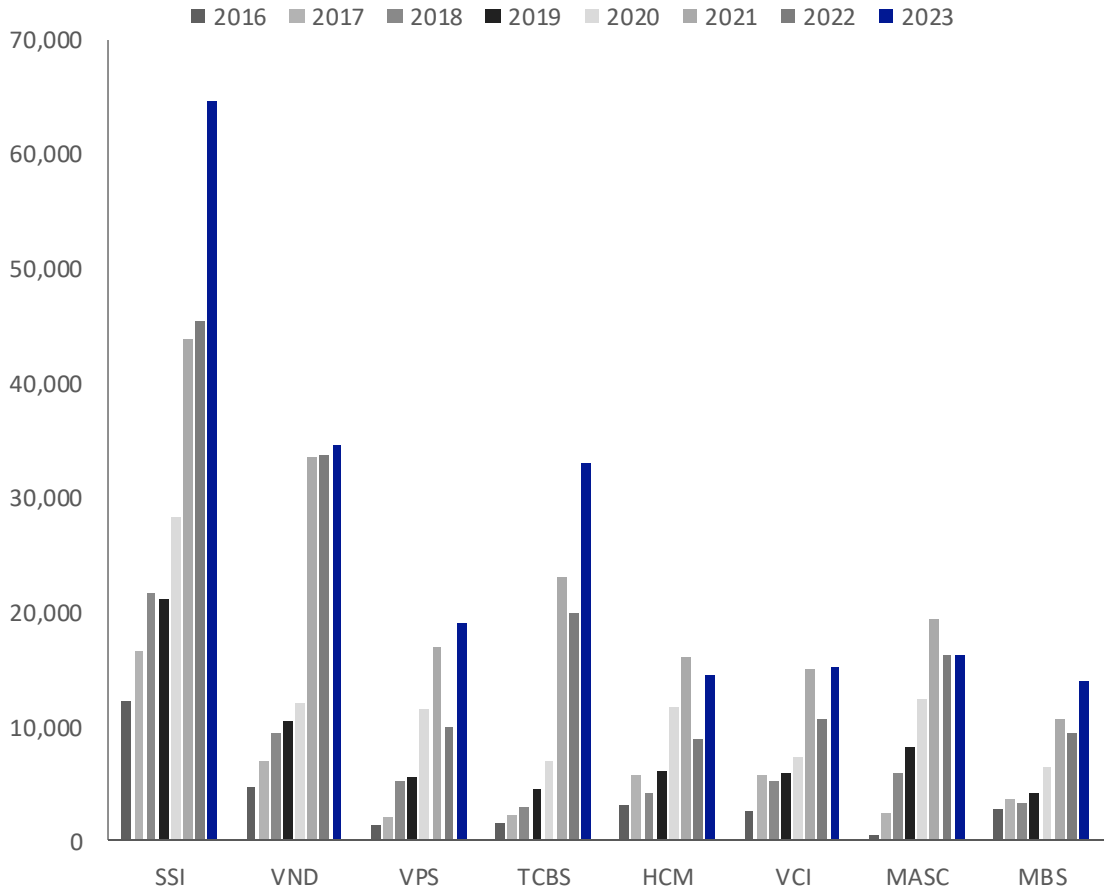
… Though they still can seize the investment book

Investment assets [%]



SSI has the largest earning assets within the industry

Earning assets [VND bn]



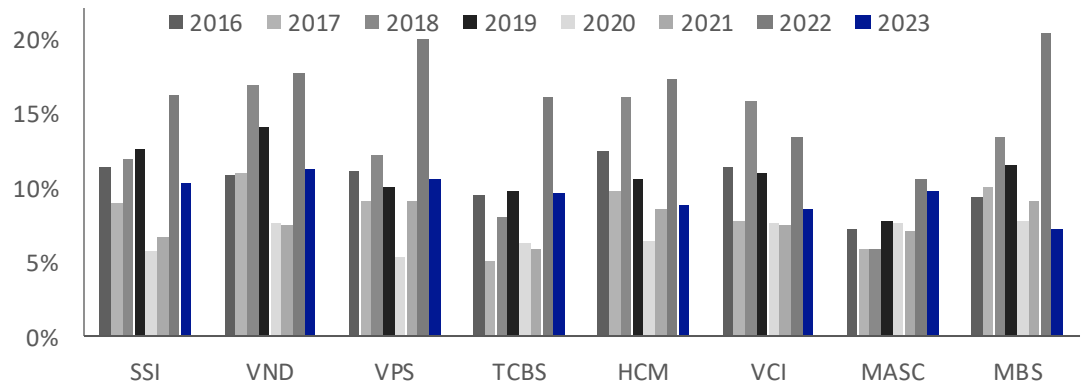
Source: Fiinpro

FINANCIAL ANALYSIS

Securities companies earning metrics

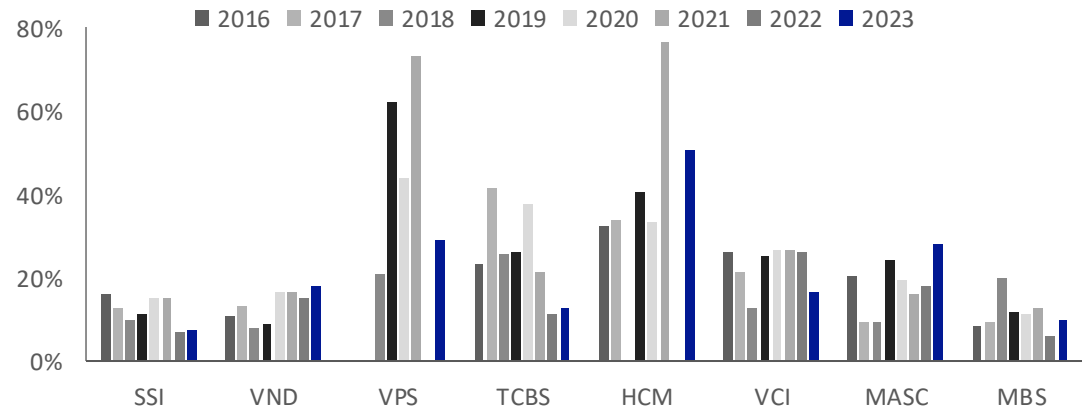
SSI's margin lending rate always at a "mid" level

Effective margin lending rates [x]



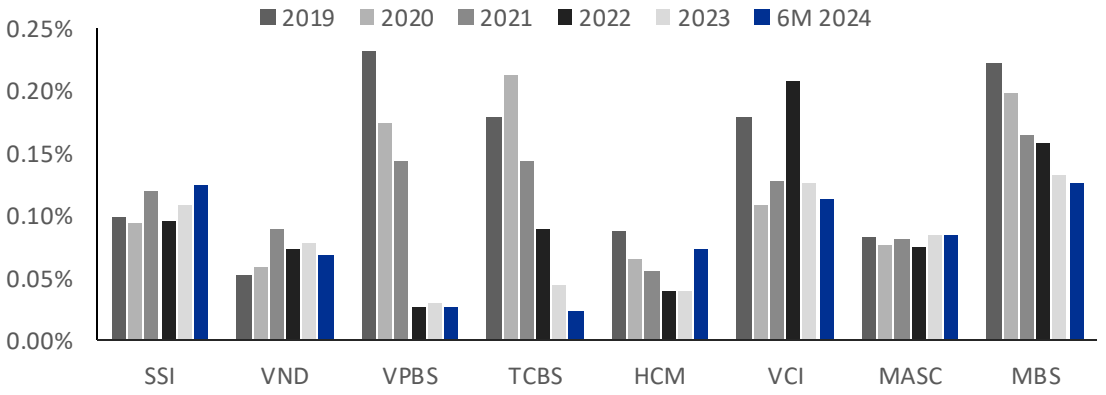
SSI also has modest ROI due to allocated to low-yield bonds

Return on investments [%]



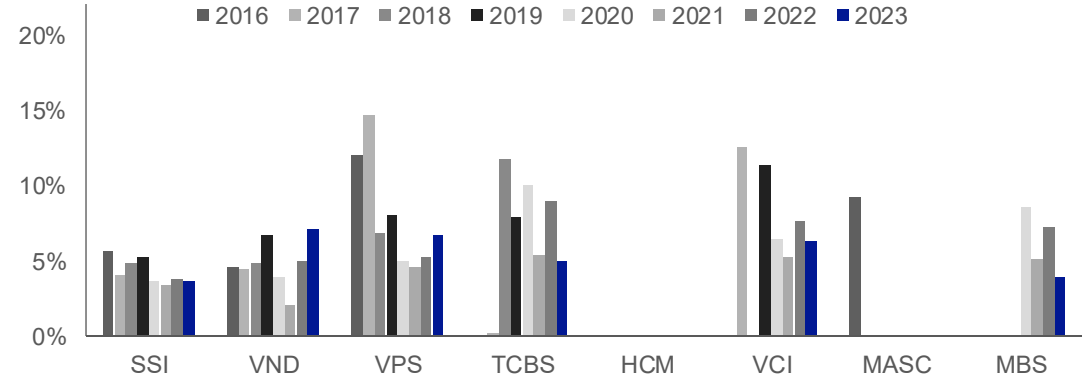
Different to peers, SSI does not reduce their brokerage fees

Effective brokerage fee [%]



Even enjoys a low cost of funds

Cost of fund [%]

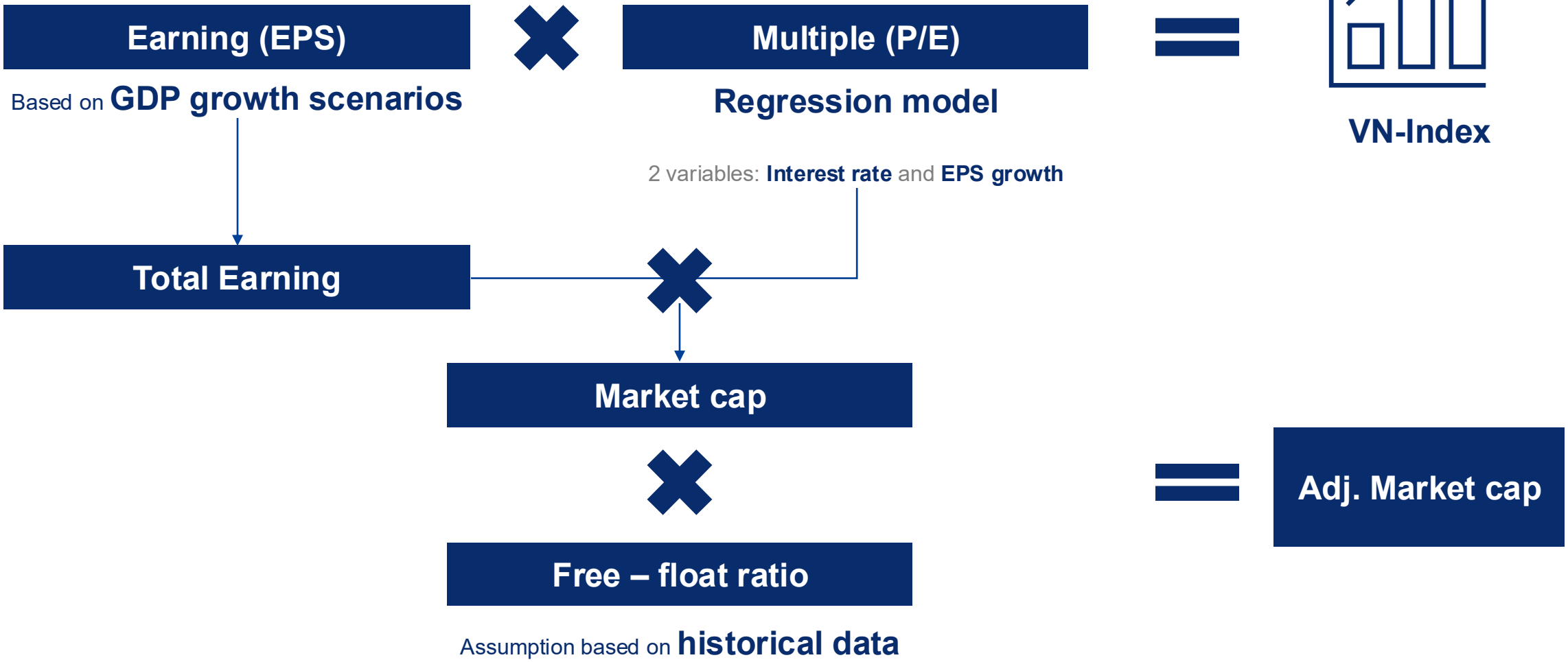


Note: Data are calculated based on financial statements

Source: Fiinpro

FORECASTING METHODOLOGY

VN-Index and Liquidity #1



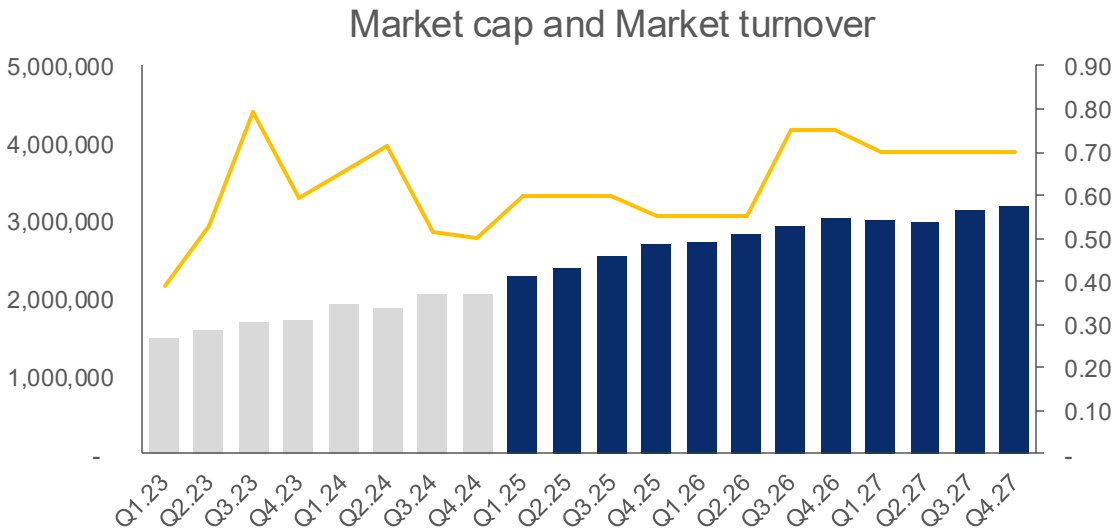
FORECASTING METHODOLOGY

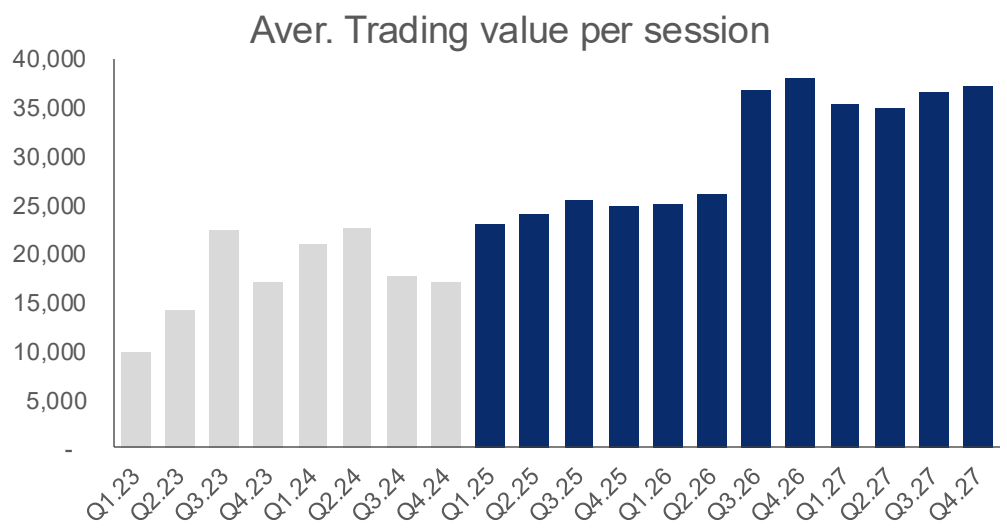
VN-Index and Liquidity #2

Adj. Market cap ✖ **Market Turnover** = **Trading Vol.**

$$\text{Market turnover} = \frac{\text{Trading Vol.}}{\text{Adj. Market cap}}$$

Based on the **adjustment of market condition**





FORECASTING METHODOLOGY

Investment Portfolio #1

Portfolio

5 – 6% total issuance volume

Bonds

CDs

Stocks

State-owned Banks



Based on **Credit growth scenarios**

Issue to rebalancing terms due to **Basel II regulations**

Grow as same as the market

EPS growth

FORECASTING METHODOLOGY

Investment Portfolio #2

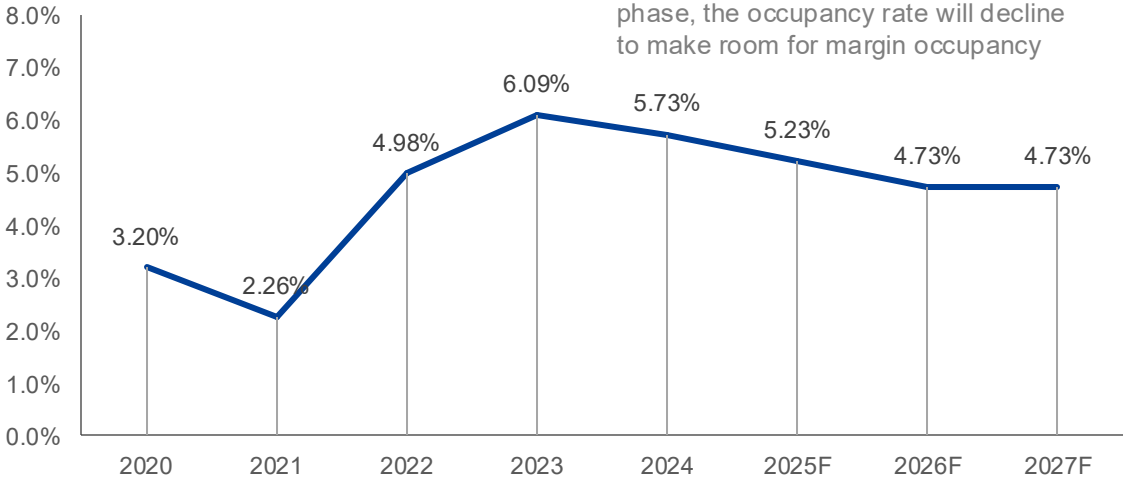
Bonds **Float%** often 1-2% spread

CDs **5 – 6%** interest rate

Stocks **E(Rm)%** average 5-year return

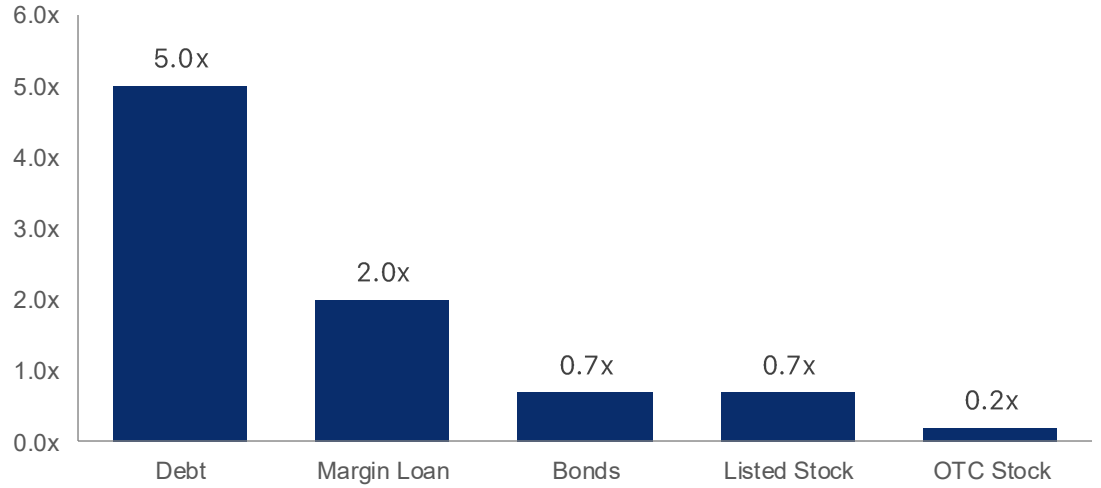
SSI securities market share

As the equity market enters the boom phase, the occupancy rate will decline to make room for margin occupancy

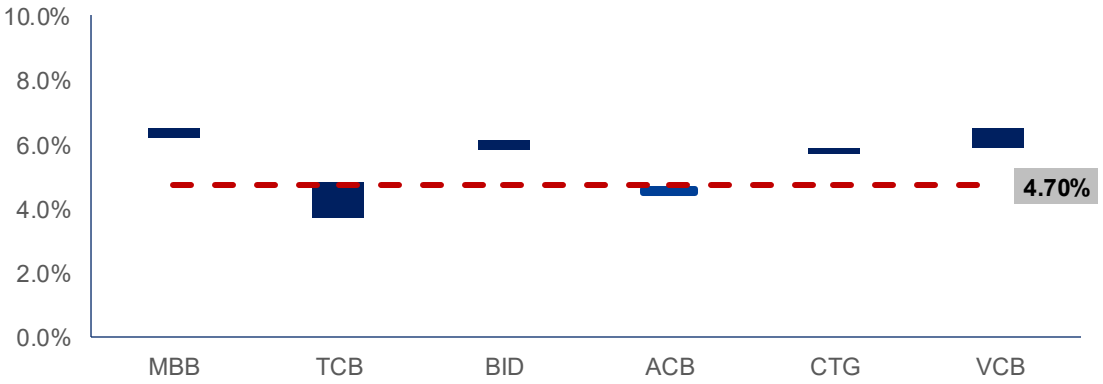


There are upper limits due to **Regulations**

Maximum equity multiple for asset classes [Times]

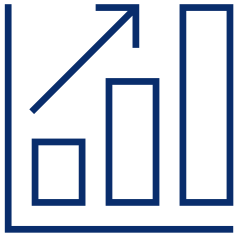


Coupon interest rate of FI issuers [%]



FORECASTING METHODOLOGY

Margin Loans #1



Trading Vol.

×

Margin Conversion rate

Assumption based on **historical data**

=

Market margin loans

×

Assumption based on **Analysis**

SSI brokerage market share

- - - - - - - - ▸

Assumption based on **Analysis**

SSI market share

SSI margin loans

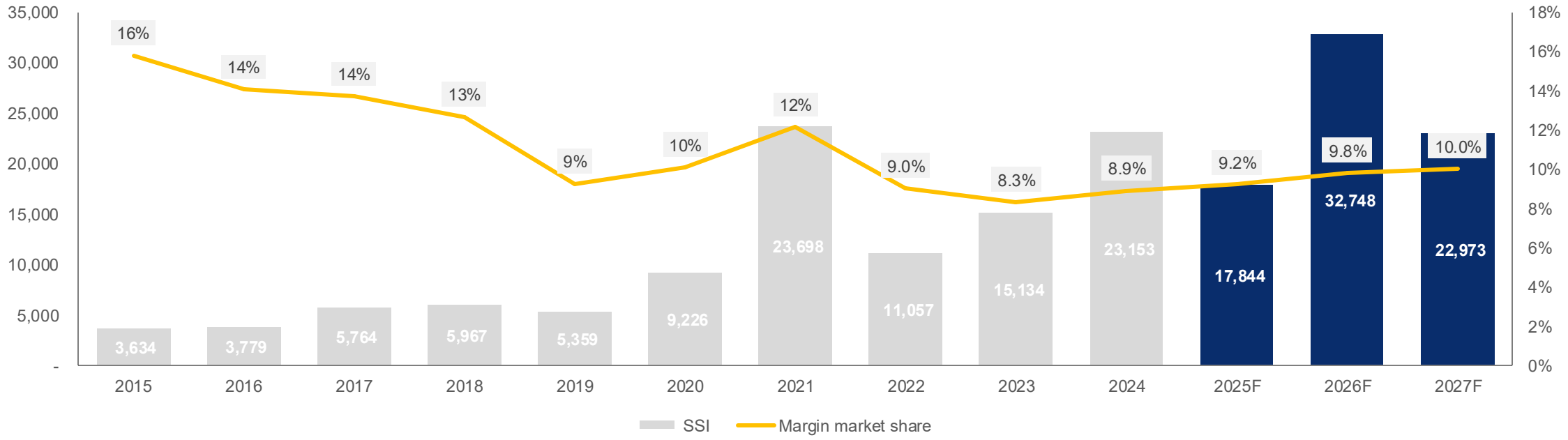
FORECASTING METHODOLOGY

Margin Loans #2

Assumption based on **Historical Analysis**

SSI margin loans × **Interest rate** = **Interest Income**

Margin loans book forecasting

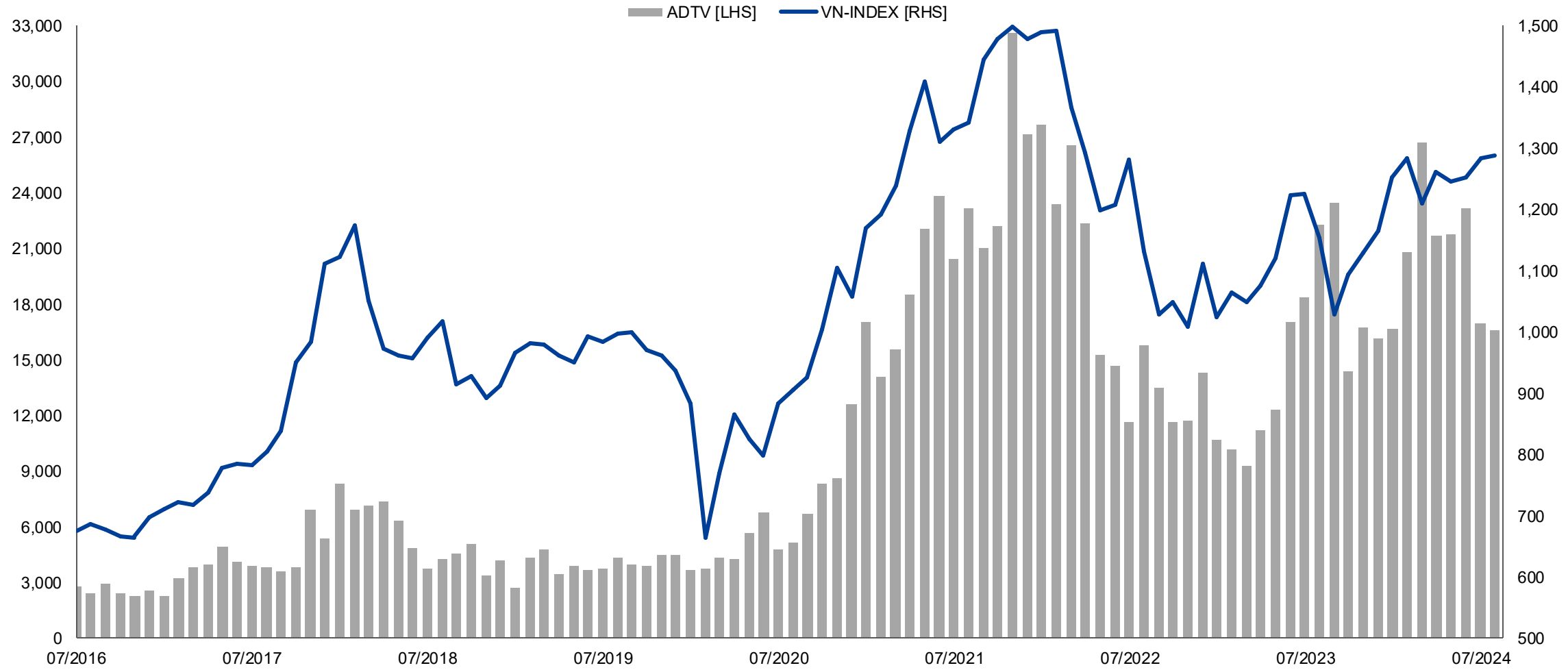


VALUATION

Correlation between ADTV and VN-INDEX

A clearly correlation that VN-INDEX is made up by trading value

Correlation between ADTV [VND, LHS] and VN-INDEX [points, RHS]



Source: Fiinpro

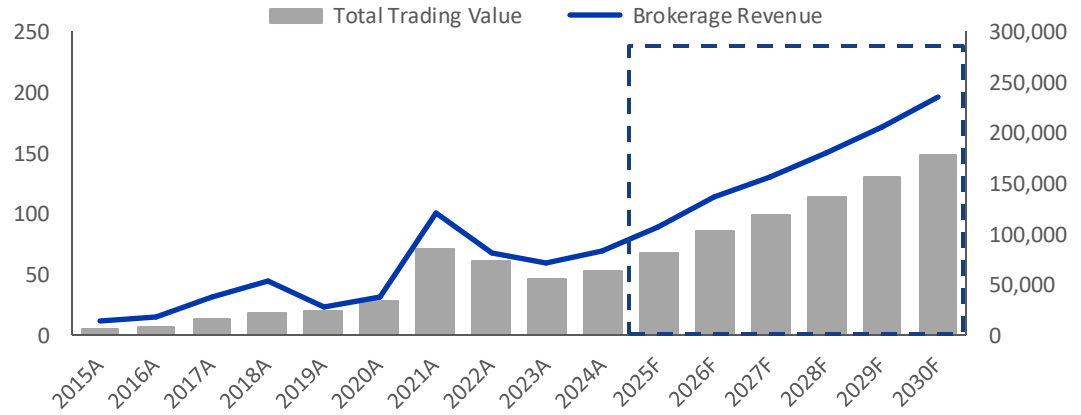
VALUATION

Brokerage segment summary

Brokerage Segment	2015A	2016A	2017A	2018A	2019A	2020A	2021A	2022A	2023A	2024A	2025F	2026F	2027F	2028F	2029F	2030F	24-26F	24-30F
Brokerage Revenue	12	15	31	45	23	32	101	68	60	69	88	114	131	150	172	197		*USD mn.*
Growth (% YOY)		*33%*	*105%*	*45%*	*-49%*	*37%*	*216%*	*-32%*	*-12%*	*14%*	*29%*	*29%*	*15%*	*14%*	*15%*	*15%*	29%	19%
Total Trading Value	6,620	7,976	15,353	22,616	23,745	33,967	84,670	72,594	55,882	62,498	80,412	103,945	119,062	136,325	156,126	178,792		
Growth (% YOY)		*20%*	*92%*	*47%*	*5%*	*43%*	*149%*	*-14%*	*-23%*	*12%*	*29%*	*29%*	*15%*	*14%*	*15%*	*15%*	29%	19%
Average Trading Fee	0.17%	*0.19%*	*0.20%*	*0.20%*	*0.10%*	*0.09%*	*0.12%*	*0.09%*	*0.11%*	*0.11%*	*0.11%*	*0.11%*	*0.11%*	*0.11%*	*0.11%*	*0.11%*		
Net Brokerage Margin	22%	21%	34%	32%	5%	22%	41%	22%	12%	18%	18%	18%	18%	18%	18%	18%		
Net Brokerage Income	3	3	11	14	1	7	41	15	7	13	16	21	24	28	32	36		
Growth (% YOY)		*22%*	*236%*	*36%*	*-93%*	*546%*	*498%*	*-64%*	*-50%*	*70%*	*29%*	*29%*	*15%*	*14%*	*15%*	*15%*	29%	19%

Brokerage revenue goes hand in hand with SSI's total trading value

SSI's brokerage revenue [USD mn, LHS] and SSI's total trading value [USD mn, RHS]

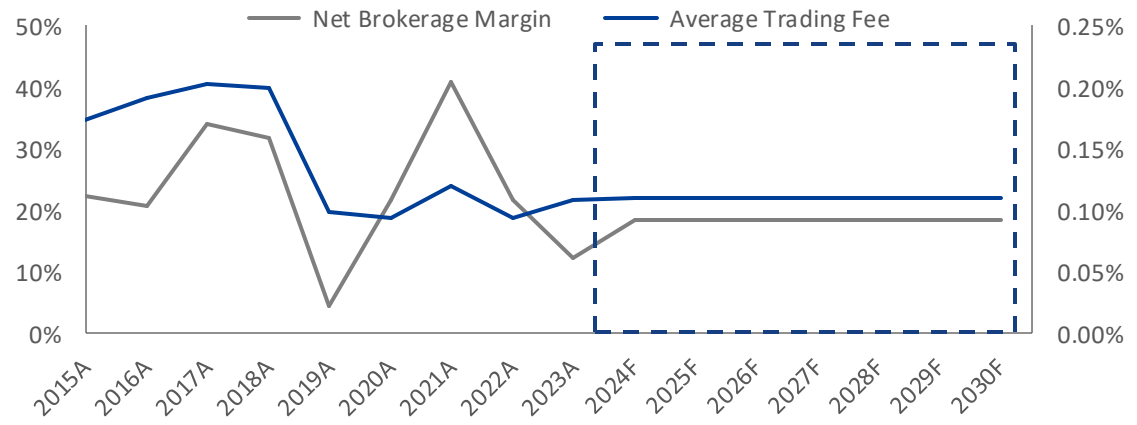


Note: Brokerage revenue and total transaction value include all customer transactions for equity/bond/other products

Source: SSI, Team analysis

Besides cost, trading fees are also somewhat correlated with profit margin

SSI's net brokerage margin [%, LHS] and SSI's average trading fee [%, RHS]



Note: Average trading fee or effective trading fee is calculated as the average of brokerage revenue divided by total trading value

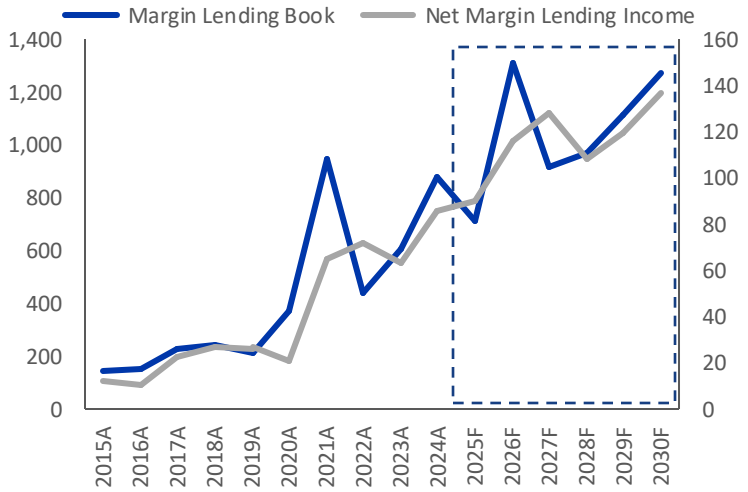
VALUATION

Margin loan segment summary

Margin Lending Segment	2015A	2016A	2017A	2018A	2019A	2020A	2021A	2022A	2023A	2024A	2025F	2026F	2027F	2028F	2029F	2030F	24-26F	24-30F
Margin Loan Income	12	10	23	27	27	21	65	72	63	86	90	116	128	108	119	137		*USD mn.*
Growth (% YOY)		*-15%*	*127%*	*18%*	*-1%*	*-21%*	*208%*	*12%*	*-13%*	*37%*	*5%*	*29%*	*10%*	*-15%*	*10%*	*15%*	16%	8%
Margin Loan Book	145	151	231	239	214	369	948	442	605	880	714	1,310	919	969	1,110	1,272		
Growth (% YOY)		*4%*	*53%*	*4%*	*-10%*	*72%*	*157%*	*-53%*	*37%*	*45%*	*-19%*	*84%*	*-30%*	*5%*	*15%*	*15%*	22%	6%
Margin Lending Rate	8%	12%	11%	12%	12%	7%	10%	10%	12%	11%	11%	11%	11%	11%	11%	11%		
Loan Book/Trading Value	2.2%	1.9%	1.5%	1.1%	0.9%	1.1%	1.1%	0.6%	1.1%	1.4%	0.9%	1.3%	0.8%	0.7%	0.7%	0.7%		
Margin Book/Equity	54%	48%	67%	65%	57%	93%	167%	49%	65%	82%	58%	99%	64%	63%	66%	69%		
Charter Capital	193	197	201	209	209	246	426	728	732	829	917	917	917	917	917	917		

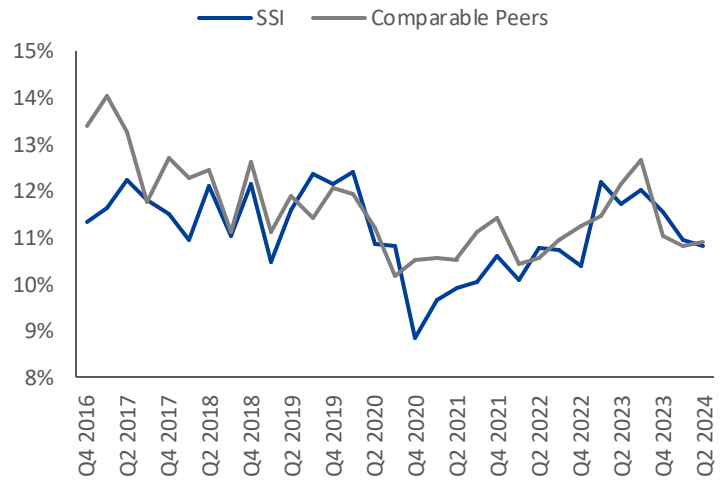
Margin loan book generates income

SSI's loan book [USD mn, LHS] and SSI loan income [USD mn, RHS]



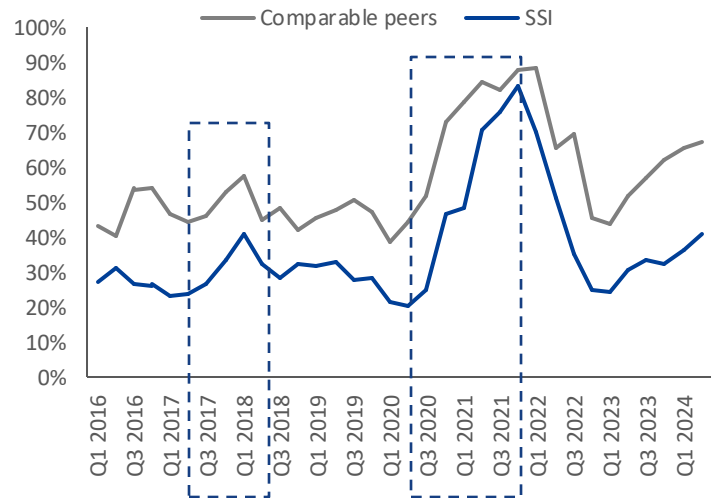
SSI has an non-competitive lending rate

SSI and comparable peers effective margin lending rate [%]



SSI does not have a "full room" as others

SSI and comparable peers margin book-over-room [%]



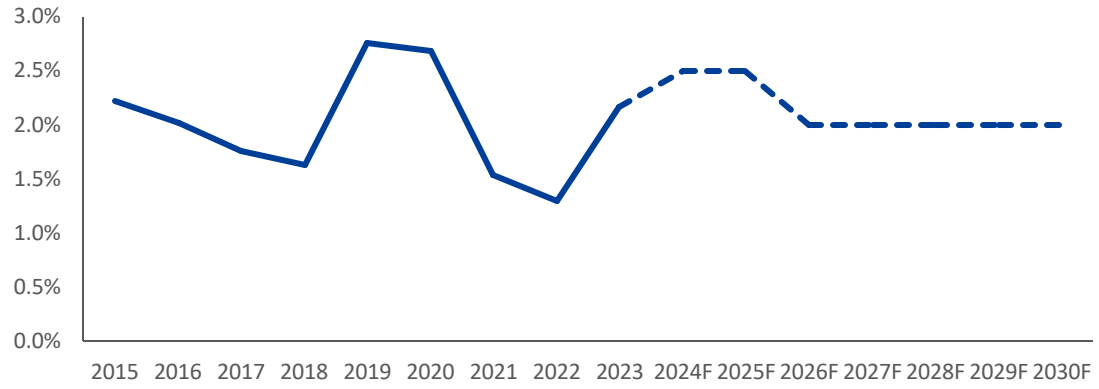
Source: SSI, Team analysis

VALUATION

Correlation between margin loan and trading value

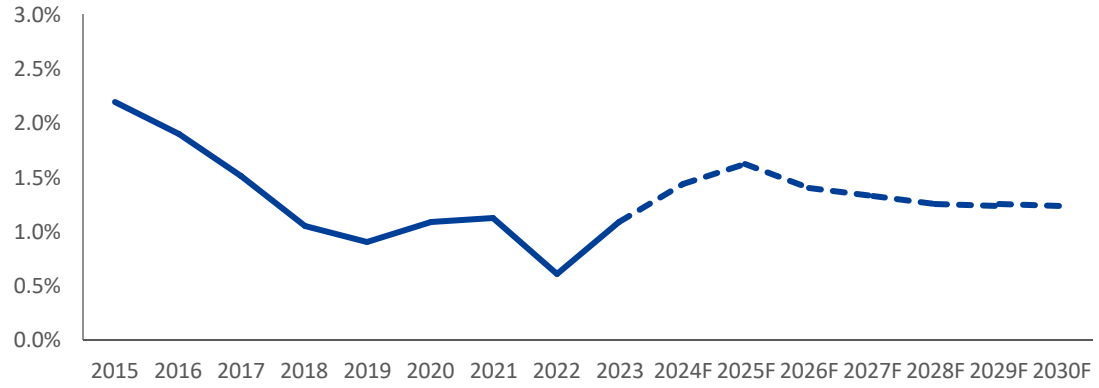
The rate decreases in market booming…

Market's margin loan book-to-total trading value conversion rate



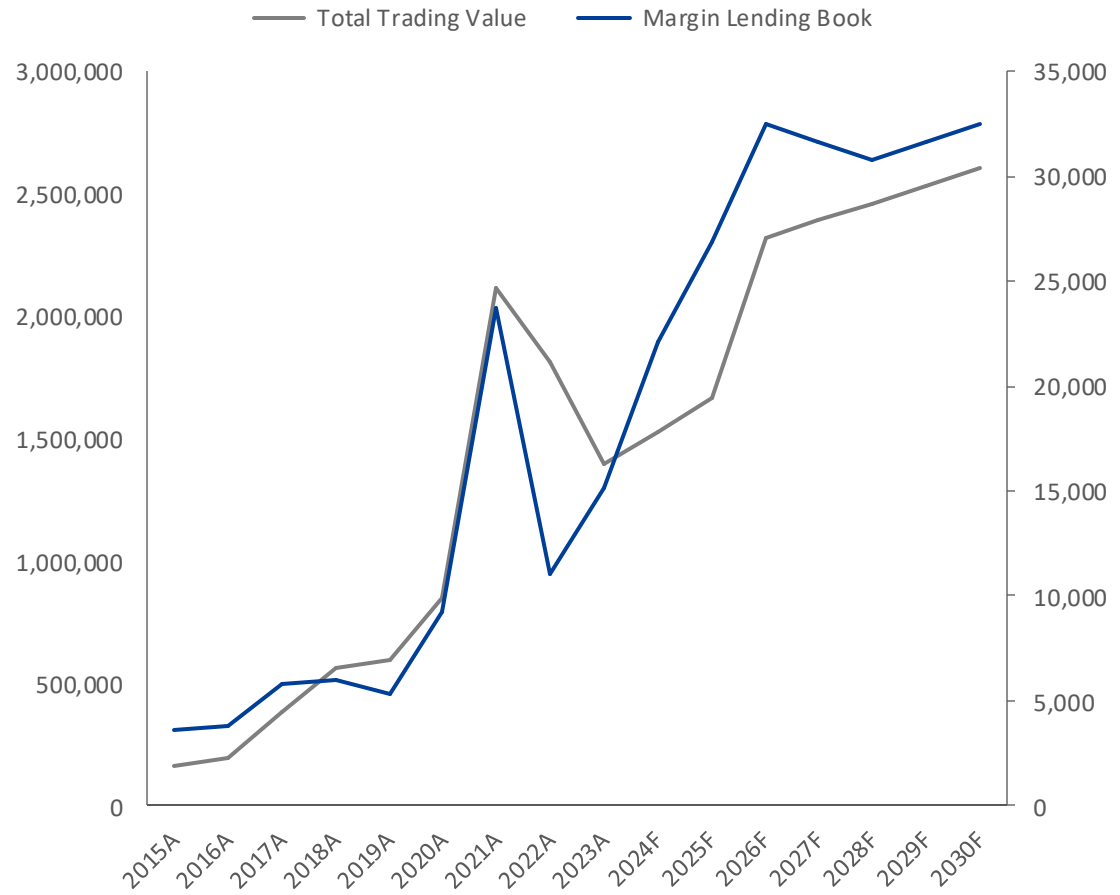
… Either SSI

SSI's margin loan book-to-total trading value conversion rate



SSI's margin loan book has correlation with trading value

SSI's customer total trading value [VND bn, LHS] and margin loan book [VND bn, RHS]



Note: Comparable peers includes VND, HCM, VCI, MBS, FTS, BSI

Source: Fiinpro

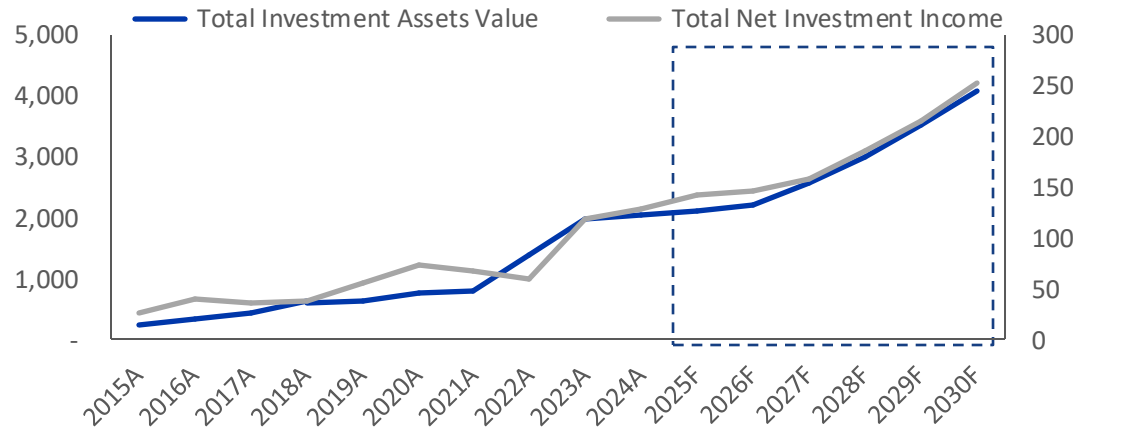
VALUATION

Invesment segment summary

Investment Segment	2015A	2016A	2017A	2018A	2019A	2020A	2021A	2022A	2023A	2024A	2025F	2026F	2027F	2028F	2029F	2030F	24-26F	24-30F
Total Net Investment Income	27	40	36	38	56	74	68	59	119	128	141	146	158	185	215	252		*USD mn.*
Growth (% YOY)		*51%*	*-11%*	*7%*	*47%*	*33%*	*-8%*	*-13%*	*100%*	*8%*	*10%*	*4%*	*8%*	*17%*	*17%*	*17%*	7%	12%
Total Investment Assets Value	253	336	434	625	632	761	805	1,375	1,978	2,054	2,120	2,208	2,573	3,000	3,499	4,084		
Growth (% YOY)		*33%*	*29%*	*44%*	*1%*	*20%*	*6%*	*71%*	*44%*	*4%*	*3%*	*4%*	*17%*	*17%*	*17%*	*17%*	4%	12%
ROI (Net)	11%	14%	9%	7%	9%	11%	9%	5%	7%	6%	7%	7%	7%	7%	7%	7%		

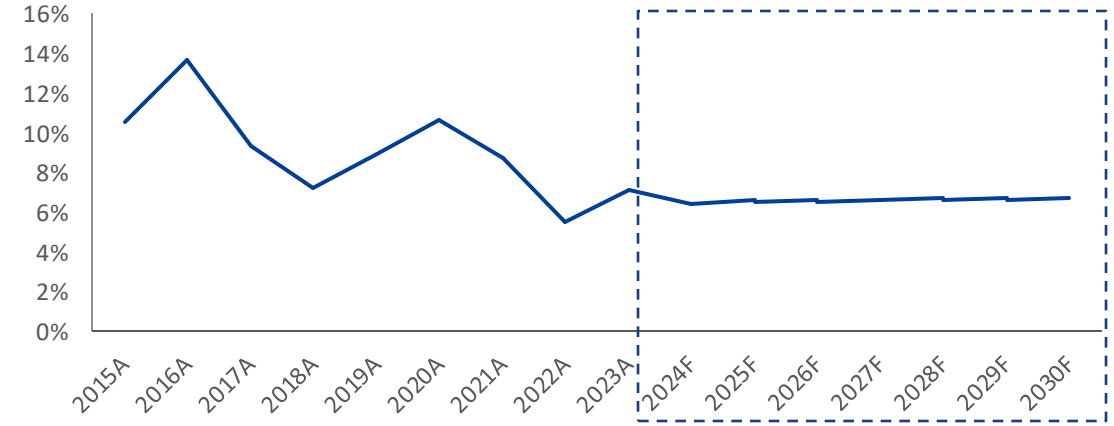
SSI's loan book [VND bn, LHS] and SSI loan income [VND bn, RHS]

SSI's investment assets value [USD mn, LHS] and net investment income [USD mn, RHS]



SSI mostly invests in bonds, thus having a stable ROI

SSI's ROI [%]



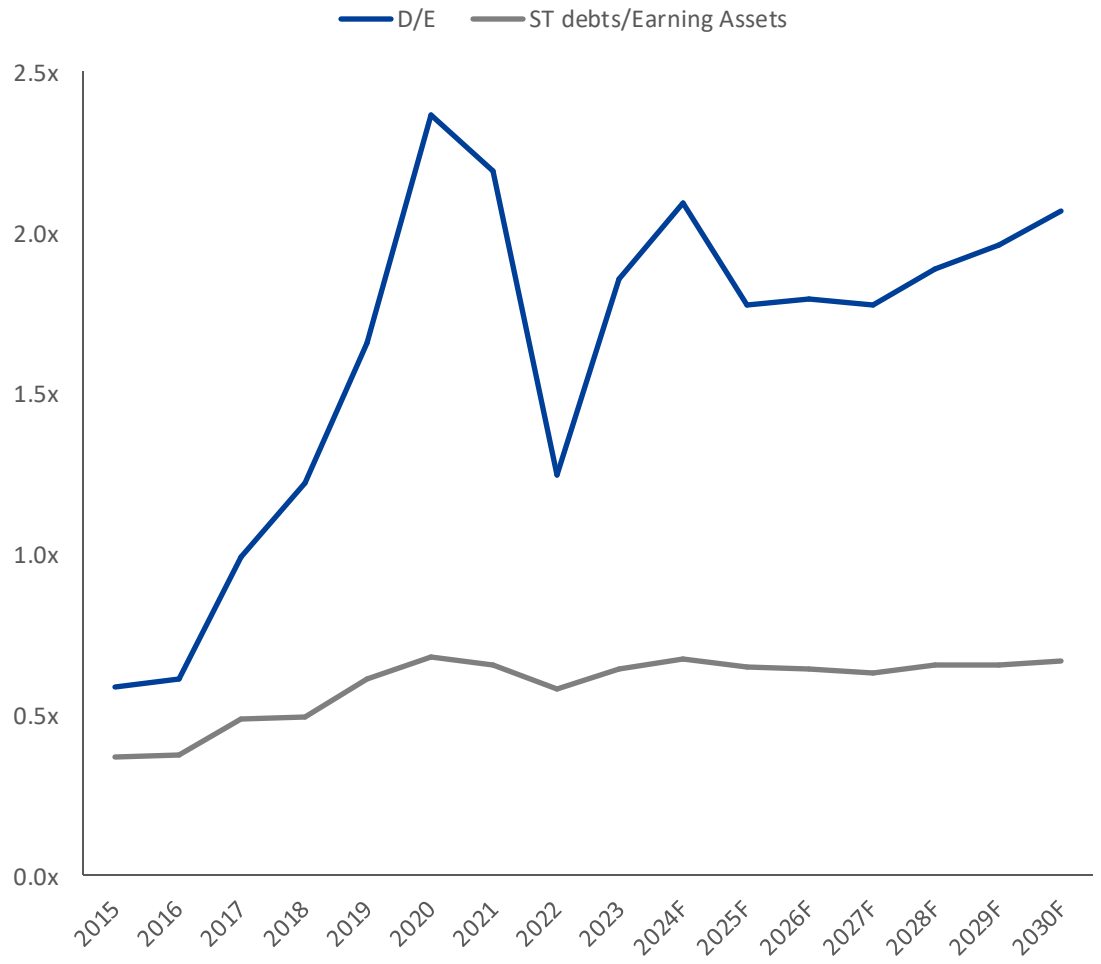
Source: SSI, Team analysis

VALUATION

SSI's leverage

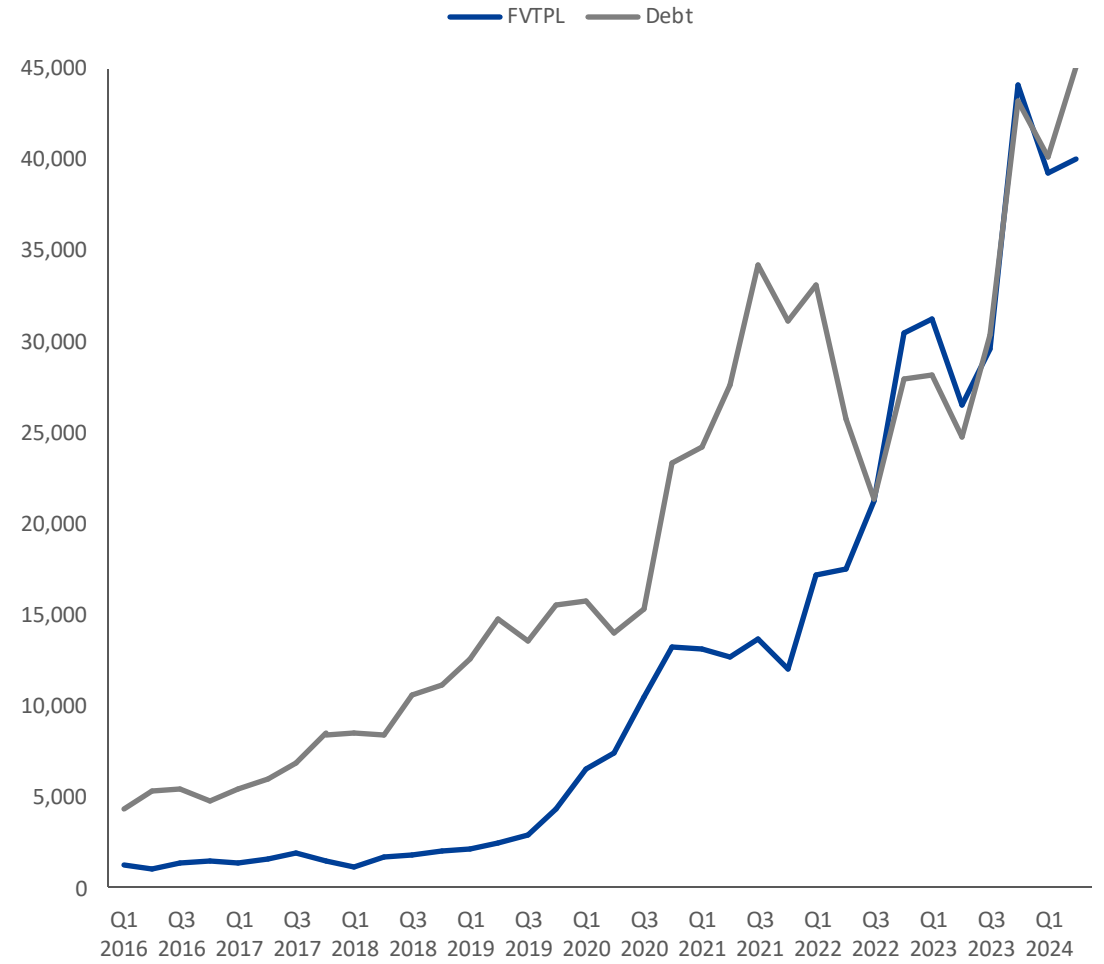
SSI D/E

SSI's debt-to-equity and short-term debt-to-earning assets [x]



SSI correlation between FVTPL and Debts

SSI's correlation between FVTPL assets and debt [VND bn]



Source: Team analysis

VALUATION

Residual income valuation model

Its hard for SSI to generate positive residual income

Residual income valuation summary [USD mn]

Residual Income Valuation	2024A	2025F	2026F	2027F	2028F	2029F	2030F
Beginning Equity	930	1,073	1,239	1,325	1,431	1,541	1,677
Net Income	121	141	165	184	188	215	248
Less: Cash Dividend	(60)	(79)	(79)	(79)	(79)	(79)	(79)
Equity Issue (by cash)	97	88	-	-	-	-	-
Other Changes	(0)	0	-	-	-	-	-
Ending Equity	**1,087**	**1,224**	**1,325**	**1,431**	**1,541**	**1,677**	**1,846**
ROE	12.1%	12.2%	12.9%	13.4%	12.7%	13.3%	14.1%
Cost of Equity	12.5%	12.5%	12.5%	12.5%	12.5%	12.5%	12.5%
Less: Equity Charge	(117)	(134)	(155)	(166)	(179)	(193)	(210)
Residual Income	5	7	10	18	9	22	38
Discount Factor	1.00	0.89	0.79	0.70	0.62	0.55	0.49
PV Residual Income	5	6	8	13	6	12	18
Total PV of Residual Income	67	63	57	49	36	30	18
Terminal Value	595	670	754	848	954	1,074	1,208
Beginning Equity	930	1,073	1,239	1,325	1,431	1,541	1,677
Equity Value	**1,592**	**1,805**	**2,049**	**2,222**	**2,421**	**2,645**	**2,904**
No. Of Shares (million)	1,962	1,962	1,962	1,962	1,962	1,962	1,962
Value per Share [USD]	**0.81**	**0.92**	**1.04**	**1.13**	**1.23**	**1.35**	**1.48**
Current Price [USD]	0.99						
Capital Gain		-6.9%	5.7%	14.6%	24.9%	36.5%	49.8%
CAGR		-6.9%	2.8%	4.7%	5.7%	6.4%	7.0%

Terminal Value Estimation	
SSI's 8y Average P/B Multiple	1.7x
Premium/(Discount) due to not fully utilize their edge	0%
SSI's Exit Multiple	**1.7x**
SSI's 2030F BV of Equity (Beg.)	1,846
Terminal Value	1,208
PV Terminal Value	670

Residual Income Model - 2025F	
PV Terminal Value	670
Sum of PV Residual Income	63
Current BV of Equity	1,073
Equity Value	**1,805**
No. Of Shares (million)	1,962
Value per Share [VND]	**0.92**
Current Price [USD]	0.99
Upside/(Downside)	-6.9%

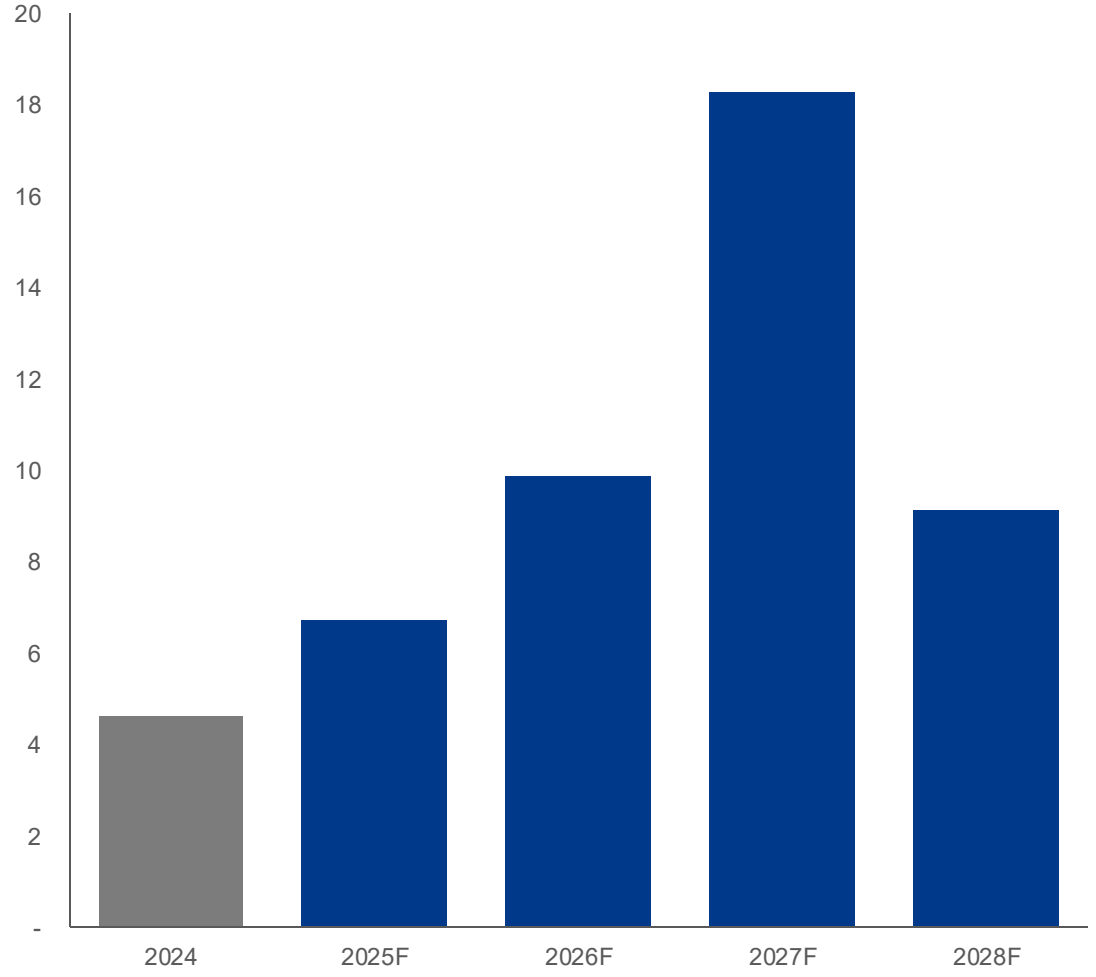
Source: Team analysis

VALUATION

The residual income model has not shown much upside for SSI

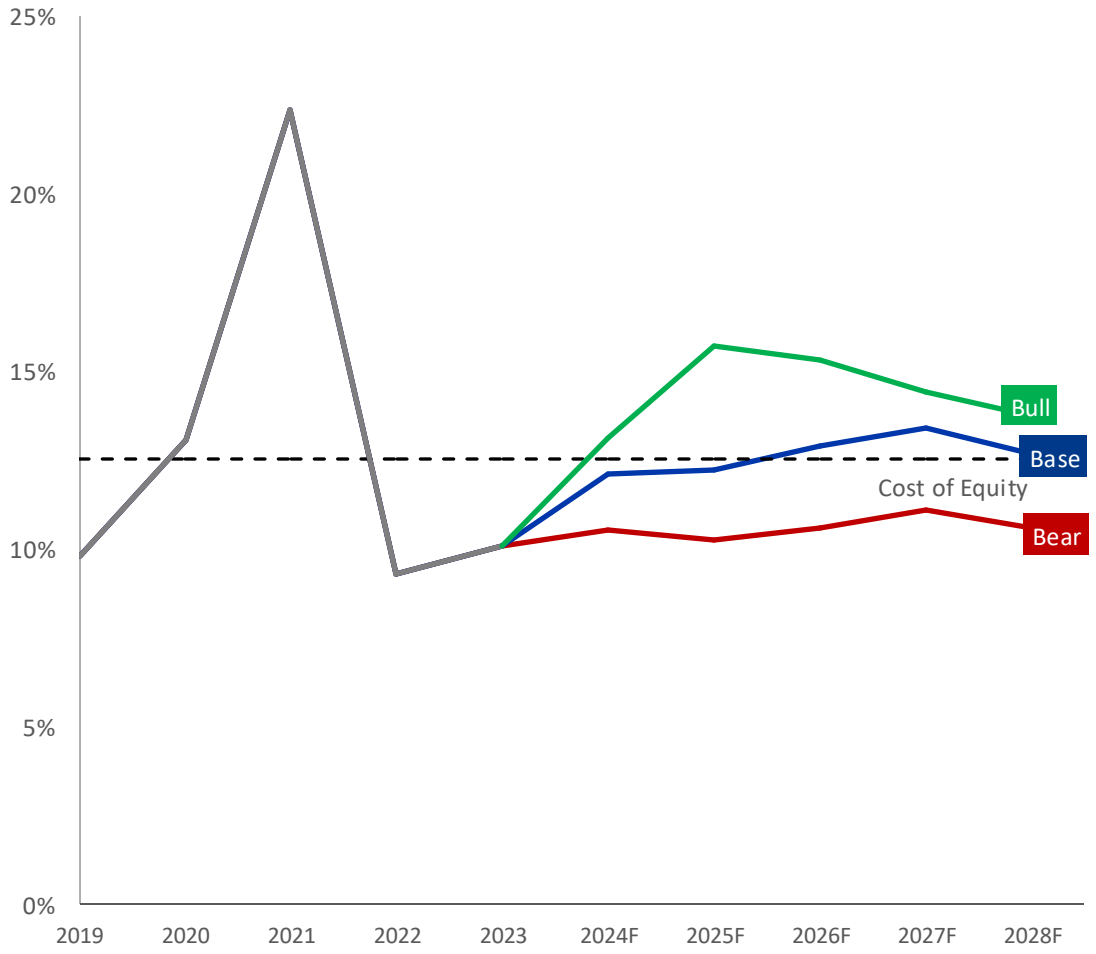
SSI is unlikely to generate residual income due to…

SSI's Residual Income [USD mn]



… %ROE could hardly cover the cost of equity

SSI's ROE in Bear/Bull/Base Case and Cost of Equity [%]



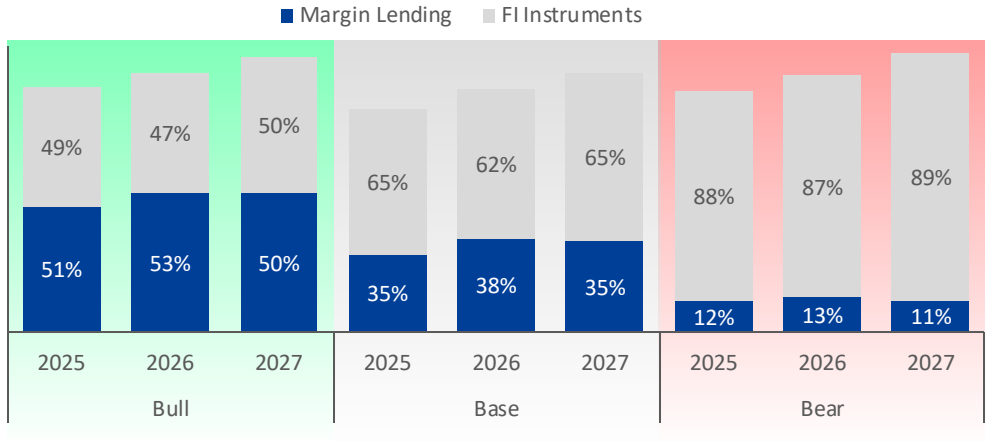
Source: SSI, Team analysis

VALUATION

SSI only can generate positve residual income in bull case

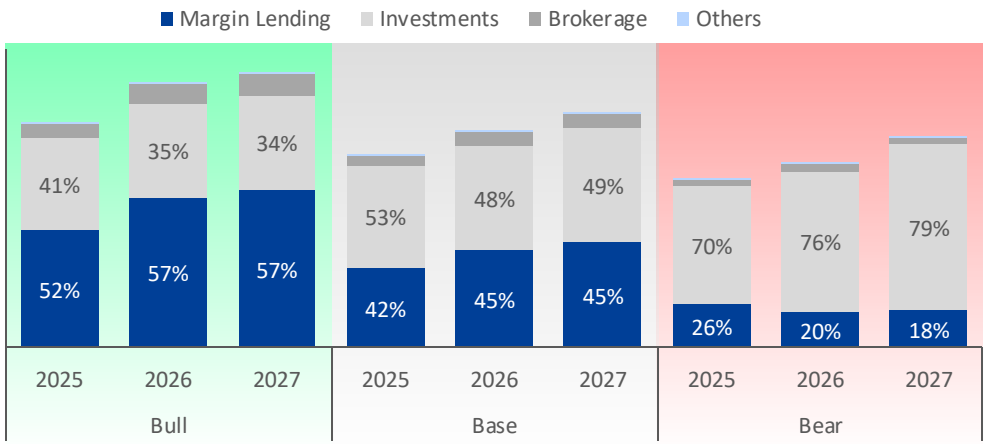
High utilization of margin room in bull case…

Scenarios for SSI's earning assets 2025-2027



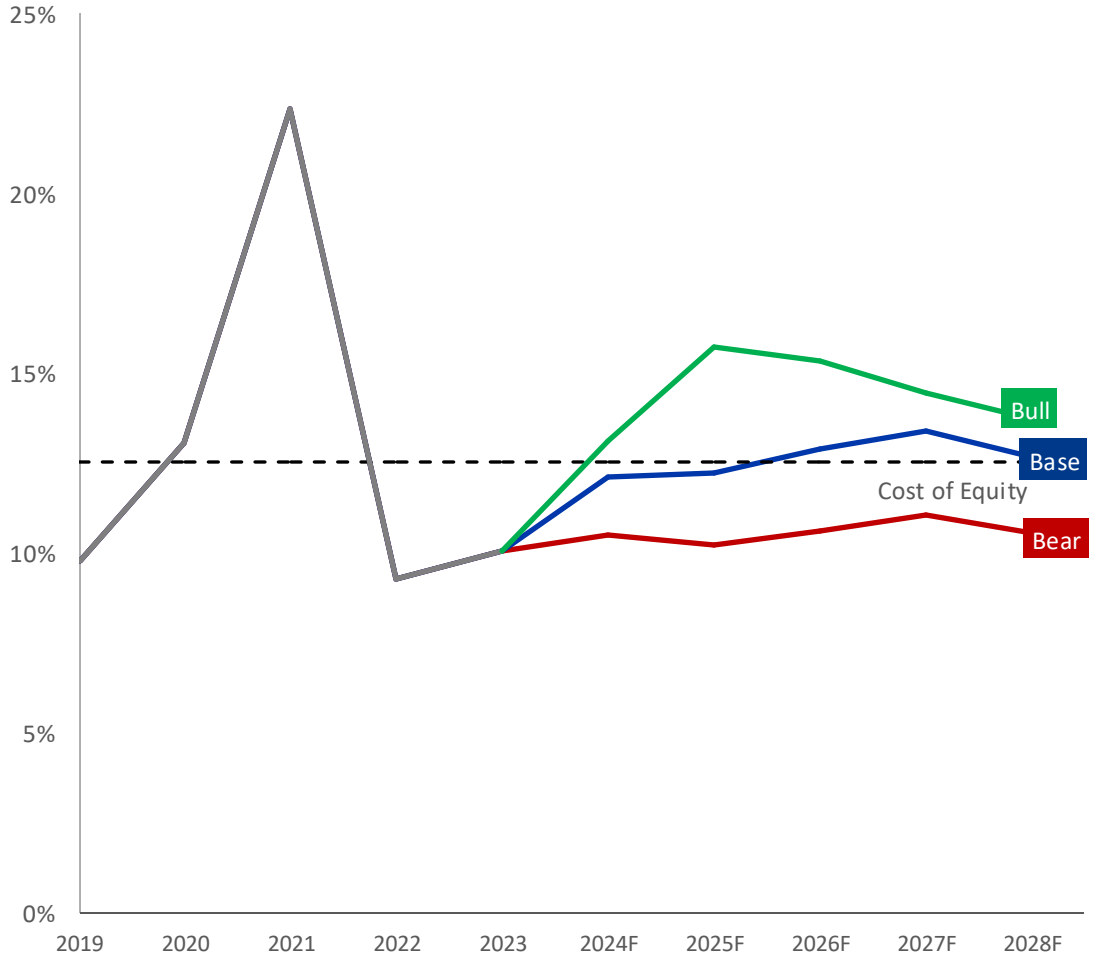
Lifts the company's profit…

Scenarios for SSI's gross profit 2025-2027



… which also raises SSI's ROE over their cost of equity

Scenarios for SSI's ROE 2025-2027 [%]



Source: SSI, Team analysis

Cost of equity estimation

Cost of equity calculation has made base on capital pricing asset model (CAPM)

Cost of Equity Estimation Assumptions	Rate		Methodology
	Growth	Terminal	
Risk-free rate	3.0%	3.0%	Vietnam Latest 10Y Government Bond Yield
Expected Return on Market	11.6%	11.6%	Robert C. Higgins formula: SGR = ROE x Retention Rate + Dividend Yield; with [1] Average market ROE of 14%; [2] Average market Retention Rate of 70%; [3] Expected market long-term P/E of 14.0x.
Equity Risk Premium [ERP]	8.4%	8.4%	Weighted average by 70:30 ratio with ERP calculated by [1] Damodaran estimation and [2] Excess return between the expected market return and risk-free rate
[1] ERP - Team Calculation	*8.6%*	*8.6%*	*Excess return of VNI above the risk-free rate.*
[2] ERP - Damodaran Calculation	*8.4%*	*8.4%*	*Damodaran's January 2025 Estimation.*
Raw Beta	1.4	1.4	400 weeks Regression beta with VN-INDEX, covered two full cycles of the market (2016-2017A, 2020-2021A).
Adjusted Beta	1.2	1.1	Weighted average by 60:40 ratio with market beta (1.0) during forecasted horizon. During terminal period, we assume SSI's stock price would shift closer to the market resulting a 30:70 ratio.
Cost of Equity	13.2%	12.3%	Calculated via Capital Asset Pricing Model (CAPM): Ke = Rf + B(ERP)

Source: Team analysis

VALUATION

Relative pricing model

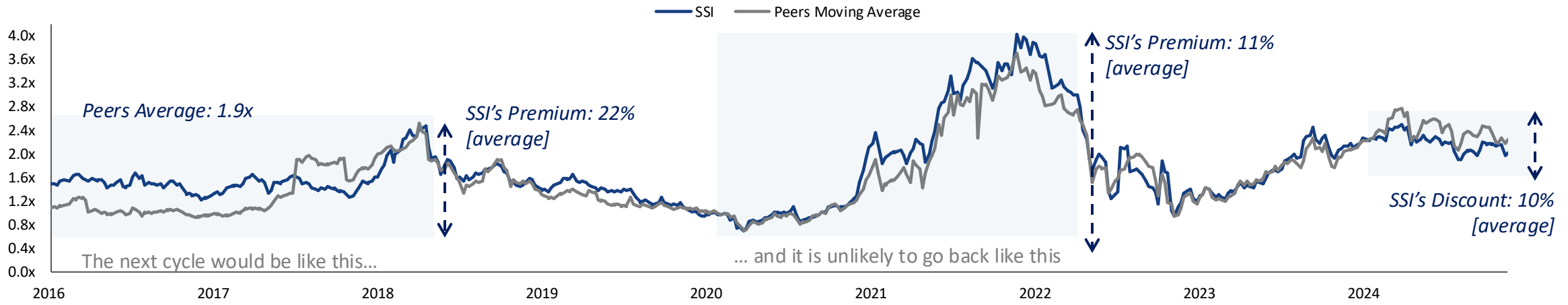
This model generates more upsides

Relative multiple pricing summary [USD mn]

P/B Multiple Valuation	2024A	2025F	2026F	2027F	2028F	2029F	2030F
Ending Equity	1,087	1,224	1,325	1,431	1,541	1,677	1,846
Justified P/B	1.9x	1.9x	2.0x	1.9x	1.9x	1.9x	1.9x
Equity Value	2,022	2,277	2,650	2,662	2,866	3,119	3,434
Target Price [USD]	1.03	1.16	1.35	1.36	1.46	1.59	1.75
Current Price	0.99						
Total Return	4.3%	17.5%	36.7%	37.3%	47.9%	60.9%	77.2%
CAGR	4.3%	17.5%	16.9%	11.1%	10.3%	10.0%	10.0%

SSI is losing their premium

SSI's P/B over times [x]



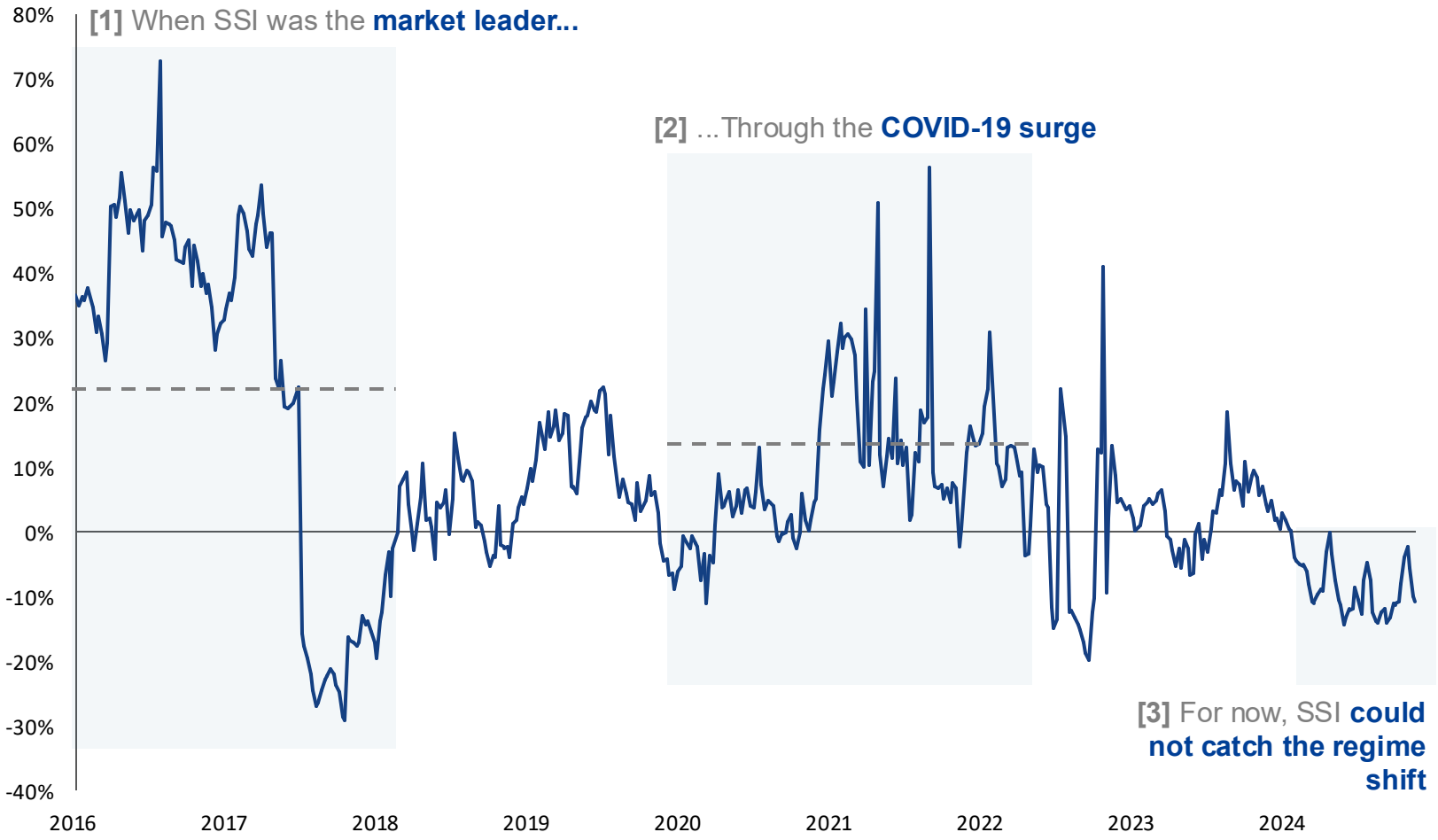
Source: Team analysis

VALUATION

SSI's premium to peers

SSI is not worth its premium, we apply a similar multiple as peers in 2016-2017A for SSI without premium

SSI's P/B premium/discount to comparable peers from 2016-2024[x]



Peers Slection Criteria

[1] Brokerage market share

[2] Assets and capital size

[3] Revenue structure

[4] Customer base

Drivers for Premium/Discount

[1] Competitive positioning

[2] Zero-fee adaptability

[3] Market share prospects

[4] Return on equity

Target P/B: 1.9x

Note: Comparable peers includes VND, VCI, HCM, FTS, MBS, BSI

Source: Fiinpro

VALUATION

Scenario analysis summary

Scenario analysis summary [VND]

Time Horizon: 2024-2026F	Bull	Base	Bear
Valuation Summary			
Target Price at 2025F [VND]	**36,370**	**28,490**	**23,020**
Residual Income Model [40% weight]	*29,350*	*22,400*	*17,950*
P/B Multiple [60% weight]	*41,050*	*32,550*	*26,400*
3-year CAGR Return [%]	**19.7%**	**1.3%**	**-14.5%**
1-year Dividend Yield [%]	4.1%	4.1%	4.1%
Justified P/B for Relative Valuation	2.0x	1.9x	1.7x
Terminal P/B for Residual Income Valuation	1.8x	1.7x	1.5x
Key Metrics			
NIM [%, average]	4.5%	4.0%	3.2%
ROE [%, average]	15.2%	11.9%	9.0%
D/E [x, average]	2.2x	1.9x	1.7x
Net Income, CAGR	23.6%	13.0%	3.5%
ADTV, CAGR [%]	39.7%	28.9%	-7.0%
Brokerage Segment			
Net Brokerage Income, CAGR [%]	45.8%	23.2%	-11.8%
Brokerage market share [%, average 24-30F]	9.9%	8.4%	7.9%
Margin Loan Segment			
Margin Loan Book, CAGR [%]	31.0%	21.2%	-15.1%
Margin Loan Income, CAGR [%]	45.8%	26.2%	-16.1%
Margin Loan market share [%, average 24-30F]	8.9%	8.7%	8.2%
Invesments Segment			
Investment assets, CAGR [%]	3.6%	2.7%	15.7%
Net Invesment Income, CAGR [%]	5.3%	4.6%	23.3%
Net FVTPL Yield	8.0%	8.5%	10.0%
CDs Market Share	4.9%	4.9%	7.2%
Macro & Market Variables			
Trading value/Margin conversion rate [%]	2.6%	2.1%	1.6%
ADTV/Free-float adjusted Market Cap [x]	0.59	0.57	0.46
Market earning growth CAGR [%]	18.1%	14.2%	5.3%
Interbank Rates Level [%]	3.0%	3.5%	4.0%
Market P/E justified [x, average]	15.8x	14.7x	12.8x
Revenue Structure			
Brokerage	24%	21%	12%
Margin Loan	31%	26%	13%
Investments	39%	47%	71%
Others	7%	6%	3%

Source: Team analysis

VALUATION

Scenario analysis explanation

BULL CASE UPSDIE: 17% CAGR

- **ADTV: 30k-35k VND bn (CAGR: 39.7%)**
  - Vietnam's **deposit rates** level has become more favorable at **7%**: VND/USD gap has less pressure because the FED has entered a faster-than-expected easing cycle
  - **Market EPS** will grow with a CAGR of **18.1%** thanks to: real estate market absorbs support policies + consumer spending + banks benefit well from the above 2 factors
- **ROE: 14%** + **P/B: 2.0x** → Increase in market share
  - SSI is **ready to compete** by trading off revenue to catch up with zero-fee trend + reducing margin lending rates
  - SSI allocates assets **less conservatively**: optimizes lending room + invests in assets with higher yields

BEAR CASE UPSIDE: 0.5% CAGR

- **ADTV: 13k-15k VND bn (CAGR: -7.0%)**
  - Vietnam's **deposit rates** level rose back to **5%** due to pressure on the VND/USD spread as the USD became too strong under President Trump's policy direction.
  - **Market EPS** will grow with a CAGR of **5.3%** if policies to support the real estate market are not absorbed + consumption slows down + banks are doubly affected
- **ROE: 10%** + **P/B: 1.7x** → Decrease in market share
  - SSI's BODs continues to maintain its stance that they **will not lower fees** (trading + lending rates) **to compete**
  - SSI continues to focus on investment segment with an **overly conservative portfolio** instead of core **even in a not-so-bad economic situation**

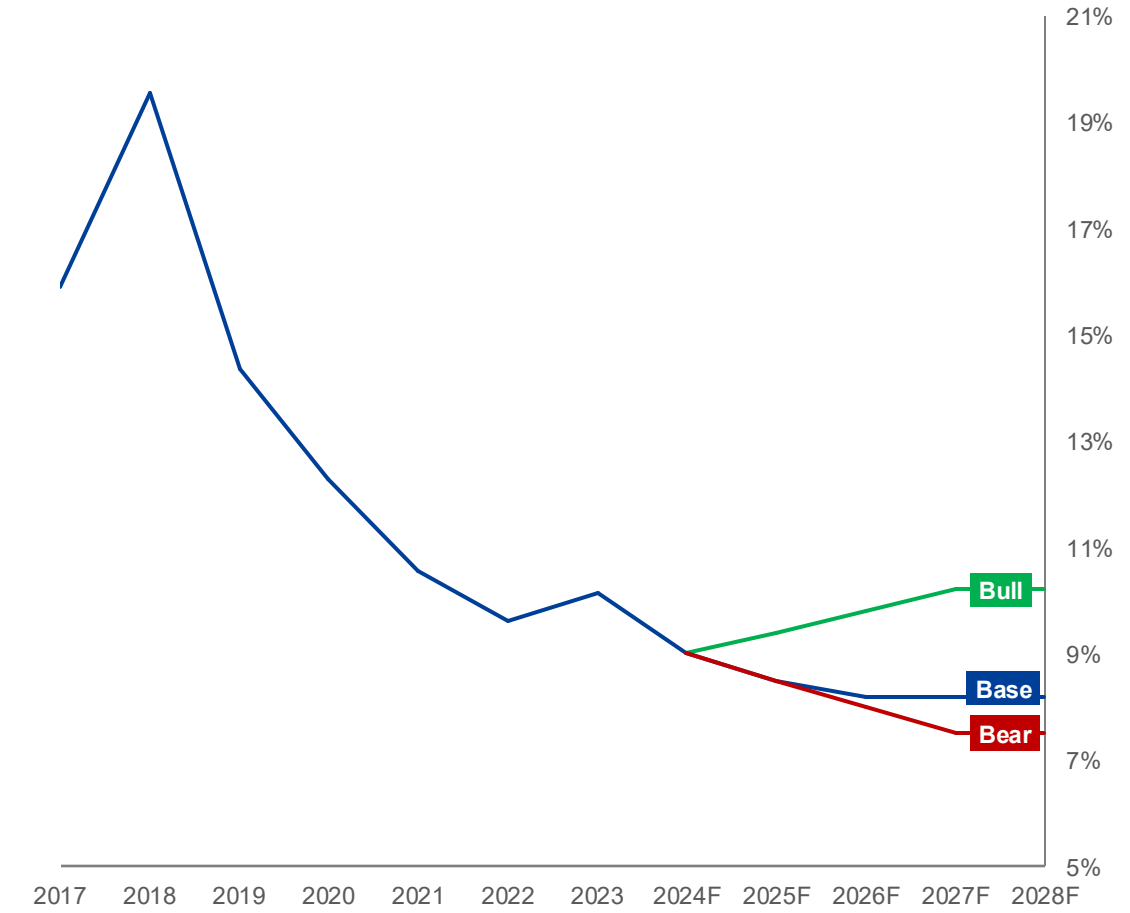
Source: Team analysis

VALUATION

Market share scenario analysis

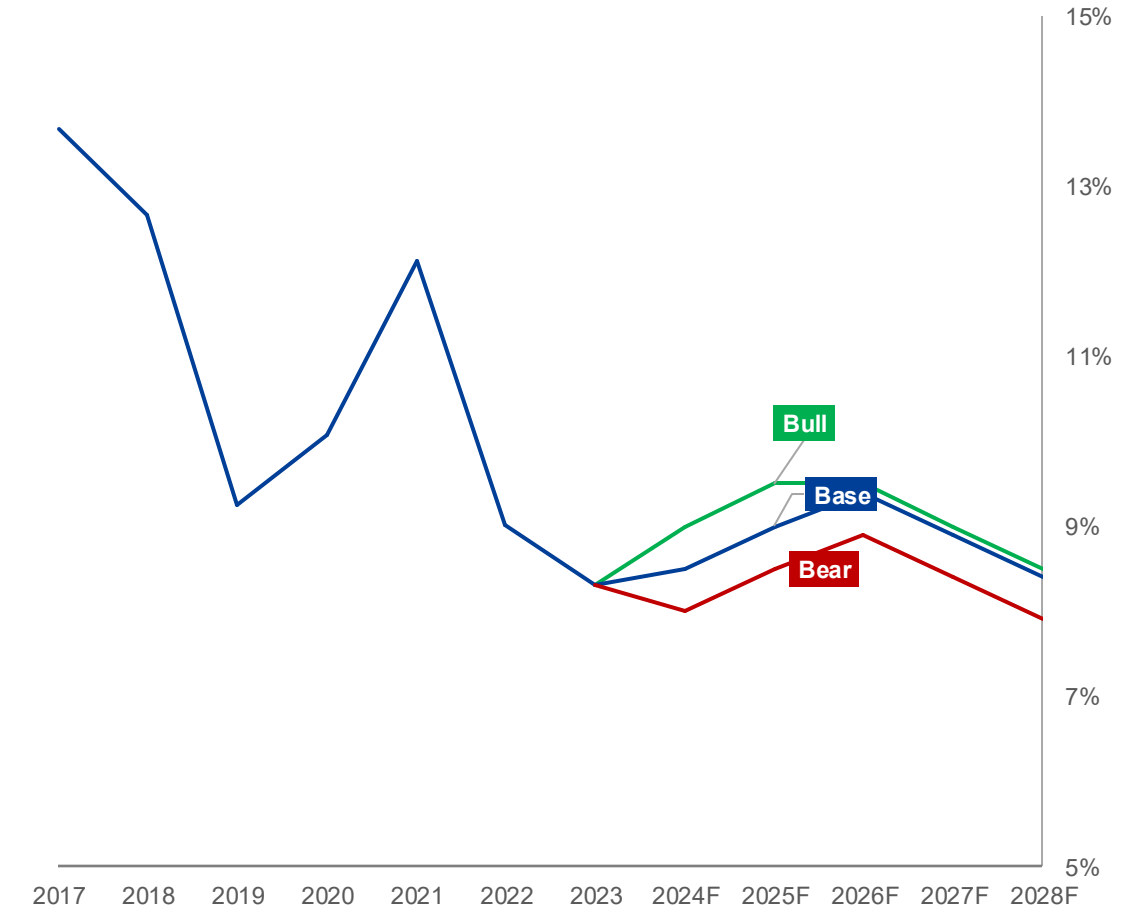
SSI brokerage market share could only rise in our Bull case…

SSI brokerage market share [%]



… While margin loan market share is easier to gain back

SSI margin loan market share [%]



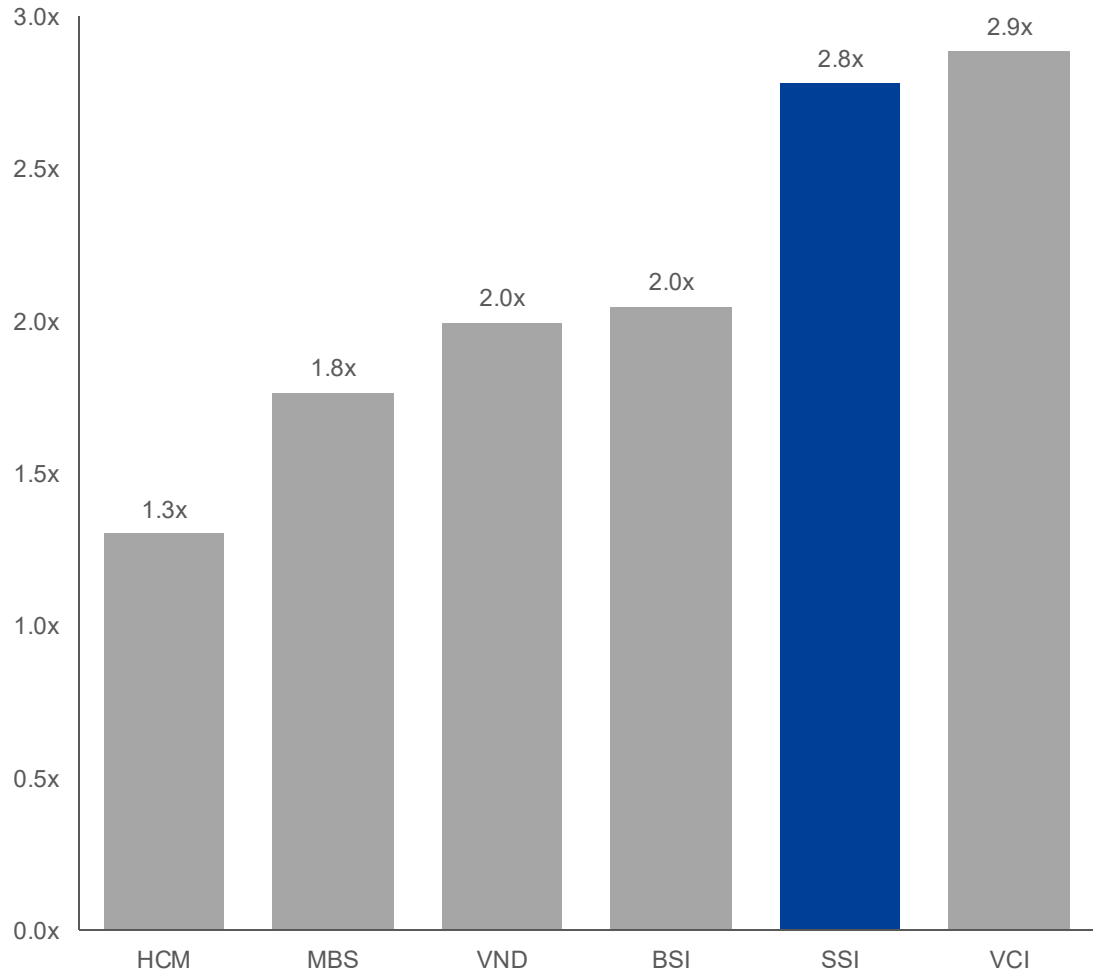
Source: Fiinpro, Team analysis

VALUATION

Market capitalization-to-margin loan book

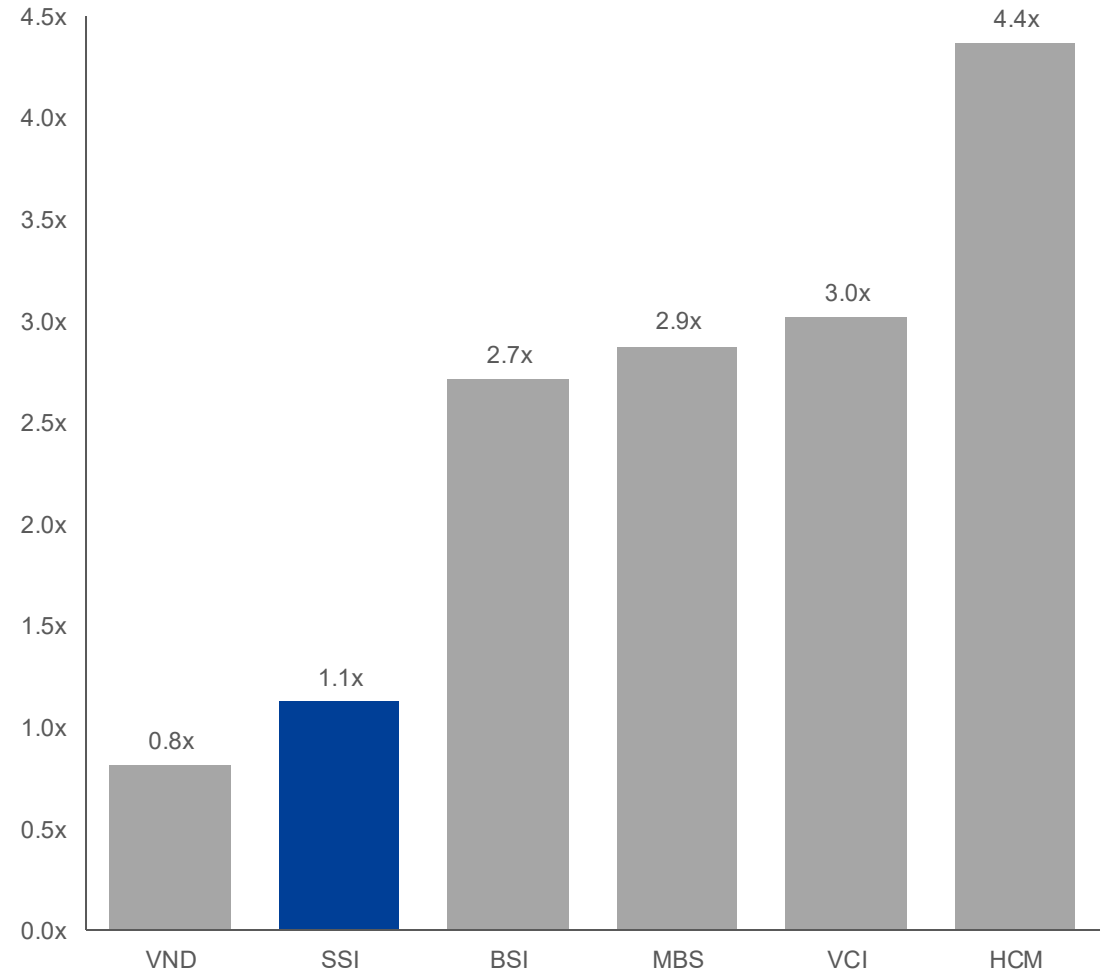
SSI has overvalued if margin lending is the key driver of the industry

SSI and peers current market capitalization-to-margin loan book TTM to Q3 2024 [x]



...though the investment portfolio lift SSI to a better valuation

SSI and peers current market capitalization-to-earning assets TTM to Q3 2024 [x]



Source: Fiinpro, Team analysis

VALUATION

Sensitivity analysis summary

Justified P/B for relative pricing and rerminal P/B for intrinsic valuation

Upside of SSI sensitivity table [%]

Terminal P/B \ Justified P/B	1.7x	1.8x	1.9x	2.0x	2.1x
1.5x	-9.4%	-5.7%	-1.7%	2.3%	6.1%
1.6x	-8.2%	-4.2%	-0.2%	3.6%	7.5%
1.7x	-6.7%	-2.7%	**1.3%**	5.0%	9.0%
1.8x	-5.2%	-1.3%	2.5%	6.5%	10.5%
1.9x	-3.8%	0.0%	4.0%	8.0%	11.7%

Inputs for invesment segment

Upside of SSI sensitivity table [%]

Total Bank's allocation \ Credit growth	11.5%	12.5%	13.5%	14.5%	15.5%
4.7%	-1.3%	-1.0%	-0.8%	-0.6%	-0.4%
5.2%	-0.2%	0.0%	0.2%	0.4%	0.6%
5.7%	0.6%	1.0%	**1.3%**	1.5%	1.7%
6.2%	1.7%	1.9%	2.3%	2.5%	2.7%
6.7%	2.5%	2.9%	3.1%	3.6%	3.8%

EPS growth and Justified are our other drivers

VN-INDEX sensitivity table [points]

Justified P/E \ EPS Growth QoQ in 2025	2.1%	2.6%	3.1%	3.6%	4.1%	4.6%	5.1%
14.0x	1,527	1,535	1,542	1,550	1,557	1,565	1,572
14.2x	1,555	1,562	1,570	1,578	1,585	1,593	1,600
14.5x	1,582	1,590	1,598	1,605	1,613	1,621	1,629
14.7x	1,609	1,617	1,625	**1,633**	1,641	1,649	1,657
15.0x	1,637	1,645	1,653	1,661	1,669	1,677	1,685
15.2x	1,664	1,672	1,680	1,688	1,697	1,705	1,713
15.5x	1,691	1,700	1,708	1,716	1,724	1,733	1,741

VALUATION

Key Assumptions/Inputs: Base Case [1]

SSI's valuation based on variable inputs including: [1] Market inputs, [2] Company inputs, [3] Multiple inputs

SSI key assumptions/inputs

Base case [1]	2024A	2025F	2026F	2027F	2028F	2029F	2030F
Credit Growth	13.0%	13.0%	15.2%	17.1%	17.1%	17.1%	17.1%
GDP Growth (Real)	7.0%	7.5%	8.0%	9.0%	9.0%	9.0%	9.0%
Market Share on MMIs	5.7%	5.2%	4.7%	4.7%	4.7%	4.7%	4.7%
Margin Conversion rate (of market)	2.5%	1.5%	1.2%	1.2%	1.2%	1.2%	1.2%
Brokerage (Equity) Market Share	9.2%	9.5%	9.5%	9.5%	9.5%	9.5%	9.5%
Market Overnight Rate	3.5%	3.3%	3.3%	3.0%	3.0%	3.0%	3.0%
Market EPS Growth	15%	24%	15%	8%	n/a	n/a	n/a
Market Turnover	0.50	0.55	0.75	0.70	0.70	0.70	0.70
Margin Lending rate (Effective)	11%	11%	11%	11%	11%	11%	11%
Brokerage Fee (Effective)	0.11%	0.11%	0.11%	0.11%	0.11%	0.11%	0.11%
Margin Loan Market Share	8.9%	9.2%	9.8%	10.0%	9.2%	9.2%	9.2%
Terminal P/B	1.7x	n/a	n/a	n/a	n/a	n/a	n/a
Justified P/B	1.9x	1.9x	2.0x	1.9x	1.9x	1.9x	1.9x

Source: Team analysis

VALUATION

Key Assumptions/Inputs: Bear Case [2]

SSI's valuation based on variable inputs including: [1] Market inputs, [2] Company inputs, [3] Multiple inputs

SSI key assumptions/inputs

Bear case [2]	2024A	2025F	2026F	2027F	2028F	2029F	2030F
Credit Growth	12.0%	12.0%	12.0%	12.0%	12.0%	12.0%	12.0%
GDP Growth (Real)	6.0%	6.5%	7.0%	6.0%	6.0%	6.0%	6.0%
Market Share on MMIs	6.7%	7.7%	7.2%	7.2%	7.2%	7.2%	7.2%
Margin Conversion rate (of market)	2.0%	2.0%	1.5%	1.5%	1.5%	1.5%	1.5%
Brokerage (Equity) Market Share	9.0%	8.5%	8.0%	7.5%	7.5%	7.5%	7.5%
Market Overnight Rate	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%	4.0%
Market EPS Growth	10%	8%	5%	2%	n/a	n/a	n/a
Market Turnover	0.30	0.45	0.50	0.45	0.50	0.50	0.50
Margin Lending rate (Effective)	11%	11%	11%	11%	10%	10%	10%
Brokerage Fee (Effective)	0.11%	0.11%	0.11%	0.11%	0.11%	0.11%	0.11%
Margin Loan Market Share	8.4%	8.9%	9.3%	8.8%	8.3%	8.3%	8.3%
Terminal P/B	1.5x	n/a	n/a	n/a	n/a	n/a	n/a
Justified P/B	1.7x	1.7x	1.8x	1.7x	1.7x	1.7x	1.7x

Source: Team analysis

VALUATION

Key Assumptions/Inputs: Bull Case [3]

SSI's valuation based on variable inputs including: [1] Market inputs, [2] Company inputs, [3] Multiple inputs

SSI key assumptions/inputs

Bull case [3]	2024A	2025F	2026F	2027F	2028F	2029F	2030F
Credit Growth	14.0%	14.0%	14.0%	14.0%	14.0%	14.0%	14.0%
GDP Growth (Real)	8.0%	8.5%	9.0%	8.0%	8.0%	8.0%	8.0%
Market Share on MMIs	4.7%	4.2%	3.7%	3.7%	3.7%	3.7%	3.7%
Margin Conversion rate (of market)	3.0%	3.0%	2.5%	2.5%	2.5%	2.5%	2.5%
Brokerage (Equity) Market Share	9.0%	9.4%	9.8%	10.2%	10.2%	10.2%	10.2%
Market Overnight Rate	3.0%	3.0%	3.0%	3.0%	3.0%	3.0%	3.0%
Market EPS Growth	20%	27%	20%	10%	n/a	n/a	n/a
Market Turnover	0.60	0.65	0.70	0.65	0.50	0.50	0.50
Margin Lending rate (Effective)	11%	11%	11%	11%	10%	10%	10%
Brokerage Fee (Effective)	0.11%	0.11%	0.11%	0.11%	0.11%	0.11%	0.11%
Margin Loan Market Share	9.4%	9.9%	9.9%	9.4%	8.9%	8.9%	8.9%
Terminal P/B	1.8x	n/a	n/a	n/a	n/a	n/a	n/a
Justified P/B	2.0x	2.0x	2.2x	2.0x	2.0x	2.0x	2.0x

Source: Team analysis

ESG Scorecard - Environment

As a company operating in the financial and securities sector, SSI does not engage in direct production activities

To assess SSI's ESG performance, team conduct evaluations based on the framework established by MSCI and the CFA Institute Corporate Governance standards. The following table summarizes the analysis.

Marking Rubric:

1 - The company did not follow the criteria at all.

2 - The company did not fully follow the criteria.

3 - The company followed the criteria

4 - The company has excellent policies on the criteria

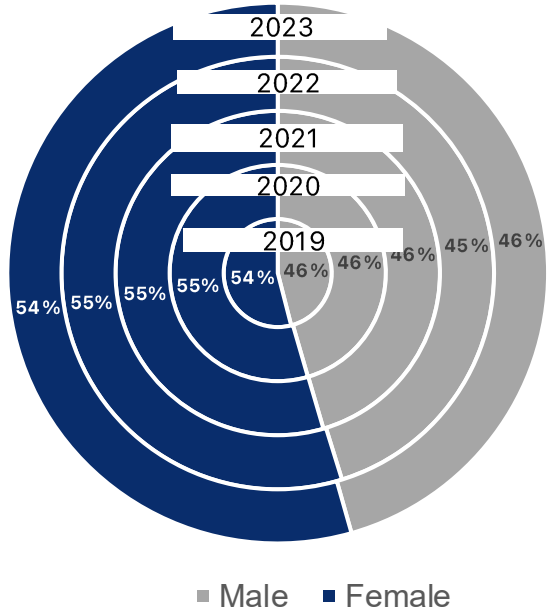
MSCI'S FRAMEWORK ENVIRONMENT		
Carbon emissions	3,5	SSI has implemented multiple measures and regulations to control energy and fuel consumption from employees' activities
Financing environment impact	4	The listed stock portfolio comprises leading companies known for transparency in governance and operations. The unlisted portfolio includes PAN Farm and Concung, both companies are committed to sustainable development.
Water stress	3,5	To manage water usage from daily activities, SSI selects offices equipped with standardized wastewater treatment systems.
Toxic emissions and waste	3,5	To mitigate this impact, SSI has proactively implemented measures such as limiting plastic bag usage and promoting environmentally friendly packaging, aiming to establish a more sustainable and eco-friendly workplace.
AVARAGE	**3,62**	

ESG Scorecard - Social

SSI strongly emphasis on comprehensive staff development & contributions to community

MSCI'S FRAMEWORK SOCIAL		
Human capital development	2.5	In 2023, SSI allocated over VND 3.2 bn to training initiatives, conducting 103 courses totaling nearly 50,000 training hours, equivalent to approximately 30 hours per employee annually. But SSI raised concern about recent mass layoff right before Lunar New Year 2025.
Gender Diversity	4	The workforce is also relatively gender-diverse, with women comprising 54.3% of the staff.
Access to Health care	3	Employees undergo annual health check-ups, participate in programs that promote physical health and mental health
Product safety and quality	3,5	SSI delivers high-quality, safe, and diverse financial products, including stocks, bonds, fund certificates, and structured financial products.
Financial product safety	3	SSI has implemented measures to protect clients' financial assets, ensuring the security of its financial offerings.
Privacy and security	3,5	SSI places significant emphasis on customer data protection, utilizing the Cyber Security Framework 2.0 to safeguard data
Responsible investment	3	SSIAM is part of the UNPRI initiative, pledging to uphold the United Nations' Principles for Responsible Investment (PRI). SSIAM integrates ESG factors into all investment decisions.
AVARAGE	**3,21**	

Gender diversity has also been consistently maintained at balanced levels over the years



ESG Scorecard - Governance

SSI strongly emphasis on staff development & contribution to community

CFA'S FRAMEWORK CORPORATE GOVERNANCE		
Executive Committee		
Independence	2	The Board of directors has 1 independent members. Compensation of member BoD includes salary, bonus and ESOP policy.
Accountability	2	The Board's fiduciary obligations and responsibilities to ensure company performance and make prudent decisions in the interests of shareholders.
Responsiveness	4	The board is responsive to shareholder concerns, ensuring all fundamental rights are upheld, including access to information, voting, financial entitlements, and involvement in key decision-making processes.
Competence	1	Board members mainly have years of experience in finance and management.
Elections	2	The Board of SSI is elected for a 5-year term.
Board Attendance	4	100% Board members attend all the meetings.
Directorship	1	SSI has 1 director on the Board this year
Elections	4	Directors are chosen by majority voting.
Related party transactions	4	The Board closely reviews related party transactions to protect company's interests, with full disclosure & objective evaluation by external property consultants.
Board Members	4	The Board is composed of 6 members.
Independent Members	4	1 out of 6 members of the Board is independent, accounting for 16,66%, which is lower than requirement of 20%
Role Delegation	1	Mr Nguyen Duy Hung holds Chairman position, Mr. Nguyen Hong Nam serves as CEO while he was also member of the BoD.
Committees	2	SSI have established Audit, Strategy & Development Committee
AVARAGE	**2,7**	
Audit committee		
Independent Audit	4	Financial statements are prepared in accordance with applicable standards. The committee monitors the external auditor's objectivity and transparency.
Independent Audit	4	SSI's financial statements are audited by Ernst & Young - a recognized independent external auditing firm.
Financial Integrity	4	Statements are publicly and fully disclosed. The committee ensures external auditor maintains quality control and impartiality.
Selection of Auditor	4	The audit committee recommends the appointment, reappointment, or removal of the external auditor, subject to approval by the Board and confirmation by shareholders.
AVARAGE	**4,0**	
Compensation committee		
Performance metrics	3	At the annual general meeting, SSI will decide compensation. SSI's executives obtain compensation at industry average level
Performance metrics	1	The BoD charter is not publicly disclosed in the annual report.
Performance metrics	4	The Boards offered share-based compensation as part of compensation for Directors and Officers.
AVARAGE	**2,6**	
Shareholder Right's Protection		
Election	4	1 share – 1 vote is applied.
Shareholder Right's	4	Right to Dividend: SSI maintains a steady dividend payment of 10% of Net Income
Shareholder Right's	4	The company complies with all applicable voting requirements, including supermajority thresholds.
Shareholder Right's	4	The Board recognizes minority shareholders' right to propose meetings and agenda items directly related to the corporation.
Shareholder Right's	4	Shareholders have unrestricted access to company materials. They have the right to request payment at fair value of their shares
AVARAGE	**4,0**	
OVERALL AVARAGE	**3,16**	

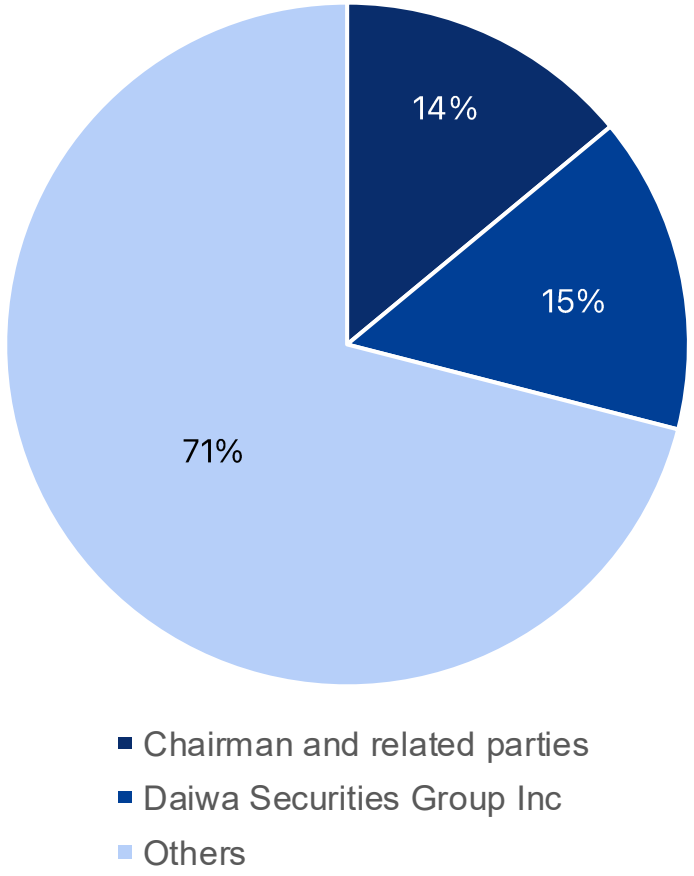
Ownership of Chairman's family members

Ownership of Chairman & related parties

Ownership of Chairman Nguyen Duy Hung and related parties (estimated)

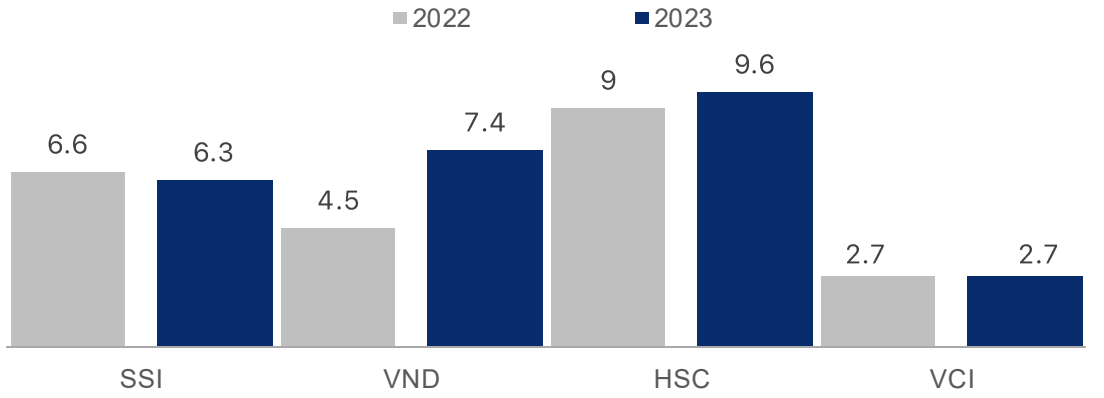
Name	Feature/Title	Ownership Ratio
NDH Invest Company Limited	Owned by Nguyen Duy Hung	8.36%
Sai Gon Dan Linh Real Estate Company Limited	Owned by Nguyen Hong Nam	3.90%
Nguyen Duy Hung	Chairman of SSI	0.77%
Nguyen Hong Nam	Board Member CEO	0.14%
Nguyen Manh Hung	Chairman of SSIAM	0.53%
Nguyen Duy Khanh	Board Member	0.23%
Total		**13.93%**

Ownership structure of SSI [%]



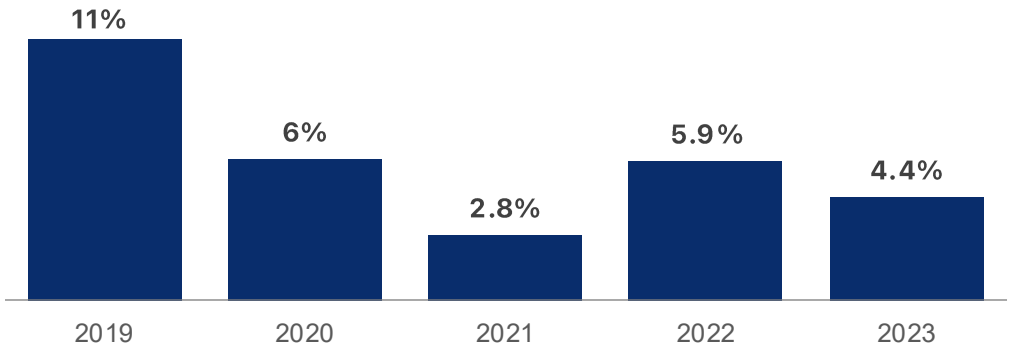
Compensation, ESOP and Dividend payout ratio

Executive compensation of SSI, VND, HCM, VCI in 2022-2023 [VND bn]



Executive compensation compared to peers

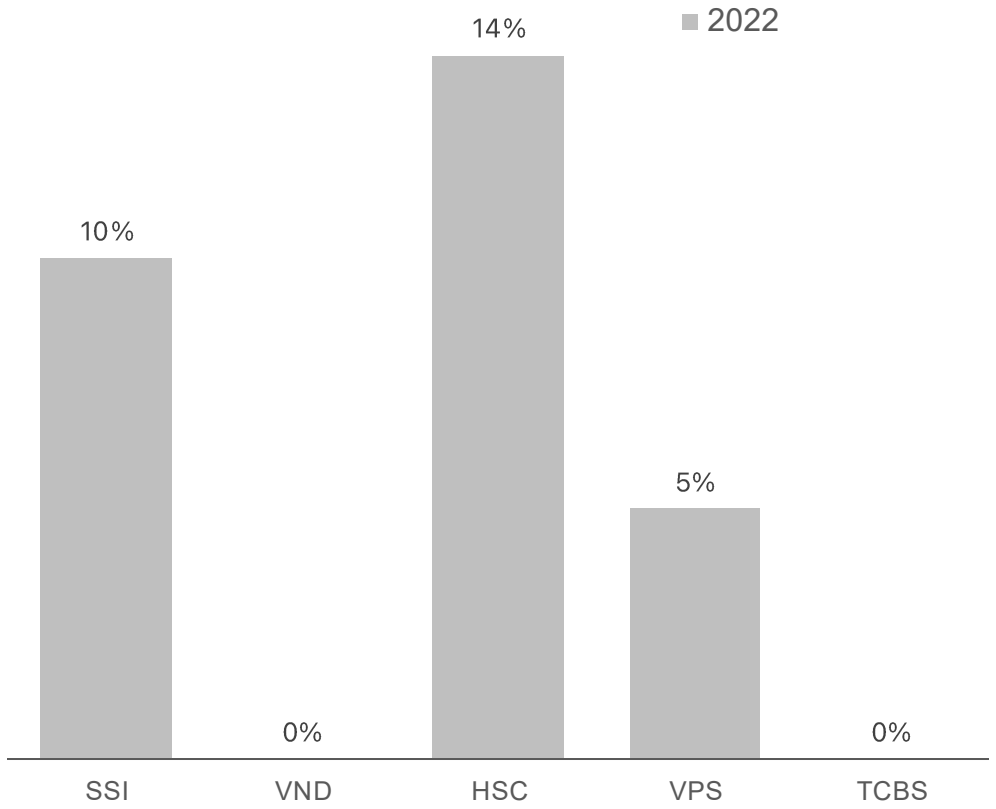
SSI's ESOP over 5 years



ESOP policy of SSI during 5 year period from 2019 to 2023 [%]

SSI remains stable dividend payout ratio over years

Dividend payout ratio of SSI, VND< HCM, VPS and TCBS in 2022-2023 [%]



ISS Governance QuickScore – Audit & Risk Oversight

AUDIT & RISK OVERSIGHT		Score	Analysis SSI's Governance
External Auditor	Non-Audit fees represent what percentage of total fees?	1	SSI is currently not using any services from EY other than audit services.
	Did the auditor issue an adverse opinion in the past year?	1	In the past year, Ernst & Young Vietnam both issued unqualified opinion on SSI's financial statements
Audit and Accounting Controversies	Has the company made non-timely financial disclosure filings in the past two years?	1	SSI made timely financial disclosure filings in the past two years
	Has the company made late filing of Annual Report for the most recent fiscal year?	1	SSI made timly filing of Annual Report for the most recent fiscal year
	Has a regulator initiated enforcement action against the company in the past two years?	5	In the past 2 years, SSI has faced some administrative violations related to taxes and restrictions on its fund management activities. However, SSI has timely paid the fines and has not been subject to any enforcement actions.
	Has a regulator initiated enforcement action against a director or officer of company in the past two years?	9	On July 31, 2024, Thomas Nguyen, currently the Chief Global Markets Officer of SSI, allegedly faced a $7,500 fine and a three-month suspension in the United States due to insider trading.
	Is the company, a director or officer of the company currently under investigation by a regulatory body?	1	None of director or officer of the company currently under investigation by a regulatory body
Other Audit issues	How many financial experts serve on the audit committee?	10	There are no financial experts serving on the Audit Committee, as both 2 members have diplomatic and governmental backgrounds rather than financial expertise
	Has the company changed its audit firm due to invalid or questionable reasons in the past two years?	2	In the past two years, SSI's auditor has remained Ernst & Young Vietnam
	What is the independent statutory auditors' composition?	5	In the past two years, SSI's auditor only included Ernst & Young Vietnam
AVERAGE		**3,6**	

ISS Governance QuickScore – Board Structure (1/2)

BOARD STRUCTURE		Score	Analysis SSI's Governance
Board Composition	How many directors serve on the board?	3	There are 6 members in Board of Director
	What is the number / proportion of women on the board?	10	There are no women on the board of directors, so the proportion is 0%
	What is the independent director composition of the Board?	2	The board of directors has 2 independent members, Mr. Nguyen Quoc Cuong and Mr. Pham Viet Muon.
	What is the independent director composition of the Board (shareholder elected board members)?	2	The independent director members, who are elected by shareholder are Mr. Nguyen Quoc Cuong and Mr. Pham Viet Muon
	Is there an outside director on the Board?	8	SSI has 1 outside director, Mr. Hironori Oka, which provides some external perspective to board. However, he represents strategic shareholder Daiwa, and having only one outside director may not provide adequate oversight
	What is the outsider director composition of the Board?	8	Mr. Hironori Oka, who represents strategic shareholder Daiwa is outside director. His role may limit independence, creating moderate governance risk
	What proportion of non-executive directors on the board has lengthy tenure?	6	SSI has 2 non-executive directors (out of 6) with over 9 years of tenure, which could impact independence, but presence of newer members helps maintain balance
	Is the board chair independent?	10	Chairman of SSI, who was formerly CEO and is older brother of current CEO, does not meet the independence criteria. This could lead to conflicts of interest & weak oversight.
	Has the company identified a Senior Independent Director or an independent Lead Director?	10	SSI lacks a Senior independent director or Independent lead director. This can lead to governance risk by missing an independent figure to oversee board activities and ensure accountability.
	What percentage of the board are former or current employees of the company?	9	With 50% of the board members being former or current employees, SSI has a medium level of governance risk.
	Does the company maintain a formal remuneration committee?	10	SSI currently does not maintain a forrmal remunration committee
	What is the independent status of the audit committee members?	3	SSI's audit committee consists of two independent members who are not involved in management. But they are independent board members.
	Are there executives on the audit committee?	2	SSI's audit committee is composed of two members who are not executives and. are not involved in the management of the company.
	Is the chair of the audit committee independent?	4	The chair of SSI's audit committee, Mr. Pham Viet Muon, is independent, as he is not involved in the company's management. But he is independent board member.

ISS Governance QuickScore – Board Structure (2/2)

BOARD STRUCTURE		Score	Analysis SSI's Governance
Board Practices	How many directors serve on an excessive number of outside boards?	8	4 out of 6 board members hold multiple positions on companies which are family-controlled. entities (such as PAN Group, NDH Investment, and Saigon Dan Linh Real Estate). This could lead to potential conflicts of interest and a concentration of power within the family
	Has the company disclosed the attendance of each director?	1	SSI discloses the attendance of each director in its shareholder meeting report, ensuring transparency and good governance, which results in low governance risk
	What percentage of the directors attended less than 75% of board and/or key committee meetings?	1	100% of Board members attend all the meetings
	How many directors received withhold/ against votes of 50% or greater at the last annual meeting?	1	Since no directors received "withhold" or "against" votes of 50% or greater at the last annual meeting, it indicates strong shareholder support for the board,
	What percentage of directors received shareholder approval rates below 80%?	1	Since no directors received shareholder approval rates below 80%, it indicates strong shareholder confidence and support for the board
	Do all directors with more than one year of service own stock?	4	While 5 out of 6 directors own stock, the exception is Mr. Hironori Oka. Reason is he is a representative of Daiwa, SSI's strategic shareholder
Board Policies	Does the company disclose board/governance guidelines?	3	SSI discloses its internal governance guidelines, which is a good practice. The availability of clear governance rules helps ensure transparency, accountability,
Related Party Transactions	Are there material related-party transactions involving the CEO?	2	SSI does not have any significant related-party transactions involving the CEO, indicating strong governance and low risk of conflicts of interest.
Board Controversies	Has ISS' review found that the board of directors recently took action that materially reduces shareholder rights?	2	Since there has been no ISS review or findings of actions by the board that materially reduce shareholder rights, it suggests that the company's governance is aligned with protecting shareholder interests, resulting in low governance risk
AVERAGE		4.78	

ISS Governance QuickScore – Shareholder Rights & Takeover

SHAREHOLDER RIGHTS & TAKEOVER DEFENSES		Score	Analysis SSI's Governance
Takeover Defenses	Are all directors elected annually?	10	A 5-year term reduces flexibility in adjusting board members, introducing medium governance risk. However, it provides stability in management.
	Does the company have a controlling shareholder?	3	SSI does not have a controlling shareholder, with the largest shareholder, Daiwa, holding 15%, followed by Nguyen Duy Hung and related parties owning 14%.
	What is the level of tag along rights for minority shareholders?	7	While SSI complies with voting requirements and supermajority thresholds, the lack of specific mention or provisions for tag-along rights for minority shareholders suggests moderate governance risk.
Meeting & Voting Related Issues	Does the company use cumulative voting for director election?	2	SSI uses cumulative voting, which allows shareholders to concentrate all their votes on preferred candidates, ensuring the interests of minority shareholders
	Did the company file its proxy materials late in past year?	2	SSI did not file its proxy materials late, indicating strong compliance with governance practices and timely disclosure
Other Shareholder Rights Issues	Are there RPTs with significant shareholders?	7	SSI provides brokerage; investment trust to PAN and its subsidiaries; NDH Invest and its subsidiaries; SGDL Real Estate.
AVERAGE		**5,17**	

ISS Governance QuickScore – Compensation/Remuneration

COMPENSATION/REMUNERATION		Score	Analysis SSI's Governance
Use of Equity	Does the company have an equity-based compensation plan?	2	SSI offers share-based compensation as part of the remuneration for Directors and. Officers, which aligns their interests with the long-term success of company
	Is there a maximum level of dilution per year?	6	SSI does not disclose a maximum dilution limit for common shares, as long as SSI persistently raises capital, creating moderate governance risk. However, limit for ESOP dilution is 5%, and current dilution is low (0.6%), indicating some control over dilution risks.
Non-Executive Pay	Do non-executive directors participate to performance related remuneration?	6	The Chairman and CEO of SSI receive a salary and ESOP allocation, while three other non-executive members of the Board receive compensation and ESOP but not a salary.
Communications and Disclosure	Does the company disclose details of individual executives' remuneration?	5	SSI discloses the salary of the CEO and board members but does not provide details for other executives.
	Did the company disclose a performance overview for its long term incentive plans?	9	SSI currently does not disclose performance evaluation criteria for long-term incentive plans
	Does company disclose a performance measure for the short term incentive plan (for executives)?	10	SSI currently does not disclose any information about the CEO's performance in implementing short-term policies
	What is the level of disclosure on performance measures for the latest active or proposed long term incentive plan?	10	SSI currently does not publicly disclose any performance criteria for both short-term and long-term.
	Does the company disclose a performance measure for matching?	9	SSI does not disclose a performance measure for matching.
	Does the company disclose a performance measure for stock options plans (for executives)?	9	SSI currently does not disclose performance evaluation criteria for stock options for the. CEO.
	Does the company disclose a performance measure for restricted share/ stock award plans (for executives)?	9	SSI currently does not disclose performance evaluation criteria for performance shares for the CEO.
	Does the company disclose a performance measure for other long term plans (for executives)?	10	SSI currently does not disclose any information about the CEO's performance in implementing long-term policies.
Controversies	Has ISS identified a problematic pay practice or policy that raises concerns?	2	No, ISS has not identified any problematic pay practices or policies that raise concerns.
AVERAGE		**7,25**	

FINANCIAL STATEMENTS

Balance Sheet (USD mn.)

BALANCE SHEET	2015A	2016A	2017A	2018A	2019A	2020A	2021A	2022A	2023A	2024A	2025F	2026F	2027F	2028F	2029F	2030F	24-27F	24-30F
TOTAL ASSETS	**486**	**560**	**751**	**953**	**1,082**	**1,431**	**2,032**	**2,089**	**2,770**	**2,940**	**3,616**	**3,868**	**4,332**	**4,708**	**5,293**	**5,908**	**15%**	**12%**
CURRENT ASSETS	**439**	**507**	**689**	**891**	**892**	**1,162**	**1,862**	**1,949**	**2,630**	**2,837**	**3,458**	**3,701**	**4,148**	**4,504**	**5,067**	**5,655**	**14%**	**12%**
ST Finacial Assets	**429**	**503**	**684**	**890**	**890**	**1,156**	**1,859**	**1,945**	**2,626**	**2,833**	**3,452**	**3,694**	**4,141**	**4,497**	**5,059**	**5,646**	**14%**	**12%**
Cash and cash equivalents	30	12	14	25	42	15	45	57	20	10	41	8	58	64	81	35	-8%	24%
Short-term investments	398	486	664	863	845	1,128	1,751	1,816	2,582	2,754	3,392	3,663	4,059	4,406	4,950	5,580	15%	12%
FVTPL	*44*	*62*	*57*	*82*	*173*	*530*	*481*	*1,220*	*1,763*	*1,698*	*1,914*	*1,995*	*2,326*	*2,714*	*3,167*	*3,697*	*8%*	*14%*
HTM	*177*	*210*	*315*	*493*	*429*	*224*	*313*	*140*	*199*	*156*	*188*	*196*	*230*	*269*	*315*	*369*	*12%*	*15%*
Loans (Margin lending book)	*145*	*151*	*231*	*239*	*214*	*369*	*948*	*442*	*605*	*880*	*1,272*	*1,455*	*1,486*	*1,406*	*1,450*	*1,496*	*19%*	*9%*
AFS	*32*	*65*	*61*	*51*	*30*	*7*	*11*	*15*	*17*	*22*	*17*	*17*	*17*	*18*	*18*	*18*	*-13%*	*-4%*
Provision for diminution	-	*(1)*	*(1)*	*(1)*	*(2)*	*(2)*	*(2)*	*(1)*	*(1)*	*(2)*	*(2)*	*(2)*	*(2)*	*(2)*	*(2)*	*(2)*	*0%*	*0%*
Account Receivables	**1**	**4**	**6**	**2**	**4**	**13**	**63**	**72**	**24**	**69**	**19**	**23**	**24**	**26**	**28**	**31**	**-43%**	**-13%**
Other current assets	**10**	**4**	**5**	**1**	**1**	**6**	**3**	**4**	**4**	**5**	**6**	**7**	**7**	**8**	**8**	**9**	**21%**	**12%**
	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-		
LONG-TERM ASSETS	**47**	**54**	**61**	**62**	**190**	**269**	**170**	**140**	**139**	**103**	**158**	**166**	**184**	**203**	**226**	**253**	**27%**	**16%**
Long-term financial assets	**27**	**30**	**38**	**43**	**170**	**250**	**148**	**111**	**113**	**65**	**126**	**131**	**148**	**169**	**194**	**223**	**42%**	**23%**
Fixed assets	**5**	**5**	**6**	**5**	**6**	**6**	**8**	**11**	**11**	**9**	**16**	**20**	**20**	**19**	**17**	**16**	**48%**	**10%**
Investment properties	**11**	**10**	**9**	**9**	**8**	**8**	**9**	**11**	**9**	**8**	**8**	**8**	**7**	**7**	**6**	**6**	**-1%**	**-5%**
Long-term incomplete assets	**0**	**2**	**2**	**0**	**1**	**2**	**1**	**1**	**1**	**16**	**2**	**2**	**2**	**3**	**3**	**3**	**-62%**	**-24%**
Other long-term assets	**4**	**6**	**7**	**6**	**5**	**4**	**4**	**6**	**5**	**5**	**5**	**5**	**6**	**6**	**6**	**6**	**2%**	**2%**
Provision for long term assets	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-	-		
TOTAL LIABILITIES & EQUITY	**486**	**560**	**751**	**953**	**1,082**	**1,431**	**2,032**	**2,089**	**2,770**	**2,940**	**3,616**	**3,868**	**4,332**	**4,708**	**5,293**	**5,908**		
LIABILITIES	**217**	**244**	**406**	**587**	**706**	**1,036**	**1,463**	**1,194**	**1,840**	**1,867**	**2,371**	**2,528**	**2,883**	**3,151**	**3,619**	**4,102**	**16%**	**14%**
Current Liabilities	**188**	**234**	**374**	**539**	**656**	**1,033**	**1,459**	**1,192**	**1,838**	**1,864**	**2,367**	**2,523**	**2,877**	**3,146**	**3,613**	**4,095**	**16%**	**14%**
ST Loans	157	193	340	448	622	934	1,245	1,116	1,727	1,820	2,287	2,428	2,777	3,038	3,498	3,969	16%	14%
Payables to securities trading	12	2	-	1	1	9	7	2	6	9	7	9	9	10	11	12	-2%	4%
Trade accounts payable	0	0	0	0	1	1	1	13	34	4	25	29	31	33	36	39	167%	46%
Taxes and other payables	4	3	5	3	2	5	14	5	14	8	17	20	21	22	24	26	56%	22%
Other payables	8	12	8	60	14	25	172	37	36	1	1	1	1	1	1	1	0%	0%
Bonus and welfare funds	5	6	7	9	11	9	10	13	12	14	18	21	23	24	26	28	22%	12%
Others	3	3	5	9	5	5	10	7	8	8	13	15	16	17	18	20	41%	18%
Non-current Liabilities	**29**	**10**	**32**	**48**	**49**	**3**	**4**	**2**	**2**	**3**	**4**	**5**	**5**	**6**	**6**	**7**	**24%**	**13%**
Long-term bonds	28	8	23	-	-	-	-	-	-	-	-	-	-	-	-	-		
Others	1	2	9	5	5	3	4	2	2	3	4	5	5	6	6	7	24%	13%
OWNER's EQUITY	**269**	**316**	**345**	**366**	**376**	**395**	**569**	**895**	**930**	**1,073**	**1,245**	**1,340**	**1,449**	**1,556**	**1,673**	**1,806**	**12%**	**9%**
Capital and reserves	**269**	**316**	**345**	**366**	**376**	**395**	**569**	**895**	**930**	**1,073**	**1,245**	**1,340**	**1,449**	**1,556**	**1,673**	**1,806**	**12%**	**9%**
Sharholders' equity	**193**	**197**	**201**	**209**	**209**	**246**	**426**	**728**	**732**	**829**	**917**	**917**	**917**	**917**	**917**	**917**	**5%**	**2%**
Differences upon asset revaluation	(0)	26	26	11	10	(0)	(0)	(0)	(0)	1	(0)	(0)	(0)	(0)	(0)	(0)		
Foreign exchange differences	1	1	1	2	2	2	1	2	2	3	2	2	2	2	2	2		
Charter reserve	11	12	14	16	19	21	2	2	2	0	2	2	2	2	2	2		
Financial reserve funds	7	9	11	13	16	18	20	-	-	-	-	-	-	-	-	-		
Undistributed earnings	54	67	89	112	118	107	117	158	188	234	317	412	522	628	745	878	33%	25%
Minority interest	3	3	3	3	3	3	3	6	6	6	6	6	6	6	7	7	0%	2%

Source: SSI, Team Analysis

FINANCIAL STATEMENTS

Income Statement (USD mn.)

INCOME STATEMENT	2015A	2016A	2017A	2018A	2019A	2020A	2021A	2022A	2023A	2024A	2025F	2026F	2027F	2028F	2029F	2030F	24-27F	24-30F
Net Revenue	**62**	**98**	**116**	**147**	**129**	**175**	**298**	**253**	**286**	**348**	**428**	**506**	**538**	**575**	**619**	**676**	**16%**	**12%**
%YOY		*58%*	*18%*	*27%*	*-12%*	*35%*	*70%*	*-15%*	*13%*	*22%*	*23%*	*18%*	*6%*	*7%*	*8%*	*9%*		
Investments	34	55	55	63	71	114	122	98	146	174	180	186	206	241	281	328	6%	11%
Margin Lending	12	17	21	28	27	21	63	72	63	86	126	157	169	166	164	169	25%	12%
Brokerage	12	15	31	45	23	32	101	68	60	69	95	127	127	131	135	139	23%	12%
Others	5	11	9	10	8	7	12	16	18	20	27	36	36	38	39	40	23%	12%
COGS	(20)	(40)	(45)	(66)	(47)	(76)	(126)	(108)	(97)	(132)	(147)	(184)	(187)	(200)	(214)	(230)		
Gross Profit	**42**	**58**	**70**	**81**	**83**	**99**	**172**	**145**	**189**	**217**	**281**	**323**	**351**	**375**	**405**	**447**	**17%**	**13%**
Gross Margin	*68%*	*60%*	*61%*	*55%*	*64%*	*56%*	*58%*	*57%*	*66%*	*62%*	*66%*	*64%*	*65%*	*65%*	*65%*	*66%*		
SG&A	(5)	(6)	(7)	(7)	(8)	(7)	(11)	(12)	(14)	(12)	(15)	(18)	(19)	(20)	(21)	(23)		
Cost Margin (SG&A/Revenue)	*-9%*	*-6%*	*-6%*	*-5%*	*-6%*	*-4%*	*-4%*	*-5%*	*-5%*	*-3%*	*-3%*	*-3%*	*-3%*	*-3%*	*-3%*	*-3%*		
EBIT	**37**	**53**	**64**	**74**	**75**	**91**	**161**	**133**	**174**	**205**	**266**	**305**	**333**	**355**	**383**	**423**	**18%**	**13%**
Financial Income	10	4	6	11	3	8	14	7	5	7	5	6	7	7	8	9		
Financial Expenses	(5)	(11)	(14)	(22)	(34)	(37)	(45)	(57)	(66)	(63)	(87)	(94)	(104)	(131)	(147)	(168)		
Incl. Interest Expense	*(5)*	*(11)*	*(14)*	*(21)*	*(32)*	*(33)*	*(41)*	*(41)*	*(63)*	*(60)*	*(87)*	*(94)*	*(104)*	*(131)*	*(147)*	*(168)*		
Other Income	0	0	1	2	0	0	5	0	0	(0)	-	-	-	-	-	-		
EBT	**42**	**46**	**56**	**65**	**44**	**62**	**135**	**84**	**114**	**149**	**184**	**217**	**235**	**232**	**245**	**264**	**16%**	**10%**
Tax	(9)	(8)	(10)	(13)	(8)	(12)	(27)	(16)	(22)	(28)	(37)	(43)	(47)	(46)	(49)	(53)		
Effective Tax Rate	*-20%*	*-17%*	*-17%*	*-20%*	*-18%*	*-19%*	*-20%*	*-20%*	*-19%*	*-19%*	*-20%*	*-20%*	*-20%*	*-20%*	*-20%*	*-20%*		
Net Income	**34**	**38**	**46**	**52**	**36**	**50**	**108**	**68**	**92**	**121**	**147**	**174**	**188**	**186**	**196**	**211**	**16%**	**10%**
%YOY		*12%*	*23%*	*12%*	*-30%*	*38%*	*115%*	*-37%*	*35%*	*32%*	*22%*	*18%*	*8%*	*-1%*	*5%*	*8%*		

Residual Income Valuation	2016A	2017A	2018A	2019A	2020A	2021A	2022A	2023A	2024A	2025F	2026F	2027F	2028F	2029F	2030F
Beginning Equity	269	316	345	366	376	395	569	895	930	1,073	1,245	1,340	1,449	1,556	1,673
Net Income	38	46	52	36	50	108	68	92	121	147	174	188	186	196	211
Less: Cash Dividend	(19)	(20)	(20)	(20)	(24)	(26)	(40)	(60)	(60)	(79)	(79)	(79)	(79)	(79)	(79)
Equity Issue (by cash)	4	4	8	(0)	37	180	302	4	97	88	-	-	-	-	-
Other Changes	28	1	(12)	2	(9)	(19)	0	1	(0)	0	-	-	-	-	-
Ending Equity	**320**	**348**	**373**	**384**	**430**	**638**	**899**	**932**	**1,087**	**1,231**	**1,340**	**1,449**	**1,556**	**1,673**	**1,806**
ROE	12.9%	14.1%	14.7%	9.8%	13.0%	22.4%	9.3%	10.1%	12.1%	12.7%	13.4%	13.5%	12.3%	12.1%	12.2%
Cost of Equity	12.5%	12.5%	12.5%	12.5%	12.5%	12.5%	12.5%	12.5%	12.5%	12.5%	12.5%	12.5%	12.5%	12.5%	12.5%
Less: Equity Charge	34	40	43	46	47	49	71	112	(117)	(134)	(156)	(168)	(182)	(195)	(210)
Residual Income	4	7	9	(10)	3	58	(3)	(20)	5	13	18	20	4	1	2
Discount Factor									1.00	0.89	0.79	0.70	0.62	0.55	0.49
PV Residual Income									5	11	14	14	2	0	1
Total PV of Residual Income									48	43	32	18	4	1	1
Terminal Value									582	655	737	830	934	1,051	1,182
Beginning Equity									930	1,073	1,245	1,340	1,449	1,556	1,673
Equity Value									**1,559**	**1,771**	**2,014**	**2,187**	**2,387**	**2,608**	**2,857**

Source: SSI, Team Analysis